

COMPETENCIES

KNOWLEDGE ASPECTS

- Describe essential facts, concepts, principles and theories relating to Accounting and Finance;
- Comprehend knowledge of theory, language and tools that are used for specification, design, implementation, evaluation and management of accounting systems;
- Conceptualize professional, moral and ethical principles in Accounting, Auditing and Finance.
- Describe various Ethiopian tax laws;

SKILL ASPECTS

- Design and implement financial accounting and reporting system in line with both the international rules and national laws;
- Design and implement an accounting system that would enable to identify, measure, interpret and communicate cost and managerial accounting information for decision makers in a manner that helps to determine and control the costs of their goods and services;
- Evaluate the economic/financial viability of investment decisions (both short-term and longterm investment projects) for all types of organizations;
- Design and run effective internal control systems;
- Audit financial statements and the underlying accounting systems, controls and records, and express an independent professional opinion as per international standards for auditing (ISA) and other relevant rules and regulations and take part in preparing audit reports;
- Design and implement effective and efficient accounting systems to account for transactions and events related to public sector and civil society organizations; prepare and interpret financial reports for such organizations as per international public sector accounting standards and other applicable rules and laws;
- Prepare tax returns for the tax payers and conduct tax assessment and manage tax revenue for the government as per the applicable tax proclamations, regulations and directives.

ATTITUDE ASPECTS

- Be able to work ethically as a member of a professional associations;
- Recognize and be guided by the social, professional, and ethical issues involved in auditing and preparation of financial statements;
- Judge ethically, think logically, reason critically, and make professional judgments in Accounting and Finance;
- Value integrity and professional ethics in carrying out assigned activities;

- Internalize an appreciation for the role of ethics in both the profession and the business world;
- Develop time-management, work-planning skills and be prepared for graduate studies, professional certification and advanced trainings in accounting, auditing, finance and management

15 major courses that are offered to students of Accounting and Finance at various levels throughout their stay at university are identified under five major thematic areas based on the required learning outcomes. The identification of major themes was done by considering the desired core competencies.

The five major thematic areas on which the exit exam will be based are:

- I. Financial Accounting and Reporting
- II. Cost and Managerial Accounting
- III. Corporate Finance and Financial Institutions
- IV. Auditing and Assurance Services
- V. Taxation and Public Sector Accounting

- I. Financial Accounting and Reporting
 - **Fundamentals of Accounting I**
 - **Fundamentals of Accounting II**
 - **Intermediate Financial Accounting I**
 - **Intermediate Financial Accounting II**
 - **Advanced Financial Accounting I**
 - **Advanced Financial Accounting II**
- II. Cost and Managerial Accounting
 - **Cost and Management Accounting I**
 - **Cost and Management Accounting II**
- III. Corporate Finance and Financial Institutions
 - **Financial Management I**
 - **Financial Management II**
 - **Financial Markets and Institutions**
- IV. Auditing and Assurance Services
 - Auditing Principles and Practices I
 - Auditing Principles and Practices II
- V. Taxation and Public Sector Accounting
 - Public Finance and Taxation
 - Accounting for Public Sector and Civil Society

FUNDAMENTALS OF ACCOUNTING I & II

1. Which of the following item is shown in the Receipt and Payment account?

- A. Only items of capital nature.
- B. Only items of revenue nature which are received during the period of accounts.
- C. Only items of revenue nature pertaining to the period of accounts.
- D. Both the items of capital and revenue nature which are received during the

Answer» D. Both the items of capital and revenue nature which are received during the

2. Any income arising from special fund will be credited to

- A. General fund in the Balance Sheet
- B. Receipt and Payment account
- C. Income and Expenditure account
- D. Special fund in the Balance sheet

Answer» D. Special fund in the Balance sheet

3. There are 100 members each paying an annual subscription of 500. The Receipt and Payment account shows arrear subscription of 4,500, advance subscriptions 6,000 and current 44,500. How much amount to be transferred to the Income and Expenditure account?

- A. 55,000
- B. 49,000
- C. 44,500
- D. 50,000

Answer» D. 50,000

4. When opening stock 50,000; closing stock 40,000; purchases 1,90,000 profit margin is 16.67% on sales, the sales are:

- A. 2,40,000
- B. 2,36,000
- C. 2,00,000
- D. 2,44,000

Answer» A. 2,40,000

5. Goods bought for 25,000 passed through sales day book will result in

- A. No effect on gross profit
- B. Decrease in gross profit
- C. Decrease in net profit
- D. Increase in gross profit

Answer» D. Increase in gross profit

6. Which of the following will result in disagreement of Trial Balance?

- A. Sales return treated as purchase.
- B. Purchase return treated as sales.
- C. Ram a/c wrongly credited instead of Sham a/c
- D. Under casting cash book by 1,100

Answer» D. Under casting cash book by 1,100

7. In a joint venture X and Y sharing p rofit and loss equally, X purchased goods costing of 40,000 and goods for 50,000. X is entitled to get 1% commission on purchase and Y is entitled to get 5% commis sales, the profit will be

- A. 7,200
- B. 7,100
- C. 6,800
- D. 7,600

Answer» B. 7,100

8. What is the nature of joint venture with co-venture account?

- A. Nominal account
- B. Personal account 2
- C. Real Account
- D. Memorandum Account

Answer» B. Personal account 2

9. Which of the following term is applicable about consignment?

- A. Sale of goods
- B. Hypothecation of goods
- C. Shipment of goods
- D. Mortgage of goods

Answer» A. Sale of goods

10. Retirement of bill means

- A. sending the bill for collection
- B. cancellation of the bill
- C. endorsing the bill in favour of third party
- D. making payment before the due date.

Answer» D. making payment before the due date.

11. Which one of these documents is not required for bank reconciliation?

- A. Bank Column of cash book
- B. Bank pass book
- C. Previous year's balance sheet
- D. Bank statement

11. Which one of these documents is not required for bank reconciliation?

Answer» C. Previous year's balance sheet

12. In a overdraft balance as per cash book, a cheque of 1,250 deposited into bank but not recorded in cash book will be

A. deducted by 1,250

B. added by 1,250

C. added by 2,500

D. deducted by 2,500

Answer» A. deducted by 1,250

13. Which of these errors affects only one account?

A. Error of casting

B. Error of posting

C. Error of carry forward

D. All of the above

Answer» D. All of the above

14. Which of the following error is an error of principle?

A. 4,000 received from Sham credited to Shamu a/c

B. 5,000 incurred on installation of new plant debited to salary a/c

C. 6,000 paid for wages debited to salary a/c

D. 7,000 being purchase of raw material debited to purchase a/c

Answer» B. 5,000 incurred on installation of new plant debited to salary a/c

15. In case of depreciable assets are revalued, the provision for depreciation is based on

A. Market value of the assets

B. Historical cost of the asset

C. Written down value of the asset

D. the revalued amount over the estimate of the remaining useful life of such asset.

Answer» D. the revalued amount over the estimate of the remaining useful life of such asset.

16. Trade discount is allowed at the time of sale of goods.

A. is recorded in sales book

B. is recorded in cash book

C. is not recorded in books of accounts

D. is recorded in journal

Answer» C. is not recorded in books of accounts

17. A debit note issued to a creditor for goods returned is to be recorded in the

A. Purchase return book

B. Journal Proper

17. A debit note issued to a creditor for goods returned is to be recorded in the

- C. Purchase book
- D. Bill Receivable book

Answer» A. Purchase return book

18. The determination of expenses for an accounting period is based on the concept of 3

- A. Consistency concept
- B. Periodicity concept
- C. Timelines concept
- D. Industry practice

Answer» B. Periodicity concept

19. Decrease in the amount of creditors results in

- A. Increase in assets
- B. Increase in cash
- C. Decrease in cash
- D. No change in assets

Answer» C. Decrease in cash

20. Subscription received in advance to be shown in

- A. Liability side of the balance sheet
- B. Asset side of the balance sheet
- C. Income and Expenditure account
- D. Journal

Answer» A. Liability side of the balance sheet

21. Which of the following is an accounting equation?

- A. $\text{Capital} = \text{Assets} + \text{Liabilities}$
- B. $\text{Capital} = \text{Assets} - \text{Liabilities}$
- C. $\text{Assets} = \text{Liabilities} - \text{Capital}$
- D. $\text{Liabilities} = \text{Assets} + \text{Capital}$

Answer» B. $\text{Capital} = \text{Assets} - \text{Liabilities}$

22. AS – 09 deals with

- A. Inventory Valuation
- B. Depreciation Accounting
- C. Revenue Recognition
- D. Cash Flow Statement

Answer» C. Revenue Recognition

- 23. Y-draws a trade bill of 12,000 for 6 months on X. After holding the bill for 2.5 months, Y discount th bank @ 10% p.a. The amount of discount on bill is**
- A. 100
 - B. 350
 - C. 600
 - D. 250

Answer» B. 350

- 24. Bills Receivable books is part of the**
- A. Journal
 - B. Ledger
 - C. Profit & Loss Account
 - D. Balance Sheet

Answer» A. Journal

- 25. X of Addis send out certain goods at cost + 25% of cost. Invoice value of goods is 1,20,000. 4/5th of the goods were sold by consignee at 1,00,000. Commission @ 2% up to invoice value and 10% of any above invoice. The amount of commission will be**
- A. 1,920
 - B. 2,320
 - C. 1,820
 - D. 2,020

Answer» B. 2,320

- 26. If X co-venture takes away of goods under memorandum Joint Venture Method then he will debit th his books to**
- A. Sales Account
 - B. Purchase Account
 - C. Personal Account
 - D. Joint Venture Account

Answer» C. Personal Account

- 27. At the end of the year Bad Debts Recovered Account is**
- A. Debited to Debtors Account 4
 - B. Credited to Debtors Account
 - C. Credited to Profit & Loss Account
 - D. Debited to Profit & Loss Account

Answer» C. Credited to Profit & Loss Account

- 28. As regards the accounting treatment, Legacy should be**
- A. treated as loss
 - B. Capitalized
 - C. treated Revenue Expenses

28. As regards the accounting treatment, Legacy should be

D. treated Deferred Revenue

Answer» B. capitalized

29. Sales of 6,570 is recorded in the sales book as 6,750. Such Error is known as

A. Error of Principle

B. Error of Omission

C. Error of Commission

D. Compensating Error

Answer» C. Error of Commission

30. Which of the following is correct?

A. $\text{Cost of Goods Sold} - \text{Opening Stock} + \text{Purchases} = \text{Closing Stock}$

B. $\text{Purchase} + \text{Cost of Goods Sold} - \text{Opening Stock} = \text{Closing Stock}$

C. $\text{Cost of Goods Sold} + \text{Closing Stock} - \text{Opening Stock} = \text{Purchase}$

D. $\text{Opening Stock} + \text{Closing Stock} - \text{Purchase} = \text{Cost of Goods sold}$

Answer» C. $\text{Cost of Goods Sold} + \text{Closing Stock} - \text{Opening Stock} = \text{Purchase}$

31. Provision for bad debt is made as per the

A. Entity concept

B. Conservatism concept

C. Cost concept

D. Going concern concept

Answer» B. Conservatism concept

32. Capital expenditures are shown in the

A. Balance Sheet

B. Profit & Loss a/c

C. Trading a/c

D. Manufacturing a/c

Answer» A. Balance Sheet

33. Import duty of raw material purchased is a

A. Revenue Expenditure

B. Capital Expenditure

C. Deferred Revenue Expenditure

D. None of the above

Answer» A. Revenue Expenditure

34. Life Insurance Corporation Account is a

A. Nominal Account

B. Artificial Personal Account

34. Life Insurance Corporation Account is a

- C. Representative Personal Account
- D. Real Account

Answer» B. Artificial Personal Account

35. Goods taken from business for personal use by the proprietor should be credited to

- A. Drawing a/c
- B. Capital a/c
- C. Sales a/c
- D. Purchase a/c

Answer» D. Purchase a/c

36. A cash book with discount and bank column is called as

- A. Single Column Cash Book
- B. Two Column Cash Book
- C. Three Column Cash Book
- D. Petty Cash Book

Answer» C. Three Column Cash Book

37. The periodical total of Returns Inward Day Book is posted to 5

- A. Debit of Sales Account
- B. Debit of Sales Return Account
- C. Credit of Sales Return Account
- D. Debit of Debtors Account

Answer» B. Debit of Sales Return Account

38. The process of transfer of entries from day book to ledger is called as

- A. Balancing
- B. Journal Posting
- C. Transaction
- D. Ledger Posting

Answer» D. Ledger Posting

39. Which financial statement represents the accounting equation as – Assets = Liabilities + Owner's equity

- A. Income Statement
- B. Statement of Cash Flows
- C. Balance Sheet
- D. Either (A) or (B)

Answer» C. Balance Sheet

40. The Depreciation Account is closed at the end of the year by transfer to the

- A. General Reserve a/c

40. The Depreciation Account is closed at the end of the year by transfer to the

- B. Profit and Loss a/c
- C. Provision for Depreciation a/c
- D. Fixed Asset a/c

Answer» B. Profit and Loss a/c

41. The original cost of the machine is 19,00,000; machine installation charges are 1,00,000; working life of machine is 5 years and residual value is 40,000. If the depreciation is charged on Straight Line basis year's depreciation will be:

- A. 3,72,000
- B. 4,00,000
- C. 3,92,000
- D. 3,52,000

Answer» C. 3,92,000

42. Whenever errors are noticed in the accounting records, they should be rectified.

- A. at the time of preparation of Trial Balance.
- B. without waiting the accounting year to end.
- C. after the preparation of final accounts.
- D. in the next accounting year.

Answer» B. without waiting the accounting year to end.

43. A purchase of 49,500 from Shiva was recorded in Purchases Book as 59,400, the profit would show

- A. an increase of 9,900
- B. a decrease of 9,900
- C. an increase of 59,400
- D. neither an increase nor a decrease

Answer» B. a decrease of 9,900

44. From the following details ascertain the adjusted bank balance as per Cash Book – overdraft as per 1,60,000; cheque received entered twice in the Cash Book 10,000; credit side of bank column cash shown 1,000; bank charges amounting to 400 entered twice:

- A. 1,61,000
- B. 1,71,000
- C. 1,70,000
- D. 1,70,600

Answer» D. 1,70,600

45. When credit balance as per pass book is the starting point of a Bank Reconciliation Statement then bank charges are

- A. Subtracted
- B. Added

45. When credit balance as per pass book is the starting point of a Bank Reconciliation Statement then b charges are

C. Either (A) or (B) 6

D. None of the above

Answer» B. Added

46. At the time of dishonor of an endorsed bill, which account would be credited by the drawee?

A. Bills Payable Account

B. Drawer's Account

C. Bank Account

D. Bills Dishonoured Account

Answer» B. Drawer's Account

47. At the en d of the accounting year bills receivable discounted were 32,000 would be shown

A. on Liabilities side of the Balance Sheet

B. on Assets side of the Balance Sheet

C. by way of a note with Balance Sheet

D. Not appeared anywhere

Answer» B. on Assets side of the Balance Sheet

48. X sends out goods to Y, costing 3,60,000. Goods are to be sold at cost plus 25% on sales. The consignee to pay an advance for an amount equivalent to 60% of sales value. The amount of advance

A. 2,88,000

B. 2,16,000

C. 2,70,000

D. 3,36,000

Answer» A. 2,88,000

Explanation: The sales value of the goods is $3,60,000 / (100 - 25) = 4,80,000$.

The advance payment requested by the consignor is equivalent to 60% of the sales value, so the amount of the advance payment to be $4,80,000 \times 60\% = 288,000$.

49. X sends out certain goods to Y, costing 1,50,000 at cost plus 25% on invoice price. $\frac{3}{4}$ of the goods were sold at 1,76,000. Commission 5% up to invoice value and 10% of any surplus above invoice value. The amount of commission will be

A. 10,100

B. 11,975

C. 10,568.75

D. 9,350

Answer» C. 10,568.75

50. A purchased goods costing 2,60,000 for joint venture with B. B sold a major part of the goods at cost on cost, for 2,50,000. Balance of goods were taken over by B at cost less 10%. Find out profit/loss on Venture.

- A. (Loss) 10,000
- B. 55,250
- C. 44,000
- D. 50,000

Answer» C. 44,000

51. Which of the following account(s) is (are) maintained in the joint venture when separate set of books maintained?

- A. Joint Bank a/c
- B. Joint Venture a/c
- C. Co-venturer a/c
- D. All of the above

Answer» C. Co-venturer a/c

52. At the time of preparation of financial accounts, balance of Bad Debts Recovered Account will be transferred to

- A. Debtor's Personal a/c
- B. Profit & Loss a/c
- C. Bad Debts a/c
- D. Profit & Loss Appropriation a/c

Answer» D. Profit & Loss Appropriation a/c

53. In case of not for profit making concern, endowment fund receipt is treated as

- A. Capital Receipt
- B. Revenue Receipt
- C. Either (A) or (B)
- D. Neither (A) nor (B)

Answer» B. Revenue Receipt

54. Any donation received for a specific purpose should be credited to

- A. Income and Expenditure Account
- B. Capital Fund
- C. Special Fund
- D. Either (A) or (B)

Answer» A. Income and Expenditure Account

55. Income and Expenditure account shows subscription at 2,50,000. Subscriptions accrued in the beginning of the year and at the end of the year were 25,000 and 37,500 respectively. The amount of subscriptions received appearing in receipts and payments account will be

- A. 2,37,500
- B. 2,75,000

55. Income and Expenditure account shows subscription at 2,50,000. Subscriptions accrued in the beginning of the year and at the end of the year were 25,000 and 37,500 respectively. The amount of subscriptions received appearing in receipts and payments account will be

C. 1,87,500

D. 2,62,500

Answer» B. 2,75,000

56. Which of the following transaction is not recorded in cash book?

A. Bad debts recovered

B. Prepaid expenses

C. Trade discount allowed

D. Freight paid for acquiring an asset

Answer» A. Bad debts recovered

57. Credit purchase of fixed asset is recorded in

A. Journal Proper

B. Purchase book

C. Cash book

D. Petty Cash Book

Answer» C. Cash book

58. Expenses paid but not accrued means

A. Capital exp
Expenses

B. Outstanding expenses

C. Prepaid expenses

D. Cash

Answer» A. Capital expenses

59. Until the discounted bill is paid by the acceptor, it remains as

A. a contingent liability

B. a current liability

C. an asset

D. an expense

Answer» C. an asset

60. The amount of yearly depreciation under written down value method

A. remains same over the years

B. decreases year by year

C. increases year by year

D. Fluctuates

Answer» A. remains same over the years

61. Goods purchased from Mr. A but wrongly entered in the account of Mr. B. The rectification of error in

- A. increase in gross profit
- B. decrease in gross profit
- C. no effect on gross profit
- D. either A or B

Answer» B. decrease in gross profit

62. When cash received for services rendered in the past

- A. Owner's equity increases
- B. Current asset increases
- C. Profit increases
- D. None of the above

Answer» C. Profit increases

63. Stock in the hand of the consignee is valued

- A. at market price or cost price whichever is less.
- B. at selling price.
- C. at cost price after inclusion of proportionate non-recurring expenses.
- D. at consignment price.

Answer» D. at consignment price.

64. Noting charges are paid by

- A. the drawee
- B. the drawer
- C. the payee
- D. the acceptor

Answer» A. the drawee

65. The valuation procedure for stock is cost or net realizable value, whichever is lower. The procedure is per

- A. Historical Cost Concept
- B. Going Concern Concept
- C. Money Measurement Concept
- D. Conservatism Concept

Answer» C. Money Measurement Concept

66. When incomes recognized on cash basis and expenditure recognized on accrual basis, the system term

- A. Accrual basis of accounting
- B. Cash basis of accounting
- C. Mercantile basis of accounting

66. When incomes recognized on cash basis and expenditure recognized on accrual basis, the system term

D. Hybrid basis of accounting

Answer» D. Hybrid basis of accounting

67. Which one is not considered as capital expenditure?

A. Depreciation

B. Architect's fees

C. Demolition cost

D. Legal cost for buying property

Answer» D. Legal cost for buying property

68. Legal charges paid to defend a suit on firm's factory site is

A. Capital expenditure

B. Revenue expenditure

C. Deferred revenue expenditure

D. Prepaid expenditure

Answer» C. Deferred revenue expenditure

69. Profit and loss account is prepared for a period of one year by following the concept of

A. Consistency Concept

B. Cost Concept

C. Going Concern Concept

D. Periodicity Concept

Answer» D. Periodicity Concept

70. The trial balance checks

A. Nature of business

B. Valuation of closing stock

C. Correctness of cash in hand

D. Arithmetical accuracy

Answer» D. Arithmetical accuracy

71. Errors in carry forward of closing balances from one year to another which affects

A. Nominal accounts

B. Real accounts

C. Personal accounts

D. Both (B) and (C)

Answer» D. Both (B) and (C)

72. If a bill drawn on 13th July 2018 for 60 days, payment must be made on

A. 15th September, 2018

B. 14th September, 2018

72. If a bill drawn on 13th July 2018 for 60 days, payment must be made on

C. 13th September, 2018

D. 12th September, 2018

Answer» D. 12th September, 2018

73. The manufacturing account is prepared

A. to ascertain the cost of goods manufactured.

B. to ascertain gross profit.

C. to ascertain profit or loss on the goods manufactured

Answer» A. to ascertain the cost of goods manufactured.

74. Which one of the following is not a financial statement?

A. Trial Balance

B. Profit and Loss account

C. Balance Sheet

D. Fund Flow statement

Answer» A. Trial Balance

75. Any revenue expense for which a separate fund is available will be

A. capitalized and shown in the balance sheet.

B. debited to income and expenditure account.

C. debited to the separate fu

Answer» C. debited to the separate fu

76. _____ is not objective of accounting.

A. Gives accurate information

B. Keeps records in systematic manner

C. Analyses recorded data

D. Ascertain financial position of business

Answer» A. Gives accurate information

77. Which of the following is not a paper transaction?

A. Charge of depreciation

B. Discount received

C. Bad debts written off

D. Cash stolen from office

Answer» A. Charge of depreciation

78. Which of the following is capital expenditure?

A. Repairs of fixed asset

B. Demolition cost

C. Locker rent

78. Which of the following is capital expenditure?

D. Annual subscription

Answer» D. Annual subscription

79. Advertising expenses for launching a new product of the company is_____.

A. Revenue expenditure

B. Capital expenditure

C. Deferred revenue expenditure

D. Deferred capital expenditure

Answer» C. Deferred revenue expenditure

80. _____does fulfill the function of both a journal and a ledger.

A. Purchase book

B. Cash book

C. Sales book

D. Bills Payable book

Answer» B. Cash book

81. Which of the following is artificial personal account?

A. SBI account

B. Wages paid account

C. Discount received account

D. Drawings account

Answer» A. SBI account

82. Accounting cycle ends with preparation of_____.

A. the journal/ledger

B. the trial balance

C. the financial statement

D. the closing entries record

Answer» D. the closing entries record

83. Journal proper uses to record_____.

A. bad debts recovered

B. all cash purchases of assets other than goods

C. writing of bad debts

D. purchase of goods on credit

Answer» B. all cash purchases of assets other than goods

84. In case of, deposited of cheque into bank but not collected, the balance is less as per_____

A. Cash book

B. Pass book

84. In case of, deposited of cheque into bank but not collected, the balance is less as per _____

C. Pass book overdraft

D. Both (A) and (B)

Answer» B. Pass book

85. Accounting does not record non-financial transactions because of

A. Entity concept

B. Accrual concept

C. Cost concept

D. Money measurement concept

Answer» A. Entity concept

86. Narration is given at the end of

A. Final accounts

B. Trial balance

C. Each ledger account

D. Each journal entry

Answer» D. Each journal entry

87. Which one of the following is an example of Personal Account?

A. Machinery

B. Rent

C. Cash

D. Creditor

Answer» D. Creditor

88. 5,000 incurred for up gradation of computer by installation of 128 MB Ram is

A. Revenue expenditure

B. Deferred revenue expenditure

C. Capital expenditure

D. None of the above

Answer» C. Capital expenditure

89. Cost of goods purchased for resale is an example of

A. Revenue expenditure

B. Capital expenditure

C. Deferred revenue expenditure

D. None of the above

Answer» A. Revenue expenditure

90. Insurance claim received on account of machinery damaged completely by fire is

A. Capital receipt

90. Insurance claim received on account of machinery damaged completely by fire is

- B. Revenue receipt
- C. Capital expenditure
- D. Revenue expenditure

Answer» A. Capital receipt

91. An expenditure is capital in nature when

- A. The receiver of the amount is going to treat it for the purchase of fixed assets.
- B. It increases the quantity of fixed assets.
- C. It is paid as interest on loans for the business.
- D. It maintains of fixed asset.

Answer» B. It increases the quantity of fixed assets.

92. A withdrawal of cash from business by the proprietor should be credited to

- A. Drawing Account
- B. Capital Account
- C. Cash Account
- D. Purchase Account

Answer» C. Cash Account

93. Cash book is a form of

- A. Ledger
- B. Journal
- C. Trial Balance
- D. All of the above

Answer» A. Ledger

94. A sale of goods to Laxman for cash should be debited to

- A. Laxman A/c
- B. Cash A/c
- C. Sales A/c
- D. Capital A/c

Answer» B. Cash A/c

95. The debts written off earlier as bad, subsequently recovered are

- A. Debited to profit and loss A/c
- B. Credited to bad debt recovery A/c
- C. Credited to trade receivable A/c
- D. Credited to debtors A/c

Answer» B. Credited to bad debt recovery A/c

96. Which one of the following is an external cause for depreciation

- A. Over use
- B. Abnormal occurrence
- C. Time element
- D. Obsolescence

Answer» D. Obsolescence

97. Original cost of a machine is 1,50,000, residual value 10,000, if depreciation is charged @ 105 per an WDV method then depreciation for 3rd year will be

- A. 12,240
- B. 11,340
- C. 12,150
- D. 14,000

Answer» C. 12,150

98. On which of the following asset, depreciation is charged on 'Depletion method'

- A. Goodwill
- B. Plant and Machinery
- C. Land and Building
- D. Wasting asset like mine and quarries

Answer» D. Wasting asset like mine and quarries

99. If a sum of 1,500 received from Laxman (debtor) has not been recorded in the books, the

- A. Profit would show an increase of 1,500
- B. Profit would show a decrease of 1,500
- C. Assets would show a decrease of 1,500
- D. None of the above

Answer» D. None of the above

100. If goods worth 1,750 returned to supplier is wrongly entered in sales returned book as 1,570 then

- A. Gross profit will decrease by 3,320
- B. Gross profit will decrease by 3,500
- C. Gross profit will increase by 3,320
- D. Net profit will decrease by 3,140

Answer» A. Gross profit will decrease by 3,320

101. Which of the following errors affects the agreement of a trial balance?

- A. Mistake in balancing an account
- B. Omitting to record a transaction entirely in the subsidiary books
- C. Recording of a wrong entry in the subsidiary book
- D. Posting an entry on the correct side but in the wrong account

Answer» A. Mistake in balancing an account

102. Difference in Bank Balance as per Pass book and Cash book may arise on account of

- A. Cheque issued but not presented
- B. Cheque issued but dishonoured
- C. Cheque deposited not credited by bank
- D. All of the above

Answer» D. All of the above

103. Which of these items are taken into consideration for preparation of adjusted cash book?

- A. Mistake in cash book
- B. Mistake in pass book
- C. Cheque issued but not presented for payment
- D. Cheque deposited but not cleared by bank

Answer» A. Mistake in cash book

104. Kasi draws a bill on Shyam for 5,000 and Kasi endorsed it to Ram. Ram endorses it to Rahul. The party liable to pay the bill will be

- A. Kasi
- B. Ram
- C. Shyam
- D. Rahul

Answer» D. Rahul

105. On receipt of goods from the consignor the consignee debits which of these accounts?

- A. Purchase account
- B. Goods account
- C. Consignor account
- D. None of the above

Answer» D. None of the above

106. The Consignment Accounting is made on the following basis

- A. Cash basis
- B. Realisation basis
- C. Accrual basis
- D. None of the above

Answer» C. Accrual basis

107. Joint venture account is of the nature of

- A. Personal account
- B. Nominal account
- C. Real account
- D. Suspense account

Answer» B. Nominal account

108. If unsold goods costing 20,000 is taken over by venturer at 15,000, the joint venture account will be credited with

- A. 20,000
- B. 15,000
- C. 5,000
- D. Nil

Answer» B. 15,000

109. Closing stock appearing in the trial balance is shown in

- A. Trading A/c and Balance sheet
- B. Profit and Loss A/c
- C. Balance Sheet only
- D. Trading A/c only

Answer» C. Balance Sheet only

110. Which one of the following character is not related to Financial Accounting?

- A. Evaluates the financial strength of the whole business.
- B. Based on monetary transactions of the enterprise
- C. Reports are always subject to statutory audit.
- D. Reports are as per requirement of management.

Answer» D. Reports are as per requirement of management.

111. Which one of the following equation is correct?

- A. Owner's Equity = Liability + Asset
- B. Owner's Equity = Asset - Liability
- C. Liability = Owner's Equity + Asset
- D. Asset = Owner's Equity + Liability

Answer» B. Owner's Equity = Asset - Liability

112. Identify the Personal Account from the following

- A. Salary Payable Account
- B. Taxes paid account
- C. Investment Account
- D. Trademark Account

Answer» A. Salary Payable Account

113. Which of the following is a transaction of contra entry?

- A. Sale goods to Y 12,500
- B. Godown rent 7,000 paid by cheque.
- C. Received 12,000 in full settlement of 12,500
- D. Cash deposited to bank 9,000.

Answer» D. Cash deposited to bank 9,000.

114. When Trial Balance will not tally/mismatch?

- A. Two errors those are compensating each other.
- B. A transaction recorded twice.
- C. Taking balance to the wrong side in the Trial balance
- D. If an entry is totally missed.

Answer» C. Taking balance to the wrong side in the Trial balance

115. An entry of 1,560 has been debited to a Debtor's Personal Account at 1,650. It is an error of

- A. Omission
- B. Commission
- C. Principle
- D. Compensating

Answer» B. Commission

116. Amount set apart to meet loss due to bad debt is a

- A. Provision
- B. Appropriation
- C. Reserve
- D. Commission

Answer» A. Provision

117. Reduction in value of asset due to its continuous use is treated as

- A. Appreciation
- B. Depreciation
- C. Loss
- D. Profit

Answer» B. Depreciation

118. What happens when a bad debt is recovered?

- A. Current asset decreases
- B. Debtor's balance decreases
- C. Profit increases
- D. Owner's fund decreases

Answer» C. Profit increases

119. Which balance is not considered for closing entries on the basis of trial balance for transferring to Profit & Loss Account?

- A. Salary and Wages
- B. Discount Received
- C. Commission Paid
- D. Cash in Hand

119. Which balance is not considered for closing entries on the basis of trial balance for transferring to Profit & Loss Account?

Answer» D. Cash in Hand

120. Select correct journal entry to rectify an error "An amount of 10,000, withdrawn by owner for personal use, was debited to Trade Expenses Account". Debit Credit

- A. Drawing Account Trade Expenses a/c
- B. Trade Expenses a/c Drawing Account
- C. Drawing Account Cash Account
- D. Trade Expenses a/c Cash Account

Answer» B. Trade Expenses a/c Drawing Account

121. M/s. A.B. Enterprises has bank balance 8,800 as per cash book and the followings were found: (a) The balance was deposited in bank for 5,800 but only one cheque for 2,000 was cleared. (b) Dividend collected by Bank was wrongly entered in cash book as 1,520. What is balance as per pass book?

- A. 3,480
- B. 4,730
- C. 2,730
- D. 3,750

Answer» B. 4,730

122. House Building advance of 2.00 lakh paid to employees. It is a/an

- A. Asset
- B. Revenue Expenditure
- C. Capital Expenditure
- D. Deferred Revenue Expenditure

Answer» A. Asset

123. Claims against company pending in court case. It is a

- A. Current Liability
- B. Current Asset
- C. Contingent Liability
- D. Un-secured Loan

Answer» C. Contingent Liability

124. Which one of the following is not a negotiable instrument?

- A. Currency Note
- B. Promissory Note
- C. Bill of Exchange
- D. Crossed Cheque

Answer» A. Currency Note

125. Which one of the following is not the feature of a joint venture business?

- A. Co-venture may or may not contribute initial capital.
- B. It has limited duration
- C. It is done for specific purpose
- D. Profit or loss on joint venture is shared as per their capital ratio.

Answer» D. Profit or loss on joint venture is shared as per their capital ratio.

126. There are 250 members in the Srikrishna Club where annual subscription is 500. During 2016-17, subscription received is 97,500 and subscription receivable is 47,500. What amount of subscription received in advance is 2016-17?

- A. 20,000
- B. 25,000
- C. 27,500
- D. 50,000

Answer» A. 20,000

127. When goods are purchased for the joint venture, the account to be debited is

- A. Purchase account
- B. Joint Venture account
- C. Venture's capital account
- D. either Purchase account or Joint venture account

Answer» D. either Purchase account or Joint venture account

128. The abnormal loss on consignment is credited to:

- A. Profit and Loss Account
- B. Consignee's Account
- C. Consignment Account
- D. Insurance Company Account

Answer» C. Consignment Account

129. Fixed Assets and Current Assets are categorized as per concept of

- A. Separate Entity
- B. Going Concern
- C. Consistency
- D. Time period

Answer» B. Going Concern

130. An expenditure is in capital nature when

- A. the receiver of the amount is going to treat it for the purchase of fixed assets.
- B. it increase the quantity of fixed assets.
- C. it is paid as interests on loans for the business

130. An expenditure is in capital nature when

D. it maintains a fixed assets

Answer» A. the receiver of the amount is going to treat it for the purchase of fixed assets.

131. Cash book is a

A. Subsidiary book

B. Subsidiary book and a Ledger account

C. Ledger account

D. None of the above

Answer» B. Subsidiary book and a Ledger account

132. The periodical total of the Sales Return Book is posted to the

A. Debit side of Sales Account

B. Debit side of Sales Return Account

C. Credit side of Sales Return Account

D. Debit side of Debtors Account

Answer» B. Debit side of Sales Return Account

133. Goods sent on consignment account is of the nature of

A. Personal Account

B. Nominal Account

C. Real Account

D. Sales Account

Answer» C. Real Account

134. Which of the following items are shown in the income and expenditure account?

A. Only items of capital nature.

B. Only items of revenue nature which are received during the period of accounts.

C. Only items of revenue nature pertaining to the period of accounts.

D. Both the items of capital and revenue nature.

Answer» C. Only items of revenue nature pertaining to the period of accounts.

135. Income tax of the sole trade paid is shown

A. Debited to P & L Account

B. Debited to Trading Account

C. Debited to his Capital Account

D. None of the above

Answer» C. Debited to his Capital Account

136. Narration are given at the end of

A. Final Accounts

B. Each Ledger Account in Trial Balance

136. Narration are given at the end of

- C. Each Ledger Account
- D. Each Journal Entry

Answer» D. Each Journal Entry

137. Life membership fees received by a club is a

- A. Revenue Expenditure
- B. Capital Expenditure
- C. Deferred Revenue Expenditure
- D. Capital Receipt

Answer» D. Capital Receipt

138. A bad debt recovered during the year will be

- A. Capital Expenditure
- B. Revenue Expenditure
- C. Capital Receipt
- D. Revenue Receipt

Answer» D. Revenue Receipt

139. Nominal Account represents

- A. Profit & Gain
- B. Loss / Expenses
- C. Both (A) and (B)
- D. None of the above

Answer» C. Both (A) and (B)

140. Prepaid rent is a

- A. Nominal Account
- B. Representative Personal Account
- C. Tangible Assets Account
- D. None of the above

Answer» B. Representative Personal Account

141. Purchases book is used to record

- A. All purchases of goods
- B. All credit purchases
- C. All credit purchases of goods
- D. All credit purchases of assets other than goods

Answer» C. All credit purchases of goods

142. The source document or voucher used for recording entries in Sales Book is

- A. invoice received

142. The source document or voucher used for recording entries in Sales Book is

- B. invoice sent out
- C. credit notes sent out
- D. debit notes received

Answer» B. invoice sent out

143. Ledger contains various _____ in it.

- A. Transactions
- B. Entries
- C. Accounts
- D. None of the above

Answer» C. accounts

144. Purchase price of Machine 8,90,000; Freight and Cartage 7,000; Installation charges 30,000; Insurance 20,000; Residual value is 40,000; estimated useful life 5 years. The amount of annual depreciation under straight line method will be

- A. 1,77,400
- B. 1,81,400
- C. 1,97,400
- D. 1,77,900

Answer» A. 1,77,400

145. The value of an asset after deducting depreciation from the historical cost is known as

- A. Fair value
- B. Market value
- C. Net realizable value
- D. Book value

Answer» D. Book value

146. Goods worth 272 returned by Lala passed through the books as 722. In the rectification entry

- A. Lala will be debited by 450
- B. Lala will be debited by 272
- C. Lala will be credited by 722
- D. Lala will be credited by 272

Answer» A. Lala will be debited by 450

147. When preparing a bank reconciliation statement, if you start with debit balance as per cash book and credit balance as per bank statement, the amount to bank but not collected should be

- A. Added
- B. Deducted
- C. Not required to be adjusted
- D. None of the above

147. When preparing a bank reconciliation statement, if you start with debit balance as per cash book cheques to bank but not collected should be

Answer» B. Deducted

148. Payment of Bills of Exchange is received

- A. by drawer
- B. by holder in due course of due date
- C. by endorsee
- D. by bank

Answer» B. by holder in due course of due date

149. Which of these is/are recurring (indirect) expenses?

- A. Transit Insurance and Freight
- B. Octroi
- C. Loading and Unloading
- D. Go-down Rent and Insurance

Answer» D. Go-down Rent and Insurance

150. Goods of the invoice value of 2,40,000 sent out to consignee at 20% profit on cost, the loading amount is

- A. 40,000
- B. 48,000
- C. 50,000
- D. None of the above

Answer» A. 40,000

151. Memorandum joint venture account is

- A. Personal Account
- B. Real Account
- C. Nominal Account
- D. None of the above

Answer» C. Nominal Account

152. The balance of the Petty Cash is a / an

- A. Expense
- B. Income
- C. Asset
- D. Liability

Answer» C. asset

153. Endowment fund receipt is treated as

- A. Capital Receipt
- B. Revenue Receipt
- C. Loss

153. Endowment fund receipt is treated as

D. Expenses

Answer» A. Capital Receipt

154. Purchase book records:

A. All cash purchases

B. All credit purchases

C. Credit purchase of goods in trade

D. None of the above

Answer» C. Credit purchase of goods in trade

155. A bank reconciliation statement is prepared to know the causes for the differences between:

A. The balances as per cash column of cash book and the pass book

B. The balances as per bank column of cash book and the pass book

C. The balances as per bank column of cash book and cash column of cash book

D. None of the above

Answer» B. The balances as per bank column of cash book and the pass book

156. Which of the following is of capital nature:

A. Purchase of goods

B. Cost of repair

C. Wages paid for installation of machinery

D. Ret of factory

Answer» C. Wages paid for installation of machinery

157. Which account is the odd one:

A. Furniture

B. Materiality

C. Matching

D. Periodicity

Answer» A. Furniture

158. Which financial statement represents the accounting equation “assets = liabilities + owners’ equity”

A. Trading account

B. Profit & loss account

C. Balance sheet

D. Statement of cash flows

Answer» C. Balance sheet

159. “Business unit separate and distinct from the owner of it ”,is based on:

A. Money measurement

B. Going concern concept

159. “Business unit separate and distinct from the owner of it ”,is based on:

- C. Business entity concept
- D. Dual aspect concept

Answer» C. Business entity concept

160. If two or more transactions of the same nature are journalize together having either the debit or credit common is known as:

- A. Compound journal entry
- B. Separate journal entry
- C. Posting
- D. Journalizing

Answer» A. Compound journal entry

161. A Is sent to a customer when he returns the goods

- A. Debit note
- B. Credit note
- C. Proforma invoice
- D. Bill

Answer» B. Credit note

162. Writing of the transactions in the ledger is called.....

- A. Posting
- B. Journalizing
- C. Balancing
- D. Auditing

Answer» A. Posting

163. A withdrawal of cash from the business by the proprietor should be Credited to:

- A. Drawings A/c
- B. Capital A/c
- C. Cash A/c
- D. Current A/c

Answer» A. Drawings A/c

164. Narrations are given at the end of

- A. Final accounts
- B. Trial balance
- C. Each ledger accounts
- D. Each journal entry

Answer» D. Each journal entry

165. Which of the following lists the balance and the title of accounts in the ledger on a given date?

- A. P & L account
- B. Balance sheet
- C. Income statement
- D. Trial balance

Answer» D. Trial balance

166. Which of the following is not a transaction?

- A. Goods are purchased on cash basis for Rs.1000
- B. Salaries paid for the month of may 2009
- C. Land is purchased for Rs.10 lacs
- D. An employee is dismissed from the job

Answer» D. An employee is dismissed from the job

167. Payment of personal expenses of the owners of business need to be recorded as:

- A. Drawing
- B. Liabilities
- C. Expenses
- D. Gains

Answer» A. Drawing

168. principle requires that the same method should be used from one account to the next .

- A. Conservation
- B. Business entity
- C. Consistency
- D. Money measurement

Answer» C. Consistency

169. The petty cashier generally works on System

- A. Accrual
- B. Imprest
- C. Balancing
- D. None of these

Answer» B. Imprest

170. Difference of totals of both debit and credit side of the trial balance is transferred to:

- A. Suspense account
- B. Trading account
- C. P & L account
- D. Current account

Answer» A. Suspense account

171. Carriage inward is debited to :

- A. Suspense account
- B. Trading account
- C. P & L account
- D. P & L appropriation account

Answer» B. Trading account

172. Double column cash book records :

- A. Only cash transactions
- B. All transactions
- C. Cash and bank transactions
- D. Cash purchase and cash sales transactions

Answer» C. Cash and bank transactions

173. All of the following have debit balance except one. That account is

- A. Wages account
- B. Debtors account
- C. Good will
- D. Bills payable account

Answer» D. Bills payable account

174. Drawings are deducted from

- A. Sales
- B. Purchases
- C. Expenses
- D. Capital

Answer» D. Capital

175. will generally show a debit balance.

- A. Bank loan
- B. Bad debt recovered
- C. Salary payable
- D. Drawings

Answer» D. Drawings

176. Purchase of a fixed asset on credit basis is recorded in

- A. Cash book
- B. Purchase book
- C. Journal proper
- D. None of these

Answer» C. Journal proper

177. Which of the following account will have credit balance?

- A. Sales return
- B. Bills receivable
- C. Carriage inward
- D. Outstanding wages

Answer» D. Outstanding wages

178. Depreciations arises because of :

- A. Fall in the market value of the asset
- B. Fall in the value of money
- C. Physical wear and tear of asset
- D. Inflation in the market

Answer» C. Physical wear and tear of asset

179. Goodwill is

- A. Current account
- B. Fictitious asset
- C. Tangible asset
- D. Intangible asset

Answer» D. Intangible asset

180. When money is withdrawn from the bank the account of the customer.

- A. Credits
- B. Debits
- C. Either (a) or (b)
- D. None of these

Answer» B. Debits

181. In case of debit balance , the words are written on the debit side.

- A. To balance b/d
- B. To balance c/d
- C. By balance b/d
- D. By balance c/d

Answer» A. To balance b/d

182. Bank pass book is also known as

- A. Bank book
- B. Bank account
- C. Bank column
- D. Bank statement

Answer» D. Bank statement

183. Capital expenditure are recorded in the

- A. Balance sheet
- B. Profit & loss account
- C. Trading account
- D. Manufacturing account

Answer» A. Balance sheet

184. Accounts receivable normally has Balance

- A. Credit
- B. Debit
- C. Favorable
- D. Negative

Answer» B. Debit

185. Financial statements are the part of

- A. Accounting
- B. Book keeping
- C. All of the above
- D. None of the above

Answer» A. Accounting

186. Total of purchase return boo is posted periodically to the credit of

- A. Purchase return book
- B. Cash book
- C. Journal proper
- D. None of these

Answer» A. Purchase return book

187. In case credit balance , the words are written on the credit side.

- A. To balance b/d
- B. To balance c/d
- C. By balance b/d
- D. By balance c/d

Answer» C. By balance b/d

188. Bank overdraft has a balance

- A. Debit
- B. Credit
- C. Negative
- D. Favorable

Answer» B. Credit

189. Journal proper records :

- A. Bills receivables
- B. Bills payables
- C. Cash payments
- D. Opening entry

Answer» D. Opening entry

190. Following is not the example of external users

- A. Government
- B. Management
- C. Investors
- D. Suppliers and other creditors

Answer» B. Management

191. The trial balance shows closing stock of Rs.30,000 .it will be recorded in

- A. Trading account
- B. Profit and loss account
- C. Profit and loss appropriation account
- D. Balance sheet

Answer» D. Balance sheet

192. Carriage outward is debited to

- A. Trading account
- B. P/L account
- C. Profit and loss appropriation account
- D. Balance sheet

Answer» B. P/L account

193. Which of the following is correct?

- A. Capital = Asset – Liabilities
- B. Capital = Asset + Liabilities
- C. Asset = Liabilities – capital
- D. Liabilities = Asset + capital

Answer» A. Capital = Asset – Liabilities

194. In the ledger there are columns.

- A. 4
- B. 6
- C. 8
- D. 10

Answer» C. 8

195. Users of accounting information include

- A. Creditors
- B. Lenders
- C. Customers
- D. All of the above

Answer» D. All of the above

196. Accounting standards in India are issued by

- A. Central Govt.
- B. State Govt.
- C. Institute of chartered accountants in India
- D. RBI

Answer» C. Institute of chartered accountants in India

197. Book debts normally has balance.

- A. Credit
- B. Debit
- C. Unfavorable
- D. None of the above.

Answer» B. Debit

198. Capital expenditure provide benefits

- A. Long period
- B. Short period
- C. Very short period
- D. None of the above

Answer» A. Long period

199. Accounts payable normally has balnce.

- A. Credit
- B. Debit
- C. Unfavorable
- D. None of the above

Answer» A. Credit

200. Interest on drawings is for the business.3

- A. Expense
- B. Capital
- C. Gain
- D. None of the above

Answer» C. Gain

201. Loss leads to reduction in

- A. Liability
- B. Capital
- C. Income
- D. Asset

Answer» B. Capital

202. Petty expenses paid in cash are recorded in:

- A. Purchase book
- B. Sales book
- C. Petty cash book
- D. Purchase return book

Answer» C. Petty cash book

203. Current assets does not include :

- A. Cash
- B. Stock
- C. Debtors
- D. Furniture

Answer» D. Furniture

204. Stock is

- A. Fixed asset
- B. Current asset
- C. Investments
- D. Intangible asset

Answer» B. Current asset

205. All of the following have debit balance except:

- A. 6% debentures
- B. Loan to contractor
- C. Interest on debentures
- D. Audit fees

Answer» A. 6% debentures

206. Salary and wages is debited to:

- A. Trading account
- B. P/L account
- C. Profit and loss appropriation account
- D. Balance sheet

Answer» B. P/L account

207. Wages and salary is debited to:

- A. Trading account
- B. P/L Account
- C. Profit and loss appropriations account
- D. Balance sheet

Answer» A. Trading account

208. Journal proper records

- A. Credit purchase
- B. Credit sales
- C. Purchase of asset on credit
- D. Sales return

Answer» C. Purchase of asset on credit

209. Land & building is a

- A. Fixed asset
- B. Current asset
- C. Fictitious asset
- D. Intangible asset

Answer» A. Fixed asset

210. Which of the following account will have credit balance?

- A. Bank over draft
- B. Carriage inwards
- C. Prepaid expenses
- D. Bills receivable

Answer» A. Bank over draft

212. Three column cash book records

- A. Only cash transactions
- B. All transactions
- C. Cash bank and discount transactions
- D. Cash purchase and cash sales transactions

Answer» C. Cash bank and discount transactions

213. Trial balance is prepared according to :

- A. Total method
- B. Balance method
- C. Total and balance method
- D. All the three

Answer» B. Balance method

214. A person who owes money to the business is a

- A. Debtor
- B. Creditor
- C. Investor
- D. Supplier

Answer» A. Debtor

215. A is person to whom business owes money.

- A. Debtor
- B. Creditor
- C. Investor
- D. Proprietor

Answer» B. Creditor

216.denote goods brought for sale.

- A. Sale
- B. Expense
- C. Purchase
- D. Revenue

Answer» C. Purchase

217. Assets acquired for long use in the business are called

- A. Fixed assets
- B. Current assets
- C. Fictitious asset
- D. Liquid asset

Answer» A. Fixed assets

218. is an example of wasting asset

- A. Cash
- B. Company man
- C. Mines
- D. Loan

Answer» C. Mines

219. Assets acquired for short term use in the business are called.....

- A. Fixed assets
- B. Current assets
- C. Fictitious assets
- D. Liquid assets

Answer» B. Current assets

220. is the major source of revenue of any business.

- A. Investment
- B. Advances
- C. Loan
- D. Sales

Answer» D. Sales

221. refers the amount invested by the owner into business.

- A. Loan
- B. Advance
- C. Capital
- D. Prepaid expenses

Answer» C. Capital

222. Assets having definite shape and physical existence are called.....

- A. Tangible asset
- B. Intangible asset
- C. Wasting asset
- D. Fictitious asset

Answer» A. Tangible asset

223. Assets which get exhausted to the extent of extraction are called

- A. Tangible asset
- B. Intangible asset
- C. Wasting asset
- D. Fictitious asset

Answer» C. Wasting asset

224. are liabilities which become due and payable within a short period.

- A. Fixed liabilities
- B. Long term liabilities
- C. Current liabilities
- D. Contingent liabilities

Answer» C. Current liabilities

225. is an example for fictitious asset.

- A. Machinery
- B. Stock
- C. Patent
- D. Preliminary expenses

Answer» D. Preliminary expenses

226. is the collection of all accounts.

- A. Journal
- B. Voucher
- C. Invoices
- D. Ledger

Answer» D. Ledger

227. is the book of original entry.

- A. Journal
- B. Voucher
- C. Invoices
- D. Ledger

Answer» A. Journal

228. The process of ascertaining the balance of a particular account on a given date is :

- A. Posting
- B. Journalizing
- C. Balancing
- D. Accounting

Answer» C. Balancing

FINANCIAL ACCOUNTING

1. All the transactions measurable in the terms of money are recorded in accounts is according to

- A. business entity concept
- B. going concern concept
- C. money measurement concept
- D. accounting period concept

Answer» C. money measurement concept

2. Dividing the expenditure into capital and revenue is according to

- A. business entity concept
- B. going concern concept
- C. money measurement concept
- D. accounting period concept

Answer» D. accounting period concept

3. While putting the value or price of an entity in financial records the lowest price is recorded not the price or current market value. This is known as

- A. business entity concept
- B. Conservatism
- C. cost concept

3. While putting the value or price of an entity in financial records the lowest price is recorded not the price or current market value. This is known as

D. money measurement concept

Answer» B. conservatism

4. Co-operative societies is an example of

A. personal account

B. real account

C. nominal account

D. representative personal account

Answer» A. personal account

5. Outstanding salary account is a

A. natural personal account

B. artificial personal account

C. representative personal account

D. real account

Answer» C. representative personal account

6. Interest earned is a

A. personal account

B. real account

C. nominal account

D. representative personal account

Answer» C. nominal account

7. Commission paid is a

A. personal account

B. real account

C. nominal account

D. representative personal account

Answer» C. nominal account

8. Trading account is a

A. personal account

B. real account

C. nominal account

D. representative personal account

Answer» C. nominal account

9. Profit and loss account is a

A. personal account

- 9. Profit and loss account is a**
- B. real account
 - C. nominal account
 - D. representative personal account

Answer» C. nominal account

- 10. All revenue incomes are credited to**
- A. manufacturing account
 - B. trading account
 - C. profit and loss account
 - D. balance sheet

Answer» C. profit and loss account

- 11. In profit and loss account, if credit is more than the debit, the difference is**
- A. net profit
 - B. net loss
 - C. gross profit
 - D. gross loss

Answer» A. net profit

- 12. The process of recording financial data up to trial balance is**
- A. book keeping
 - B. Classifying
 - C. Summarizing
 - D. Analyzing

Answer» A. book keeping

- 13. In income measurement & recognition of assets & liabilities which of the following concepts goes to**
- A. periodicity, accrual, matching
 - B. cost, accrual, matching
 - C. going concern, cost, realization
 - D. going concern, periodicity, reliability

Answer» A. periodicity, accrual, matching

- 14. Interpretation means**
- A. explanation of meaning and significance of the data in financial statements.
 - B. concerned with preparation and presentation of classified data
 - C. systematic analysis of recorded data
 - D. methodical classification of data given in financial statements.

Answer» A. explanation of meaning and significance of the data in financial statements.

15. Which of the following is wrong?

- A. all real and personal accounts are transferred to balance sheet
- B. nominal accounts are transferred to p & l account
- C. each account is opened separately in ledger
- D. rent is a personal account, outstanding rent is nominal account

Answer» D. rent is a personal account, outstanding rent is nominal account

16. _____ is root cause for financial accounting

- A. stewardship accounting
- B. social accounting
- C. management accounting
- D. human resource accounting

Answer» A. stewardship accounting

17. The proprietor of the business is treated as creditor for the capital introduced by him due to _____

- A. money measurement
- B. Cost
- C. Entity
- D. dual aspect

Answer» C. entity

18. Fixed assets are held by business for _____

- A. converting into cash
- B. generating revenue
- C. Resale
- D. none of the above

Answer» B. generating revenue

19. Which accounting concept specifies the practice of crediting closing stock to the trading account?

- A. Cost
- B. Realization
- C. going concern
- D. Matching

Answer» D. matching

20. Amount spent to increasing the earning capacity is a _____ expenditure

- A. Capital
- B. Revenue
- C. deferred revenue
- D. capital loss

Answer» A. capital

21. Human resources will not appear in the balance sheet according to _____ concept.

- A. Accrual
- B. going concern
- C. money measurement concept
- D. None

Answer» C. money measurement concept

22. Provision for discount on debtors is calculated on the amount of debtors.

- A. before deducting provision for doubtful debts.
- B. after deducting provision for doubtful debts.
- C. before deducting actual debts and provision for doubtful debts.
- D. after adding actual bad and doubtful debts.

Answer» B. after deducting provision for doubtful debts.

23. Which of the following is not a Real Account?

- A. cash a/c
- B. investments a/c
- C. outstanding rent a/c
- D. purchases a/c

Answer» C. outstanding rent a/c

24. Value of goods withdrawn by the proprietor for his personal use should be credited to _____

- A. capital a/c
- B. sales a/c
- C. drawings a/c
- D. purchases a/c

Answer» D. purchases a/c

25. Which of the following is incorrect?

- A. good will – intangible asset
- B. sundry debtors – current asset
- C. loose tools - tangible fixed asset
- D. outstanding expenses – current asset

Answer» D. outstanding expenses – current asset

26. M/s Stationery Mart will debit the purchase of stationery to _____

- A. purchases a/c
- B. general expenses a/c
- C. stationery a/c
- D. None

Answer» A. purchases a/c

27. Small items like, pencils, pens, files, etc. are written off within a year according to ____ concept.

- A. Materiality
- B. Consistency
- C. Conservatism
- D. Realization

Answer» A. materiality

28. Business enterprise is separate from its owner according to _____ concept.

- A. money measurement concept
- B. matching concept
- C. entity concept
- D. dual aspect concept

Answer» C. entity concept

29. The policy of anticipate no profit and provide for all possible losses arise due to the concept of _____

- A. Consistency
- B. Disclosure
- C. Conservatism
- D. Matching

Answer» C. conservatism

30. According to which concept, the proprietor pays interest on drawings

- A. accrual concept
- B. conservatism concept
- C. entity concept
- D. dual aspect concept

31. Cost concept basically recognizes _____

- A. fair market value
- B. historical cost
- C. realizable value
- D. replacement cost

Answer» B. historical cost

32. If the Market value of closing Inventory is less than its cost price, inventory will be shown at _____

- A. marketable value
- B. fair market value
- C. Both
- D. None

Answer» A. marketable value

- 33. The Market price of good declined than the cost price. Then the concept that plays a key role is _____**
- A. Materiality
 - B. going concern concept
 - C. Realization
 - D. Consistency

Answer» C. realization

- 34. Fixed assets are double the current assets and half the capital. The current assets are Rs.3,00,000 and investments are Rs.4,00,000. Then the current liabilities recorded in balance sheet will be**
- A. 2,00,000
 - B. 1,00,000
 - C. 3,00,000
 - D. 4,00,000

Answer» B. 1,00,000

- 35. Which of the following provide frame work and accounting policies so that the financial statements of enterprises become comparable.**
- A. business standards
 - B. accounting standards
 - C. market standards
 - D. None

Answer» B. accounting standards

- 36. Which of the following factor is not considered while selecting accounting policies?**
- A. Prudence
 - B. substance over form
 - C. Accountancy
 - D. Materiality

Answer» C. accountancy

- 37. Debit the receiver & credit the giver is _____ account**
- A. Personal
 - B. Real
 - C. Nominal
 - D. all the above

Answer» A. personal

- 38. Cash a/c is a _____**
- A. real a/c
 - B. Nominal
 - C. Personal
 - D. None

38. Cash a/c is a _____

Answer» A. real a/c

39. As per accrual concept, which of the followings is not true

- A. revenue – expenditure = profit
- B. revenue – profit = expenditure
- C. sales + gross profit = revenue
- D. revenue = profit + expenditure

Answer» C. sales + gross profit = revenue

40. Mr. X sold goods to Mr. Y ask Mr. X to keep the goods with him for some time

- A. symbolic delivery
- B. actual delivery
- C. constructive delivery
- D. none of these

Answer» A. symbolic delivery

41. If nothing is written about the accounting assumption to be followed it is presumed that

- A. they have been followed
- B. they have not been followed
- C. they are followed to some extent
- D. none of these

Answer» B. they have not been followed

42. Capital A/c is a _____ A/c.

- A. Personal
- B. Real
- C. Nominal
- D. None

Answer» A. personal

43. Cash A/c is a _____ A/c.

- A. Personal
- B. Real
- C. Nominal
- D. None

Answer» B. real

44. The principle “Debit the receiver and credit the giver” is related to _____

- A. personal a/c
- B. real a/c
- C. nominal a/c

44. The principle “Debit the receiver and credit the giver” is related to _____

D. None

Answer» A. personal a/c

45. Which of the following is a Real A/c?

A. building a/c

B. capital a/c

C. shyam a/c

D. rent a/c

Answer» A. building a/c

46. Valuation of stock in accounting follows the principle of cost price or _____ whichever is lower.

A. market price

B. average price

C. net realizable value

D. none of these.

Answer» C. net realizable value

47. Which of the following is not a nominal Account?

A. outstanding salaries account

B. salaries account

C. interest paid

D. commission received

Answer» A. outstanding salaries account

48. For every debit there will be an equal credit according to

A. matching concept

B. cost concept

C. money measurement concept

D. dual aspect concept

Answer» D. dual aspect concept

49. Historical cost concept requires the valuation of an asset at

A. original cost

B. replacement value

C. net realizable value

D. market value

Answer» A. original cost

50. The comparison of financial statement of one year with that of another is possible only when _____ followed

A. going concern

50. The comparison of financial statement of one year with that of another is possible only when _____ followed

- B. Accrual
- C. Consistency
- D. Materiality

Answer» C. consistency

51. Profit and loss is calculated at the stage of

- A. Recording
- B. Posting
- C. Classifying
- D. Summarizing

Answer» D. summarizing

52. Which of the following is not the main objective of accounting?

- A. systematic recording of transactions
- B. ascertaining profit or loss
- C. ascertainment of financial position
- D. solving tax disputes with tax authorities

Answer» D. solving tax disputes with tax authorities

53. The rule debit all expenses and losses and credit all income and gains relates to

- A. personal account
- B. real account
- C. nominal accounts
- D. All

Answer» C. nominal accounts

54. Matching concept means

- A. assets = capital + liabilities
- B. transactions recorded at accrual concept
- C. anticipate no profit but recognize all losses
- D. expenses should be matched with the revenue of the period. branch accounts

Answer» D. expenses should be matched with the revenue of the period. branch accounts

55. When Branch pays expenses for H.O. the following account is debited in the books of the branch _____

- A. expenses is debited
- B. h.o. a/c is debited
- C. branch is debited
- D. None

Answer» B. h.o. a/c is debited

56. Under the stock and debtor system, Branch A/c is treated as _____

- A. joint a/c
- B. nominal a/c
- C. personal a/c
- D. real a/c

Answer» D. real a/c

57. Goods are sent to branch at cost plus 20%. If closing stock of the branch is Rs 60,000 at invoice price, the amount which will be credited to stock reserve a/c.

- A. rs 10000
- B. rs 12000
- C. rs 6000
- D. rs 12600

Answer» A. rs 10000

58. HO sends goods to branch at 20% profit on invoice price, therefore the percentage of profit on cost price is _____

- A. 15%
- B. 25%
- C. 33.33%
- D. 20%

Answer» B. 25%

59. HO sends goods to branch at invoice price after adding 25% on cost price, so profit would be ____ % of cost price

- A. 33.33%
- B. 40%
- C. 20%
- D. 25%

Answer» C. 20%

60. For finding the amount of sundry expenses paid by the branch, the following a/c should be prepared

- A. computer a/c
- B. Creditors
- C. petty cash a/c
- D. Debtors

Answer» C. petty cash a/c

61. If the opening balance of petty cash is Rs 1000, closing balance is Rs 500 and the petty cash received is Rs 700, then what will be the amount of sundry expenses _____

- A. rs 1200
- B. rs 800

61. If the opening balance of petty cash is Rs 1000, closing balance is Rs 500 and the petty cash received Rs 700, then what will be the amount of sundry expenses _____

C. rs 700

D. rs 500

Answer» A. rs 1200

62. H.O. sent Rs 5000 as petty cash to branch during the year. Opening and closing balances of petty cash are Rs 1400 and Rs 400 respectively. Then petty expenses of the branch during the year will be _____

A. rs 5000

B. rs 6400

C. rs 4600

D. rs 6000

Answer» D. rs 6000

63. Which of the following branches, taking into consideration the scope of authority and responsibility, maintain their own independent final accounts?

A. independent branch

B. foreign branch

C. dependent branch

D. independent and foreign branch both

Answer» A. independent branch

64. Opening balance of debtors a/c is Rs 1,40,000. Credit sales is Rs 10,74,000 and closing balance of Debtors a/c is Rs 1,90,000. What is the amount of cash collection from the debtors?

A. rs 10,24,000

B. rs 8,84,000

C. rs 11, 52,000

D. rs 8,42,000

Answer» A. rs 10,24,000

65. Goods in transit are shown in the balance sheet at _____

A. head office

B. Branch

C. Both

D. none of above

Answer» A. head office

66. H.O. has sent goods on invoice price worth Rs 2,40,000 which are 25% above cost price. What is the cost of the goods?

A. rs 60000

B. rs 240000

C. rs 48000

66. H.O. has sent goods on invoice price worth Rs 2,40,000 which are 25% above cost price. What is the element?

D. rs 160000

Answer» C. rs 48000

67. The adjusting entry for difference between the invoice price and cost price of goods are shown in _____

A. balance sheet

B. p & l a/c

C. branch adjustment a/c

D. none of above

Answer» C. branch adjustment a/c

68. Stock and debtors system is generally used when goods are sent to the branch at _____

A. cost price

B. invoice price

C. Both

D. None

Answer» B. invoice price

69. H.O. sent goods to branch at invoice price 50% plus on original price. How many percentage of profit is on Invoice price?

A. 20%

B. 25%

C. 33.33%

D. 16.67%

Answer» C. 33.33%

70. Goods sent by HO but not received by branch before the end of the year, by debiting it to goods in transit account should be credited?

A. cash a/c

B. h.o. a/c

C. trading a/c

D. branch a/c

Answer» D. branch a/c

71. If the opening balance of debtors is Rs 16,000 and closing balance is Rs 80,000, cash received from debtors is Rs 35,000 and bad debts is Rs 1,000, then what will be the amount of credit sales?

A. rs 95000

B. rs 105000

C. rs 100000

D. rs 110000

Answer» C. rs 100000

72. The system of keeping accounts generally adopted by small size branches are:

- A. debtors system
- B. stock & debtors system
- C. wholesale branch system
- D. final account system

Answer» A. debtors system

73. Goods are supplied by the head office to dependent branches are at:

- A. cost price
- B. invoice price
- C. market price
- D. cost or invoice price

Answer» D. cost or invoice price

74. Under debtors system which account is prepared by head office to calculate profit or loss of each branch:

- A. capital account
- B. debtors account
- C. branch account
- D. branch adjustment account

Answer» C. branch account

75. Under debtors system depreciation on fixed asset is _____

- A. credited to branch a/c
- B. debited to branch a/c
- C. not shown in branch a/c
- D. shown in debtors a/c

Answer» C. not shown in branch a/c

76. Branch Trading & Profit & Loss A/c is only a _____ account not forming part of the full accounts of the branch.

- A. Single
- B. Memorandum
- C. Capital
- D. Double

Answer» B. memorandum

77. In final account system, Branch Trading and Profit & Loss A/c is prepared at _____

- A. invoice price
- B. cost price
- C. cost & invoice price
- D. market price

Answer» C. cost & invoice price

78. Under Final A/c system, the profit or loss made by the branch is determined by preparing

- A. branch stock a/c
- B. branch debtors a/c
- C. branch adjustment a/c
- D. branch trading & profit & loss a/c

Answer» D. branch trading & profit & loss a/c

79. The Branch Account prepared under Final Account System is the nature of:

- A. nominal account
- B. real account
- C. personal account
- D. general account

Answer» A. nominal account

80. Dependent branch makes:

- A. cash sales only
- B. credit sales only
- C. cash & credit sales
- D. instalment sales

Answer» C. cash & credit sales

81. All branch expenses such as rent, salary are paid by H.O in case of:

- A. independent branch
- B. local branch
- C. dependent branch
- D. foreign branch

82. Branch Trading & Profit & Loss A/c is prepared to incorporate all _____

- A. revenue items
- B. capital items
- C. asset items
- D. past items

Answer» A. revenue items

83. The difference between goods sent by H.O. and received by branch is known as _____

- A. goods in transit
- B. goods in warehouse
- C. goods in production
- D. goods in go-down

Answer» A. goods in transit

84. The stock reserve for unrealized profit will be _____ to the H.O profit & Loss A/C

- A. Debited
- B. Credited
- C. first credited then debited
- D. not shown

Answer» D. not shown

85. _____ account is prepared to adjust the loads included in the value of opening stock and closing stock

- A. branch stock
- B. branch adjustment
- C. stock reserve
- D. branch p&l

Answer» B. branch adjustment

86. _____ account shows the shortage or surplus of stock.

- A. branch adjustment
- B. branch stock
- C. goods sent to branch
- D. branch p&l

Answer» B. branch stock

87. The profit included in surplus or shortage of stock is transferred to _____ account

- A. branch stock
- B. branch expenses
- C. branch adjustment
- D. branch p&l

Answer» C. branch adjustment

88. The balance of branch adjustment account is transferred to _____ account

- A. branch stock
- B. branch p&l
- C. branch debtors
- D. branch expenses

Answer» B. branch p&l

89. An ordinary partnership business can have:

- A. not more than 50 partners
- B. not more than 20 partners.
- C. any number of partners.
- D. any number than 2 partners.

Answer» B. not more than 20 partners.

90. In the absence of an agreement profit and loss are divided by partners in the ratio of:

- A. Capital
- B. Equally
- C. time devoted by each partners
- D. none of these.

Answer» B. equally

91. In the absence of an agreement, Interest on loan advanced by the partner to the firm is allowed at th

- A. 6%
- B. 5%
- C. 12%
- D. 9%

Answer» A. 6%

92. Current accounts of the partners should be opened when the capitals are:

- A. Fluctuating
- B. Fixed
- C. either fixed or fluctuating
- D. none of these

Answer» B. fixed

93. Investment in partnership is made by introducing:

- A. Cash
- B. none – cash assets
- C. cash or non – cash assets
- D. none of these.

Answer» C. cash or non – cash assets

94. Partnership is formed by the partners by:

- A. written agreement
- B. oral agreement
- C. written or oral
- D. none of these

Answer» C. written or oral

95. Any partner who investments in the business but does not take active part in the business is:

- A. secret partner
- B. sleeping partner
- C. active partner
- D. nominal partner

Answer» B. sleeping partner

96. The written agreement of partnership is called:

- A. partnership deed
- B. articles of association
- C. memorandum of association
- D. certificate of incorporation

Answer» A. partnership deed

97. Under fixed capital methods, profit will be credited to:

- A. capital account
- B. Drawings
- C. current a/c
- D. profit & loss

Answer» C. current a/c

98. The members of partnership firm are individually called as:

- A. Director
- B. Investor
- C. Partner
- D. Manager

Answer» C. partner

99. Liability of partners in a partnership business is:

- A. Limited
- B. un-limited
- C. limited & unlimited
- D. none of these

Answer» B. un-limited

100. Capital of the partners are maintained by:

- A. fixed capital method
- B. fluctuating capital methods
- C. by any two above methods
- D. none of them.

Answer» C. by any two above methods

101. Drawings of the partners are:

- A. debited to profit & loss a/c
- B. credited to profit & loss a/c
- C. credited to capital a/c
- D. debited to capital a/c

Answer» D. debited to capital a/c

102. A partners has to pay interest on drawings what is the entry in the personal A/c of the partner?

- A. credit partners capital a/c
- B. credit partners current a/c
- C. debit the partners current a/c
- D. debit partners current a/c

Answer» D. debit partners current a/c

103. Salary paid to partner should be:

- A. debited to his current a/c
- B. credited to his current a/c
- C. credited to profit & loss appropriation a/c
- D. none of above

Answer» D. none of above

104. Interest on capital Account:

- A. debited to profit & loss a/c
- B. credit to profit & loss a/c
- C. debit to profit & loss and credited to partners capital a/c
- D. only credited to partners capital a/c

Answer» C. debit to profit & loss and credited to partners capital a/c

105. At the time of admission of a new partner the firm is:

- A. Dissolved
- B. Continued
- C. not effected
- D. re-organized

Answer» A. dissolved

106. At the time of admission an incoming partner contributes as goodwill:

- A. in cash
- B. does not pay cash
- C. may or may not pay cash for goodwill
- D. none of these.

Answer» C. may or may not pay cash for goodwill

107. Goodwill is valued as two years purchase of the average profits of three previous years are Rs. 15000 of goodwill be:

- A. rs. 15000
- B. rs. 30000
- C. rs. 20000
- D. rs. 50000

Answer» B. rs. 30000

108. Value of goodwill agreed upon Rs. 30000 on C, S admission and allowing him $\frac{1}{4}$ share of total profit brought in cash, the amount of goodwill be as:

- A. rs. 30000
- B. rs. 7500
- C. rs. 150000
- D. rs. 120000

Answer» B. rs. 7500

109. Goodwill of the firm is valued Rs. 30000. C an incoming partner purchase $\frac{1}{4}$ share of total profit Goodwill raised in the books.

- A. rs. 30000
- B. rs. 7500
- C. rs. 120000
- D. rs. 7000

Answer» A. rs. 30000

110. An incoming partner pays his share of goodwill in cash, and profit sharing ration of old partner is changed. Goodwill be distributed among old partners:

- A. as their old profit ratio
- B. according to new ration
- C. according to sacrifice ratio
- D. none of these

Answer» C. according to sacrifice ratio

111. At the time of admission of a new partner, general reserve is:

- A. debited to capital of old partners
- B. credited to capital of old partners
- C. allowed to remain in balance sheet
- D. debited to current account

Answer» B. credited to capital of old partners

112. A new partner may be admitted to a partnership:

- A. with the consent of all partners
- B. with the consent of two third of old partners
- C. with the consent of any one of the partners
- D. without consent of old partners

Answer» A. with the consent of all partners

113. At the time of a new partner Goodwill:

- A. belongs to all partners, new and old
- B. belongs only to the new partners who is going to be admitted
- C. belongs only to the old partner who have credited it

113. At the time of a new partner Goodwill:

D. none of the above.

Answer» C. belongs only to the old partner who have credited it

114. In the revaluation account a decrease in the value of plant and machinery:

A. appears on the debit side

B. appears on the credit side

C. appears on the debit side of good will account

D. does not appear at all

Answer» A. appears on the debit side

115. In the revaluation account an increase in the value of land and building:

A. appears on the debit side

B. appears on the credit side

C. appears on the credit side of good will account

D. does not appear at all

Answer» B. appears on the credit side

116. The partnership may come to an end due to the:

A. death of a partner

B. insolvency of partner

C. by giving notice

D. all of the above

Answer» D. all of the above

117. In case of retirement of a partner full good will is credited to the accounts of:

A. all partners

B. only retiring partner

C. only remaining partner

D. none of the above

Answer» A. all partners

118. Revaluation account is operated to find out gain or loss at the time of:

A. admission of a partner

B. retirement of a partner

C. death of a partner

D. all of above

Answer» D. all of above

119. Partners equity is effected due to:

A. retirement of a partner

B. admission of a partner

119. Partners equity is effected due to:

- C. death of a partner
- D. all of above

Answer» D. all of above

120. The accounting procedure at the retirement of partner is valued:

- A. revaluation of assets and liabilities
- B. ascertaining his share of goodwill
- C. finding the amount due to him
- D. all of above

Answer» D. all of above

121. If the remaining partner want to continue the business, after the retirement of a partner, a new partnership agreement:

- A. Necessary
- B. not necessary
- C. Optioned
- D. none of above

Answer» A. necessary

122. An account operated to ascertain the loss or gain at the death of a partner is called:

- A. realization account
- B. revaluation account
- C. execution account
- D. deceased partner a/c

Answer» B. revaluation account

123. Amount due to outgoing partner is shown in the balance sheet as his:

- A. Liability
- B. Asset
- C. Capital
- D. Loan

Answer» D. loan

124. The loss or gain an account of revaluation at the time of retirement of a partner is shared by:

- A. remaining partners
- B. retiring partner
- C. all partners
- D. none of above

Answer» C. all partners

125. On the retirement of a partner any reserve being should be transferred to the capital account of:

- A. all partners in the old profit sharing ratio
- B. remaining partners in the new profit sharing ratio
- C. neither the retiring partner, nor the remaining partner
- D. none of above

Answer» A. all partners in the old profit sharing ratio

126. Retirement or death of a partner.

- A. is dissolution of partnership agreement
- B. is dissolution of a firm
- C. may or may not be a dissolution of partnership agreement
- D. none of above

Answer» A. is dissolution of partnership agreement

127. If all the partners, but one are insolvent it is:

- A. dissolution of an agreement
- B. dissolution of firm
- C. may or may not cause dissolution
- D. none of above

Answer» B. dissolution of firm

128. If all the partners, but one, are solvent it is:

- A. dissolution of partnership agreement
- B. dissolution of firm
- C. may or may not cause dissolution
- D. none of above

Answer» B. dissolution of firm

129. At the time of dissolution:

- A. all the assets are transferred to realization a/c
- B. only current assets are transferred to realization a/c
- C. non cash assets are transferred to realization a/c
- D. only liquid and current asset are transferred to realization a/c

Answer» C. non cash assets are transferred to realization a/c

130. At the time of dissolution non – cash assets are credited with:

- A. market value
- B. book value
- C. as the agreed amount among the partners
- D. cost or market whichever is low

Answer» B. book value

131. If a partner takes over an asset of the firm, his capital account:

- A. will be debited with the amount as agreed
- B. will be credited with the market value of the asset
- C. will be debited with book value of the asset
- D. none of above

Answer» A. will be debited with the amount as agreed

132. Loss on realization is distributed among partners:

- A. according to profit and loss ratio
- B. according to capital ratio
- C. as decided among them
- D. none of above

Answer» A. according to profit and loss ratio

133. Loss on realization is:

- A. debited to partners capital a/c
- B. credited to partners capital a/c
- C. debited to realization a/c
- D. credited to realization a/c

Answer» A. debited to partners capital a/c

134. When all partners are insolvent creditors will be:

- A. paid fully
- B. paid rate ably
- C. taken over by the partners
- D. paid by government

Answer» B. paid rate ably

135. The persons who have entered into a partnership business are individually called:

- A. realization a/c
- B. partners capital a/c
- C. sundry debtors
- D. provision for bad debts a/c

Answer» A. realization a/c

136. The persons who have entered into a partnership business are individually called:

- A. Vender
- B. Agents
- C. Partners
- D. a firm

Answer» C. partners

137. If no provision is made in agreement regarding the duration of the partnership:

- A. limited partnership
- B. partnership at will
- C. None
- D. particular partnership

Answer» B. partnership at will

138. A person who receives a share of profits from one of the regular partner is called:

- A. secret partner
- B. Quasi
- C. partner in profit only
- D. sub – partner

Answer» D. sub – partner

139. The agreement among partners which set out the terms on which they had agreed to form a partnership is called:

- A. partnership deed
- B. partnership at will
- C. none of these
- D. arbitration clause

Answer» A. partnership deed

140. Every partner has a right to be consulted in all matters affecting the business of:

- A. sole-tradership
- B. Partnership
- C. Jsc
- D. both (a) and (b)

Answer» B. partnership

141. For the firm interest on drawing is:

- A. Expense
- B. Income
- C. Liability
- D. None

Answer» B. income

142. A credit balance on a partner's current A/c is.

- A. fixed capital
- B. part of capital
- C. a current asset
- D. long – term liability

142. A credit balance on a partner's current A/c is.

Answer» B. part of capital

143. Old profit sharing ratio minus new profit sharing ration is equal to:

- A. sacrificing ratio
- B. ratio of gain
- C. capital ratio
- D. None

Answer» A. sacrificing ratio

144. A is drawing Rs. 500 regularly on the 16th of every month, he will have to pay interest in a year on R the total period of @ given rate of interest):

- A. 5 months
- B. 6 months
- C. 7 months
- D. 12 months

Answer» B. 6 months

145. For any decrease in the value of liability, revolution A/c is to be:

- A. Debited
- B. Credited
- C. both (cr.) & (dr.)
- D. neither (dr.) & (cr.)

Answer» B. credited

146. Revolution A/c is a:

- A. real a/c
- B. personal a/c
- C. cash a/c
- D. nominal a/c

Answer» D. nominal a/c

147. When good will is brought in cash by new partner, method is known as:

- A. premium method
- B. revolution method
- C. memorandum revolution method
- D. None

Answer» A. premium method

148. Section 37 of partnership act provided interest on the amount left by retiring or decreased partner a

- A. 5%
- B. 10%

148. Section 37 of partnership act provided interest on the amount left by retiring or decreased partner a

- C. 6%
- D. bank rate

Answer» C. 6%

149. When a partner dies, firm will receive the:

- A. 1/2 amount of policy
- B. 1/4 amount of policy
- C. 3/4 amount of policy
- D. full amount of policy

Answer» D. full amount of policy

150. At the time of dissolution all the assets of firm are transferred to the realization A/c:

- A. market value
- B. book value
- C. cost value
- D. bale value

Answer» B. book value

151. Balance of realization A/c is transferred to the capital A/c of the partners in:

- A. capital ratio
- B. profit sharing ratio
- C. interest ratio
- D. Equally

Answer» B. profit sharing ratio

**152. When an asset is acquired on hire purchase system, the asset account is debited with _____ of the a
books of the hire purchaser.**

- A. hire purchase price
- B. cash price
- C. instalment price
- D. none of these

Answer» B. cash price

**153. If the firm stops making repayments and the goods or assets are taken away from them as a result, th
as:**

- A. Cancellation
- B. Forfeiture
- C. Repossession
- D. Annulment

Answer» C. repossession

154. On the balance sheet of a company, the value of the asset bought through hire purchase will appear as:

- A. cost less depreciation to date less amount owing on hire purchase less interest owing
- B. cost less amounts owing on hire purchase
- C. cost less depreciation to date less amount owing on hire purchase
- D. cost less depreciation to date

Answer» D. cost less depreciation to date

155. The depreciation on an asset purchased through hire purchase should be:

- A. should be straight line only
- B. based on the cost price of the asset only
- C. based on the total cost including interest
- D. no depreciation should be provided until the final payment is made

Answer» B. based on the cost price of the asset only

156. The interest charged on the hire purchase should appear in the profit and loss account in what manner?

- A. the total interest levied should be divided equally over the total period of the purchase agreement
- B. the interest charged in that period only should be included
- C. interest should instead be capitalised on the balance sheet
- D. interest should be apportioned in proportion to the repayment totals

Answer» B. the interest charged in that period only should be included

157. Ownership of goods under hire purchase agreement is transferred at the time of:

- A. payment of down payment
- B. payment of first instalment
- C. payment of last instalment
- D. none of the above

Answer» C. payment of last instalment

158. Which of the following does not give a difference between a hire purchase and a normal purchase?

- A. timing of payment for asset
- B. legal ownership of asset
- C. quality of asset purchased
- D. total cost of asset.

Answer» C. quality of asset purchased

159. The act of buying an asset without having to make full payment in the immediate future is known as:

- A. hire purchase
- B. finance lease
- C. operating lease
- D. sale and leaseback

Answer» A. hire purchase

160. The amount of interest is credited by the buyer to _____

- A. hire purchase account
- B. hire vendor account
- C. interest account
- D. cash account

Answer» B. hire vendor account

161. The depreciation in the books of buyer is charged on _____

- A. hire purchase price
- B. market price
- C. total instalment amount
- D. cash price

Answer» D. cash price

162. Hirer charges depreciation on:

- A. hire purchase price
- B. cash price
- C. lower of the two
- D. none of these

Answer» B. cash price

163. What is transferred to Hirer under hire purchase system:

- A. ownership of assets
- B. possession of asset
- C. ownership and possession of asset
- D. none of these

Answer» B. possession of asset

164. Hire Purchase Act is passed in the year

- A. 1932
- B. 1956
- C. 1972
- D. 1872

Answer» C. 1972

165. The Sale of Goods Act is applicable in:

- A. credit purchases
- B. cash purchases
- C. cash sales
- D. none of these

Answer» A. credit purchases

166. Under which system, ownership is transferred on payment of final installment

- A. installment system
- B. credit system
- C. hire purchase system
- D. cash system

Answer» A. installment system

167. Under hire purchase system the buyer is called _____

- A. Buyer
- B. Hirer
- C. hire vendor
- D. debtor.

Answer» C. hire vendor

168. Under hire purchase system who has the right of sell _____

- A. Buyer
- B. Hirer
- C. hire vendor
- D. Debtor

Answer» C. hire vendor

169. Under hire purchase system, the agreement can be _____

- A. Renewed
- B. Registered
- C. Terminated
- D. endorsed.

Answer» C. terminated

170. Installment system is governed by _____

- A. hire purchase act
- B. sale of goods act
- C. installment act
- D. properties registration act

Answer» B. sale of goods act

171. Under hire purchase system, the retail price of the articles is called _____

- A. Mrp
- B. wholesale price
- C. retail price
- D. cash price

Answer» C. retail price

172. The advance amount under hire purchase system is called _____

- A. cash price
- B. retail price
- C. Interest
- D. down payment

Answer» D. down payment

173. Under hire purchase system, interest is calculated on _____

- A. cash price
- B. hire purchase price
- C. Mrp
- D. outstanding balance.

Answer» D. outstanding balance.

174. If the hire purchaser fails to make payment of any installment, it is called _____

- A. Default
- B. Repossession
- C. Sale
- D. Purchase

Answer» A. default

175. If the hire vendor may take away all the goods on which there is default of installment it is called _____

- A. Repossession
- B. partial repossession
- C. complete repossession
- D. purchase.

Answer» C. complete repossession

176. The hire vendor takes away only a portion of the goods on which there is default of Installments it is called _____

- A. Repossession
- B. partial repossession
- C. complete repossession
- D. Purchase

Answer» B. partial repossession

177. In the books of hirer, for payment of installment hire vendor account will be _____

- A. Debited
- B. Credited
- C. Rectified
- D. Reversed

Answer» A. debited

178. In the books of hirer, for interest due at the end of the year hire vendor account will be _____

- A. Debited
- B. Credited
- C. Rectified
- D. Reversed

Answer» B. credited

179. In the books of Hirer, the interest and depreciation account will be transferred to _____.

- A. trading account
- B. p & l account
- C. p & l appropriation account
- D. balance sheet

Answer» B. p & l account

180. Nature of hire purchase agreement is _____.

- A. agreement of sale
- B. option to transfer
- C. option to buy
- D. option to sell

Answer» C. option to buy

181. In case of Hire-Purchase the total sum payable by the hire-purchaser as per terms in order to complete transactions is

- A. net cash price
- B. net hire-purchase charges
- C. hire-purchase price
- D. cash price instalment

Answer» C. hire-purchase price

182. Under _____ system the buyer does not get ownership of goods immediately

- A. Installment
- B. Hp
- C. installment and hp
- D. none of these

Answer» B. hp

183. _____ means the price at which the goods can be purchased by the hirer for ready cash.

- A. hp price
- B. installment price
- C. cash price
- D. down payment

Answer» C. cash price

184. _____ is the initial payment made at the time of signing the hire purchase agreement

- A. hp price
- B. installment price
- C. cash price
- D. down payment

Answer» D. down payment

185. The difference between hire purchase price and the cash price is called _____

- A. hire charges
- B. cost of the asset
- C. installment price
- D. cash price

Answer» A. hire charges

186. In order to deal with the re possession the hire vendor operates an account called _____

- A. asset account
- B. goods account
- C. goods repossessed account
- D. none of these

Answer» C. goods repossessed account

187. Hire Purchase price =

- A. cash price + down payment
- B. cash price + total interest
- C. cash price
- D. sum of total instalments

Answer» B. cash price + total interest

188. Cash Price =

- A. hire purchase price – total interest
- B. down payment in cash
- C. down payment + interest
- D. none of the above

Answer» A. hire purchase price – total interest

189. Which of the following statement is false:

- A. a company is a legal entity quite distinct from its members
- B. a company can buy its own share
- C. a shareholder is the agent of the company
- D. same person can agent and creditor of the company

Answer» C. a shareholder is the agent of the company

190. Which of the following are the characteristics of a company

- A. liability of the members is limited up to the face value of shares held by them
- B. it is a voluntary association of persons
- C. a company is a separate body can sue and be sued in its own name
- D. perpetual succession

Answer» C. a company is a separate body can sue and be sued in its own name

191. Share application and allotment account is a:

- A. personal account
- B. real account
- C. nominal account
- D. none of the above

Answer» A. personal account

192. Securities premium account is shown on the liabilities side of the balance sheet under the head:

- A. share capital
- B. reserves and surplus
- C. current liabilities
- D. non-current liabilities

Answer» B. reserves and surplus

193. The portion of the authorized capital which can be called-up only on the liquidation of the company

- A. authorized capital
- B. reserve capital
- C. issued capital
- D. called up capital

Answer» B. reserve capital

194. Which of the following statement is false:

- A. buy back must be authorized by articles of company
- B. a special resolution must be passed for buy back
- C. shares can be partly paid up
- D. the ratio of debt owed by the company is not more than twice the capital and its

Answer» C. shares can be partly paid up

195. If shares are bought back out of free reserves then a sum equal to nominal value of the shares so bought is transferred to:

- A. capital reserve account
- B. capital redemption reserve account (crr)
- C. general reserve account

195. If shares are bought back out of free reserves then a sum equal to nominal value of the shares so bought is transferred to:

D. statutory reserve account

Answer» B. capital redemption reserve account (crr)

196. Maximum buy back limit in any year is _____ of total paid up equity capital and free reserves.

A. 25%

B. 10%

C. 20%

D. no limit

Answer» A. 25%

197. Which of the following statement is false:

A. bonus issue is made out of free reserves or securities premium collected in cash only

B. bonus shares can be issued out revaluation profit

C. no bonus issue shall be made within 12 months of any public or right issue

D. company can issue bonus shares in any ratio.

Answer» B. bonus shares can be issued out revaluation profit

COST AND MANAGEMENT ACCOUNTING

1. Basic objectives of cost accounting is

A. tax compliance.

B. financial audit.

C. cost ascertainment.

D. profit analysis.

Answer» C. cost ascertainment.

2. Direct cost incurred can be identified with

A. each department.

B. each unit of output.

C. each month.

D. each executive.

Answer» B. each unit of output.

3.	Overhead cost is the total of .
A.	all indirect costs.
B.	all direct costs.
C.	indirect and direct costs.
D.	all specific costs.
Answer» A. all indirect costs.	

4.	Imputed cost is a .
A.	notional cost.
B.	real cost.
C.	normal cost.
D.	variable cost.
Answer» A. notional cost.	

5.	Operating costing is suitable for .
A.	job order business.
B.	contractors.
C.	sugar industries.
D.	service industries.
Answer» D. service industries.	

6.	Process costing is suitable for .
A.	hospitals.
B.	oil reefing firms.
C.	transport firms.
D.	brick laying firms.
Answer» B. oil reefing firms.	

6.	Process costing is suitable for .

7.	Cost classification can be done in .
A.	two ways.
B.	three ways.
C.	four ways.
D.	several ways.
Answer» D. several ways.	

8.	Costing refers to the techniques and processes of
A.	ascertainment of costs.
B.	allocation of costs.
C.	apportion of costs.
D.	distribution of costs.
Answer» A. ascertainment of costs.	

9.	Cost accounting was developed because of the .
A.	limitations of the financial accounting.
B.	limitations of the management accounting.
C.	limitations of the human resource accounting.
D.	limitations of the double entry accounting.
Answer» A. limitations of the financial accounting.	

10.	Multiple costing is a technique of using two or more costing methods for ascertainment of cost by.
A.	the same firm.
B.	the several firms.
C.	the same industry.

10.	Multiple costing is a technique of using two or more costing methods for ascertainment of cost by.
D.	the several industries.
Answer» A. the same firm.	

11.	Wages paid to a labour who was engaged in production activities can be termed as.
A.	direct cost.
B.	indirect cost.
C.	sunk cost.
D.	imputed cost.
Answer» A. direct cost.	

12.	The cost which is to be incurred even when a business unit is closed is a.
A.	imputed cost.
B.	historical cost.
C.	sunk cost.
D.	Shutdown cost.
Answer» D. Shutdown cost.	

13.	Classification of cost is useful
A.	to find gross profit.
B.	to find net profit.
C.	to identify costs.
D.	to identify efficiency.
Answer» C. to identify costs.	

14.	Elements of costs are.
A.	three types.

14.	Elements of costs are.
B.	four types.
C.	five types.
D.	seven types.
Answer» A. three types.	

15.	Direct expenses are also called
A.	major expenses.
B.	chargeable expenses.
C.	overhead expenses.
D.	sundry expenses.
Answer» B. chargeable expenses.	

16.	Indirect material used in production is classified as.
A.	office overhead.
B.	selling overhead.
C.	distribution overhead.
D.	production overhead.
Answer» D. production overhead.	

17.	Warehouse rent is a part of
A.	prime cost.
B.	factory cost.
C.	distribution cost.
D.	production cost.
Answer» C. distribution cost.	

18.	Indirect material scrap is adjusted along with .
A.	prime cost.
B.	factory cost.
C.	labour cost.
D.	cost of goods sold.
Answer» B. factory cost.	

19.	Which one of the following is not considered for preparation of cost sheet?
A.	Factory cost.
B.	Goodwill written off.
C.	Selling cost.
D.	Labour cost.
Answer» B. Goodwill written off.	

20.	Sale of defectives is reduced from .
A.	prime cost.
B.	works cost.
C.	cost of production.
D.	cost of sales.
Answer» C. cost of production.	

21.	Tender is an.
A.	estimation of profit.
B.	estimation of cost.
C.	estimation of selling price.
D.	estimation of units.
Answer» C. estimation of selling price.	

22.	Cost of sales plus profit is .
A.	Selling price.
B.	value of finished product.
C.	value of goods produced.
D.	value of stocks.
Answer» A. Selling price.	

23.	Prime cost includes.
A.	Direct materials, direct wages and indirect expenses.
B.	Indirect materials and indirect labour and indirect expenses.
C.	Direct materials, direct wages and direct expenses.
D.	Direct materials, indirect wages and indirect expenses.
Answer» C. Direct materials, direct wages and direct expenses.	

24.	Total of all direct costs is termed as
A.	prime cost.
B.	works cost.
C.	cost of sales.
D.	cost of production.
Answer» A. prime cost.	

25.	Depreciation of plant and machinery is a part of
A.	factory overhead.
B.	selling overhead.
C.	distribution overhead.
D.	administration overhead.
Answer» A. factory overhead.	

25.	Depreciation of plant and machinery is a part of
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26.	Audit fess is a part of
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- A. works on cost.
- B. selling overhead.
- C. distribution overhead.
- D. administration overhead.

Answer» D. administration overhead.

27.	Counting house salary is part of
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- A. factory overhead.
- B. selling overhead.
- C. distribution overhead.
- D. administration overhead.

Answer» D. administration overhead.

28.	Factory overhead can be charged on the basis of -.
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- A. material cost.
- B. labour cost.
- C. prime cost.
- D. direct expenses

Answer» A. material cost.

29.	Office and administrative expenses can be charged on the basis of
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- A. material cost.
- B. labour cost.
- C. prime cost.
- D. factory cost.

Answer» C. prime cost.

29.	Office and administrative expenses can be charged on the basis of

30.	Selling and distribution expenses can be charged on the basis of
A.	material cost.
B.	labour cost.
C.	prime cost.
D.	factory cost.
Answer» C. prime cost.	

31.	The ratios which reflect managerial efficiency in handling the assets is.
A.	turnover ratios
B.	profitability ratios.
C.	short term solvency ratio.
D.	long term solvency ratio.
Answer» A. turnover ratios	

32.	The ratios which reveal the final result of the managerial policies and performance is
A.	turnover ratios.
B.	profitability ratios.
C.	short term solvency ratio.
D.	long term solvency ratio.
Answer» B. profitability ratios.	

33.	Return on investment is a
A.	turnover ratios.
B.	short term solvency ratio.
C.	profitability ratios.

33.	Return on investment is a
D.	long term solvency ratio.
Answer» C. profitability ratios.	

34.	Net profit ratio is a
A.	turnover ratio.
B.	long term solvency ratio.
C.	short term solvency ratio
D.	profitability ratio.
Answer» D. profitability ratio.	

35.	Stock turnover ratio is a
A.	turnover ratio.
B.	profitability ratio.
C.	short term solvency ratio.
D.	long term solvency ratio.
Answer» A. turnover ratio.	

36.	Current ratio is a
A.	short-term solvency ratio.
B.	long-term solvency ratio.
C.	profitability ratio.
D.	turnover ratio.
Answer» A. short-term solvency ratio.	

37.	Proprietary ratio is a .
A.	short-term solvency ratio.

37.	Proprietary ratio is a .
B.	long-term solvency ratio.
C.	profitability ratio.
D.	turnover ratio.
Answer» B. long-term solvency ratio.	

38.	Fixed assets ratio is a
A.	short-term solvency ratio.
B.	long-term solvency ratio.
C.	profitability ratio.
D.	turnover ratio.
Answer» B. long-term solvency ratio.	

39.	Fixed assets turnover ratio is a
A.	short-term solvency ratio.
B.	long-term solvency ratio.
C.	profitability ratio.
D.	turnover ratio.
Answer» D. turnover ratio.	

40.	The ratio which measures the profit in relation to capital employed is known as
A.	return on investment.
B.	gross profit ratio.
C.	operating ratio.
D.	operating profit ratio.
Answer» A. return on investment.	

41.	The ratio which determines the profitability from the shareholder's point of view is
A.	return on investment.
B.	gross profit ratio.
C.	return on shareholders funds.
D.	operating profit ratio.
Answer» C. return on shareholders funds.	

42.	Return on equity is also called
A.	. return on investment.
B.	gross profit ratio.
C.	return on shareholders funds.
D.	return on net worth.
Answer» D. return on net worth.	

43.	Prepaid expenses is an example of
A.	fixed assets.
B.	current assets.
C.	fictitious assets.
D.	current liabilities.
Answer» B. current assets.	

44.	The ratio which is calculated to measure the productivity of total assets is
A.	return on equity.
B.	return on shareholders' funds.
C.	return on total assets.
D.	return on equity share holders' funds.
Answer» C. return on total assets.	

45.	The ratio which shows the proportion of profits retained in the business out of the current year's profits is
A.	Retained earnings ratio.
B.	payout ratio
C.	Earnings per share.
D.	Price earnings ratio.
Answer» A. Retained earnings ratio.	

46.	The ratio which indicates earnings per share reflected by the market price is
A.	retained earnings ratio.
B.	pay out ratio.
C.	earnings per share.
D.	price earnings ratio.
Answer» D. price earnings ratio.	

47.	The ratio establishes the relationship between profit before interest and tax and fixed interest charges is.
A.	interest cover ratio.
B.	fixed dividend cover ratio.
C.	debt service coverage ratio.
D.	dividend yield ratio.
Answer» A. interest cover ratio.	

48.	The ratio shows the preference dividend as a proportion of profit available for shareholders is
A.	interest cover ratio.
B.	fixed dividend cover ratio.
C.	debt service coverage ratio.
D.	dividend yield ratio.
Answer» B. fixed dividend cover ratio.	

49.	The dividend is related to the market value of shares in
A.	interest cover ratio.
B.	fixed dividend cover ratio.
C.	debt service coverage ratio.
D.	dividend yield ratio.

50.	Turnover ratio is also known as
A.	activity ratios.
B.	solvency ratios.
C.	liquidity ratios.
D.	profitability ratios.

Answer» A. activity ratios.

51.	Inventory or stock turnover ratio is also called
A.	stock velocity ratio.
B.	. debtors velocity ratio.
C.	. creditors velocity ratio.
D.	working capital turnover ratio.

Answer» A. stock velocity ratio.

52.	Which ratio is calculated to ascertain the efficiency of inventory management in terms of capital investment?
A.	stock velocity ratio.
B.	debtors velocity ratio.
C.	creditors velocity ratio.
D.	working capital turnover ratio.

52. **Which ratio is calculated to ascertain the efficiency of inventory management in terms of capital investment?**

Answer» A. stock velocity ratio.

53. **The ratio which measures the relationship between the cost of goods sold and the amount of average inventory is**

- A. Stock turnover ratio.
- B. debtors velocity ratio.
- C. creditors velocity ratio.
- D. working capital turnover ratio.

Answer» A. Stock turnover ratio.

54. **Sales – Gross Profit =**

- A. net profit.
- B. administrative expenses.
- C. cost of production.
- D. cost of goods sold.

Answer» D. cost of goods sold.

55. **Opening stock + purchases + direct expenses – closing stock =**

- A. net profit.
- B. cost of production
- C. administrative expenses.
- D. cost of goods sold.

55. **Opening stock + purchases + direct expenses – closing stock =**

Answer» D. cost of goods sold.

56. **Which ratio measures the number of times the receivables are rotated in a year in terms of sales?**

- A. stock turnover ratio.
- B. debtors turnover ratio.
- C. creditors velocity ratio.
- D. working capital turnover ratio.

Answer» B. debtors turnover ratio.

57. **Debtors turnover ratio is also called**

- A. stock turnover ratio.
- B. debtors velocity ratio.
- C. creditors velocity ratio.
- D. working capital turnover ratio

Answer» B. debtors velocity ratio.

58. **Creditors turnover ratio is also called**

- A. stock turnover ratio.
- B. debtors velocity ratio.
- C. . accounts payables ratio.
- D. working capital turnover ratio.

Answer» C. . accounts payables ratio.

59.	The indicates the number of times the payables rotate in a year is
A.	stock turnover ratio.
B.	stock turnover ratio.
C.	creditors velocity ratio.
D.	working capital turnover ratio.
Answer» C. creditors velocity ratio.	

60.	Funds flow statement is based on the
A.	working capital concept of funds.
B.	cash concept of funds.
C.	fixed assets concept of funds.
D.	long term funds.
Answer» A. working capital concept of funds.	

61.	All those assets which are converted into cash in the normal course of business within one year are known as .
A.	fixed assets.
B.	current assets.
C.	fictitious assets.
D.	wasting assets.
Answer» B. current assets.	

62.	All those liabilities which are payable in cash in the normal course of business within a period of one year are called
A.	long term liabilities.
B.	overdraft.

62.	All those liabilities which are payable in cash in the normal course of business within a period of one year are called
C.	short term loans.
D.	current liabilities.
Answer» D. current liabilities.	

63.	Any transaction between a current account and another current account does not affect
A.	profit.
B.	funds.
C.	working capital.
D.	capital.
Answer» B. funds.	

64.	Any transaction between a non-current account and another non-current account does not affect
A.	profit.
B.	funds.
C.	working capital.
D.	capital.
Answer» B. funds.	

65.	Principle' for preparation of working capital statement -Increase in current asset
A.	increases working capital.
B.	decreases working capital.
C.	decrease fixed capital.
D.	increase fixed capital.
Answer» A. increases working capital.	

66.	Principle' for preparation of working capital statement - Decrease in current asset
A.	increases working capital.
B.	decreases working capital.
C.	decrease fixed capital.
D.	increase fixed capital.
Answer» B. decreases working capital.	

67.	Principle' for preparation of working capital statement -Increase in current liability
A.	increases working capital.
B.	decreases working capital.
C.	decrease fixed capital.
D.	increase fixed capital.
Answer» B. decreases working capital.	

68.	Principle' for preparation of working capital statement -Decrease in current liability
A.	increases working capital.
B.	decreases working capital.
C.	decrease fixed capital
D.	increase fixed capital.
Answer» A. increases working capital.	

69.	Depreciation on fixed assets is
A.	non operating income.
B.	operating expense.
C.	operating income.
D.	non operating expense.
Answer» D. non operating expense.	

70.	Production cost under marginal costing includes
A.	prime cost only .
B.	prime cost and fixed overhead .
C.	. prime cost and variable overhead.
D.	prime cost, variable overhead and fixed overhead.
Answer» C. . prime cost and variable overhead.	

71.	One of the primary differences between marginal costing and absorption costing regarding the treatment of .
A.	prime cost .
B.	fixed overheads.
C.	variable overheads .
D.	direct materials.
Answer» B. fixed overheads.	

72.	Absorption costing differs from marginal costing is the
A.	fact that standard costs can be used with absorption costing but not with marginal costing .
B.	amount of costs assigned to individual units of products .
C.	kind of activities for which each can be used .
D.	amount of fixed costs that will be incurred.
Answer» B. amount of costs assigned to individual units of products	

73.	Contribution margin is also known as
A.	marginal income .
B.	gross profit.
C.	net profit.
D.	net loss.
Answer» A. marginal income .	

74.	Period costs are
A.	overhead costs .
B.	prime cost.
C.	variable cost.
D.	fixed costs.
Answer» D. fixed costs.	

75.	Contribution margin is equal to
A.	fixed cost - loss .
B.	profit + variable cost.
C.	sales — fixed cost- profit .
D.	sales – profit.
Answer» A. fixed cost - loss	

76.	P/V Ratio is an indicator of
A.	the rate at which goods are sold .
B.	the volume of sales
C.	the volume of profit.
D.	the rate of profit.
Answer» D. the rate of profit.	

77.	Margin of Safety is the difference between
A.	planned sales and planned profit .
B.	actual sales and break-even sales.
C.	planned sales and actual sales
D.	planned sales and planned expenses.
Answer» B. actual sales and break-even sales.	

78.	An increase in variable costs
A.	increases p/v ratio .
B.	increases the profit.
C.	reduces contribution .
D.	increase margin of safety.
Answer» C. reduces contribution .	

79.	An increase in selling price
A.	increases the break-even point.
B.	decreases the break-even point.
C.	does not affect the break-even point.
D.	optimize the break even point.
Answer» B. decreases the break-even point.	

80.	A large Margin of Safety indicates
A.	over production.
B.	over capitalization .
C.	the soundness of the business.
D.	under capitalization.
Answer» C. the soundness of the business.	

81.	Angle of incidence is
A.	the angle between the sales line and the total cost line.
B.	the angle between the sales line and the y-axis.
C.	the angle between the sales line and the x-axis.
D.	the angle between the sales line and the total profit line.
Answer» A. the angle between the sales line and the total cost line.	

81.	Angle of incidence is

82.	CVP analysis is most important for the determination of .
A.	sales revenue necessary to equal fixed costs .
B.	relationship between revenues and costs at various levels of operations .
C.	variable revenues necessary to equal fixed costs .
D.	volume of operations necessary to Break—even.
Answer» A. sales revenue necessary to equal fixed costs .	

83.	The conventional Break-even analysis does not assume that
A.	selling price per unit will remain fixed .
B.	total fixed costs remain the same.
C.	variable cost per unit will vary .
D.	productivity per worker will remain unchanged.
Answer» B. total fixed costs remain the same.	

84.	If fixed costs decrease while variable cost per unit remains constant, the new B.E.P in relation to the old B.E.P will be
A.	lower .
B.	higher.
C.	unchanged .
D.	indeterminate.
Answer» B. higher.	

85.	If fixed costs decrease while the variable cost per unit remains constant, the new contribution margin in relation to the old contribution margin will be
A.	lower .

85.	If fixed costs decrease while the variable cost per unit remains constant, the new contribution margin in relation to the old contribution margin will be
B.	unchanged .
C.	higher.
D.	indeterminate.
Answer» B. unchanged .	

86.	Selling price per unit Rs. 10; Variable cost Rs. 8 per unit; Fixed cost Rs. 20,000; Break-even production in units
A.	10,000.
B.	16,300.
C.	2,000.
D.	2,500.
Answer» D. 2,500.	

87.	Sales Rs. 25,000; Variable cost Rs. 8,000; Fixed cost Rs. 5,000; Break-even sales in value
A.	Rs. 7,936.
B.	Rs. 7,353.
C.	Rs. 8,333.
D.	Rs. 9,090.
Answer» B. Rs. 7,353.	

88.	Fixed cost Rs. 80,000; Variable cost Rs. 2 per unit; Selling price Rs. 10 per unit; turnover required for a profit target of Rs. 60,000.
A.	Rs. 1,75,000.
B.	Rs. 1,17,400.
C.	Rs. 1.57,000.
D.	Rs. 1,86,667.
Answer» A. Rs. 1,75,000.	

89.	Sales Rs. 25,000; Variable cost Rs. 15,000; Fixed cost Rs .4,000; P/V Ratio is
A.	40% .
B.	80%
C.	15%
D.	30%.
Answer» A. 40% .	

90.	Sales Rs. 50,000; Variable cost Rs. 30,000; Net profit Rs. 6,000; fixed cost is .
A.	Rs. 10,000.
B.	b. Rs. 14,000 .
C.	Rs. 12,000.
D.	Rs. 8,000.
Answer» B. b. Rs. 14,000 .	

91.	Actual sales Rs .4,00,000; Break-even sales Rs. 2,50,000; Margin of Safety in percentage is _.
A.	33.33%.
B.	66.67%
C.	37.5% .
D.	76.33%.
Answer» C. 37.5% .	

92.	P/V Ratio 50%; Variable cost of the produce Rs. 25; Selling price is .
A.	Rs. 50 .
B.	Rs. 40.
C.	Rs. 30 .
D.	Rs. 55.

92.	P/V Ratio 50%; Variable cost of the produce Rs. 25; Selling price is .
Answer» A. Rs. 50 .	

93.	Fixed cost Rs. 2,00,000; Sales Rs. 8,00,000; P/V Ratio 30%; the amount of profit is .
A.	Rs. 50,000.
B.	Rs. 40,000 .
C.	Rs. 35,000 .
D.	Rs. 45,000 .
Answer» B. Rs. 40,000 .	

94.	P/V Ratio is 25% and Margin of Safety is Rs; 3,00,000, the amount of profit is
A.	Rs. 1,00,000.
B.	Rs. 80,000.
C.	Rs. 75,000.
D.	. Rs. 60,000.
Answer» C. Rs. 75,000.	

95.	Total sales Rs. 20,00,000; Fixed expenses Rs. 4,00,000; P/V Ratio 40%; Break-even capacity in percentage is .
A.	40% .
B.	60% .
C.	50% .
D.	45%.
Answer» C. 50% .	

96.	Break - even point occurs at 40% of total capacity, margin of safety will be .
A.	40% .

96.	Break - even point occurs at 40% of total capacity, margin of safety will be .
B.	60% .
C.	80% .
D.	85% .
Answer» B. 60% .	

97.	If the P/V Ratio of a product is 30% and selling price is Rs. 25 per unit, the marginal cost of the product would be .
A.	Rs.18.75 .
B.	Rs.16 .
C.	Rs. 15 .
D.	Rs.20 .
Answer» A. Rs.18.75 .	

98.	Absorption costing is also known as
A.	historical costing.
B.	real costing.
C.	marginal costing.
D.	real costing .
Answer» A. historical costing.	

99.	Under marginal costing stock are valued at
A.	fixed cost.
B.	semi-variable cost.
C.	variable cost.
D.	market price.
Answer» C. variable cost.	

99.	Under marginal costing stock are valued at

100.	The budget is a
A.	a post-mortem analysis .
B.	a substitute of management
C.	an aid to management
D.	calculation .

Answer» C. an aid to management

101.	One of the most important tools of cost planning is
A.	budget.
B.	direct cost.
C.	unit cost.
D.	cost sheet.

Answer» A. budget.

102.	Sales budget is a
A.	Functional budget.
B.	Expenditure budget.
C.	Master budget .
D.	Flexible budget.

Answer» A. Functional budget.

103.	The budget which usually takes the form of budgeted profit and loss account and balance sheet is known as
A.	Flexible budget .
B.	Master budget.
C.	Cash budget .

103.	The budget which usually takes the form of budgeted profit and loss account and balance sheet is known as
D.	Purchase budget.
Answer» B. Master budget.	

104.	Which of the following is usually a long-term budget?
A.	.Fixed budget.
B.	Cash budget.
C.	Sales budget
D.	Capital expenditure budget.
Answer» D. Capital expenditure budget.	

105.	The fixed-variable cost classification has `a special significance in the preparation of
A.	Capital budget.
B.	Cash budget.
C.	Master budget .
D.	Flexible budget .
Answer» D. Flexible budget .	

106.	Preparing budget figures for different levels of activity within a range under flexible budgeting is
A.	Formula method.
B.	Multi-activity method.
C.	Budget cost allowance method.
D.	Proportionate method.
Answer» B. Multi-activity method.	

107.	What type of budget is designed to take into account forecast change in costs, prices, etc.?
A.	Master budget.

107.	What type of budget is designed to take into account forecast change in costs, prices, etc.?
B.	Rolling budget.
C.	Flexible budget .
D.	Functional budget.
Answer» B. Rolling budget.	

108.	Operation budgets normally cover a period of
A.	one to ten years.
B.	one to two years.
C.	one to five years.
D.	one year or less.
Answer» D. one year or less.	

109.	The entire process of preparing the budgets is known as
A.	Planning.
B.	Organizing.
C.	Budgeting.
D.	Controlling.
Answer» C. Budgeting.	

110.	Budgetary control starts with
A.	Planning.
B.	Organizing.
C.	Budgeting.
D.	Controlling.
Answer» C. Budgeting.	

111.	Budget designed to remain constant irrespective of the level of activity attained is called
A.	Fixed budget.
B.	Flexible budget.
C.	Sales budget.
D.	Production budget
Answer» A. Fixed budget.	

112.	Long-term budgets are prepared for
A.	1 year.
B.	1-3 years.
C.	1-5 years.
D.	5-10 years.
Answer» D. 5-10 years.	

113.	The budget which shows the budgeted quantity of output to be produced during a specific period is
A.	Fixed budget.
B.	Flexible budget.
C.	Sales budget.
D.	Production budget
Answer» D. Production budget	

114.	Material consumption budget is prepared on the basis of
A.	Production budget.
B.	Sales budget.
C.	Fixed budget.
D.	Flexible budget.
Answer» A. Production budget.	

115.	Material budget consists of two parts, one is the consumption budget and another is
A.	Material purchase budget.
B.	Material sales budget.
C.	Material production budget.
D.	Material budget.
Answer» A. Material purchase budget.	

116.	Materials purchase budget is prepared on the basis of
A.	Material sales budget.
B.	Material consumption budget.
C.	Material production budget.
D.	Material budget.
Answer» B. Material consumption budget.	

117.	Labour budget is a part of
A.	Fixed budget.
B.	Sales budget.
C.	Production budget.
D.	Flexible budget.
Answer» C. Production budget.	

118.	Labour budget is prepared by
A.	Personnel department.
B.	Sales department.
C.	Purchase department.
D.	Accounts department.
Answer» A. Personnel department.	

119.	Budget of indirect costs in the form of indirect wages, indirect material and indirect expenses in the factory is
A.	Production overhead budget.
B.	Administration overhead budget.
C.	Selling and distribution overhead budget.
D.	Master budget.
Answer» A. Production overhead budget.	

120.	The budget prepared to estimate the expenditure to be incurred for planning, organizing, direction and control function of the management is
A.	Production overhead budget.
B.	Administration overhead budget.
C.	Selling and distribution overhead budget.
D.	Master budget.
Answer» B. Administration overhead budget.	

121.	The budget prepared to estimate expenditure to be incurred to sell the product and its distribution is
A.	Production overhead budget.
B.	Administration overhead budget.
C.	Selling and distribution overhead budget.
D.	Master budget
Answer» C. Selling and distribution overhead budget.	

122.	The budget prepared to estimate the research and development expenditure to be incurred during a specific period is
A.	Production overhead budget.
B.	Administration overhead budget.
C.	Selling and distribution overhead budget.
D.	Research and development budget.
Answer» D. Research and development budget.	

123.	The budget prepared to estimate the expenditure on fixed assets is known as.
A.	Capital expenditure budget
B.	Production overhead budget.
C.	Administration overhead budget.
D.	Selling and distribution overhead budget.
Answer» A. Capital expenditure budget	

124.	The budget prepared for replacement of assets, expansion of production facilities, adoption of new technologies etc. is
A.	Capital expenditure budget.
B.	Production overhead budget.
C.	Administration overhead budget.
D.	Selling and distribution overhead budget.
Answer» A. Capital expenditure budget.	

125.	A fixed budget is prepared for only
A.	One level of activity.
B.	Range of activity.
C.	Two level of activity.
D.	Three level of activity.
Answer» A. One level of activity.	
126.	A flexible budget is prepared for a
A.	One level of activity.
B.	Range of activity.
C.	Two level of activity.
D.	Three level of activity.
Answer» B. Range of activity.	

127.	The budget starts without any base is
A.	Master budget.
B.	Flexible budget.
C.	Zero base budgeting.
D.	Fixed budget.
Answer» C. Zero base budgeting.	

128.	ABC analysis is
A.	At Best Control.
B.	Always Better Control.
C.	Average better Control.
D.	All best control.
Answer» B. Always Better Control.	

129.	JIT inventory system is
A.	. Just In Time.
B.	Just Inventory Time.
C.	Job In Time.
D.	Job Inventory Time.
Answer» A. . Just In Time.	

130.	Perpetual inventory system involves
A.	bincard and stores ledger.
B.	bill of material and material requisition.
C.	purchase requisition and purchase order.
D.	inward and outward invoices.
Answer» A. bincard and stores ledger.	

131.	FIFO is
A.	Fast Investment in Future Order.
B.	First In First Out.
C.	Fast In Fast Out
D.	Fast Issue Of Fast Order.
Answer» B. First In First Out.	

132.	LIFO method of pricing of materials is more suitable when.
A.	material prices are rising.
B.	material prices are falling.
C.	material prices are constant.
D.	material prices are fluctuating.
Answer» A. material prices are rising.	

133.	Average method of pricing the material issues is useful when
A.	material prices are rising.
B.	material prices are falling.
C.	material prices are constant.
D.	material prices are fluctuating.
Answer» D. material prices are fluctuating.	

134.	Scrap is
A.	residue of material.
B.	wastage of material.
C.	surplus material.
D.	abnormal loss of material.
Answer» A. residue of material.	

135.	Material is issued by store keeper against.
A.	material requisition.
B.	material order.
C.	goods received note.
D.	purchase requisition.
Answer» A. material requisition.	

136.	EOQ stands for
A.	Economic Order Quantity.
B.	Essential Order Quantity.
C.	Economic Output Quantity.
D.	Essential Output Quantity.
Answer» A. Economic Order Quantity.	

137.	The document which is prepared after receiving and inspecting material
A.	material record note.
B.	goods received note.
C.	bill of material.
D.	inventory record.
Answer» B. goods received note.	

138.	The budget which reviews a program or project from 'scratch' is
A.	Master budget.
B.	Flexible budget.
C.	Zero base budgeting.
D.	Fixed budget.
Answer» C. Zero base budgeting.	

139.	The budget said as ‘resource planning’ and ‘redeployment process’ is
A.	Zero base budgeting.
B.	Master budget.
C.	Flexible budget.
D.	Fixed budget.
Answer» A. Zero base budgeting.	

140.	Expected sales + desired closing stock – estimated opening stock =
A.	Expected production.
B.	Expected sales.
C.	Expected purchase.
D.	Expected loss.
Answer» A. Expected production.	

141.	In production budget closing stock is added with
A.	expense.
B.	sales.
C.	purchase.
D.	material.
Answer» B. sales.	

142.	In production budget opening stock is deducted with
A.	expense.
B.	sales.
C.	purchase.
D.	material.
Answer» B. sales.	

143.	Material consumed is Rs. 5,00,000 Opening stock of raw material is Rs. 50,000 and Closing stock of raw material is Rs. 25,000. What is the cost of raw material purchased?
A.	Rs. 4,50,000.
B.	Rs. 4,75,000.
C.	Rs. 5,25,000.
D.	Rs. 5, 50,000.
Answer» B. Rs. 4,75,000.	

144.	If selling price is Rs. 25,000 and profit is Rs. 5,000 then what is the percentage of profit on cost?
A.	20%.
B.	25%.
C.	33.33%.
D.	35%.
Answer» B. 25%.	

145.	Material control involves
A.	consumption of material
B.	issue of material.
C.	purchase of material.
D.	purchase, storage and issue of material.
Answer» C. purchase of material.	

146.	Material requisition is meant for
A.	purchase of material.
B.	supply of material from stores.
C.	sale of material.
D.	storage of material.
Answer» B. supply of material from stores.	

147.	Stock control through stock levels and EOQ is called
A.	demand and supply method.
B.	perpetual inventory system.
C.	control by important and exception.
D.	automatic order method.

Answer» B. perpetual inventory system.

Financial Management

1.	All businesses need to have which fundamental essential element
A.	human resources
B.	balance sheet
C.	labour team
D.	Strategy

Answer» D. strategy

2.	Which of the following variable is not known in IRR?
A.	discount rate
B.	terminal inflows
C.	life of the project
D.	initial cash flows

Answer» A. discount rate

3.	According to the traditional approach what is the effect of increase in degree of leverage on the valuation of the firm
A.	remains unaffected
B.	increase first and then decreases
C.	Decreases

3.	According to the traditional approach what is the effect of increase in degree of leverage on the valuation of the firm
D.	Increases
Answer» B. increase first and then decreases	

4.	The maximum expenses that an equity scheme charge to an investor is _____
A.	0.025
B.	0.0225
C.	0.0175
D.	0.02
Answer» A. 0.025	

5.	The bonds with shorter maturity will have _____ duration
A.	Moderate
B.	Higher
C.	Lower
D.	Average
Answer» C. lower	

6.	Relaxed or liberal credit implies -credit to customers
A.	Higher
B.	both a and b
C.	Lower
D.	neither a nor b
Answer» A. higher	

7.	Objectives of financial planning are
A.	determining capital structure

7.	Objectives of financial planning are
B.	framing loan policies
C.	determining cash requirement
D.	determining finance ratio
Answer» A. determining capital structure	

8.	PI of project is the ratio of present value of inflows to-
A.	total outflows
B.	initial cost
C.	pv of outflows
D.	total cash inflows
Answer» C. pv of outflows	

9.	Bird in hand - argument is given by
A.	residuals theory
B.	walter model
C.	mm model
D.	gordon's model
Answer» D. gordon's model	

10.	When the required rate of return is less than the coupon rate the premium on the bond-
A.	remains same
B.	Variable
C.	Declines
D.	Increases
Answer» C. declines	

11.	Evaluation of firms credit policy can be done by computing expected _____ from it
A.	net benefit
B.	net loss
C.	net profit
D.	net cost
Answer» A. net benefit	

12.	All listed and traded securities are valued at _____
A.	book value
B.	Cost
C.	cost+ profit
D.	closing market price
Answer» D. closing market price	

13.	Financial manager would not supervise on the following area
A.	cost analyst
B.	working capital advisor
C.	financial accounting and auditing
D.	cash flow advisor
Answer» C. financial accounting and auditing	

14.	In case of risky projects the required rate of return would generally be-
A.	Neutral
B.	Lower
C.	Moderate
D.	Higher
Answer» D. higher	

15.	Residuals theory argues that dividend is as -
A.	passive decision
B.	irrelevant decision
C.	active decision
D.	relevant decision
Answer» A. passive decision	

16.	Investors subscriptions are accounted as _____
A.	Cash
B.	Deposits
C.	liabilities
D.	unit capital
Answer» D. unit capital	

17.	Face value is the value stated on the face of the bond and is known as-
A.	redemption value
B.	per value
C.	intrinsic value
D.	market value
Answer» B. per value	

18.	_____ Policy refers to the procedure follow to collect accounts receivable after the expiry of the credit period
A.	Risk
B.	Collection
C.	Profit
D.	Management
Answer» B. collection	

19.	Financial manager would play the role of _____ in area of finance
A.	budget analyst
B.	cash analyst
C.	cash flow examiners
D.	personal financial advisors
Answer» A. budget analyst	

20.	Accounting rate of return is based on _____
A.	life of the project
B.	average expected profit
C.	average cash profit
D.	average past profit
Answer» B. average expected profit	

21.	MM model of dividend irrelevance uses arbitrage between-
A.	dividend and capital issue
B.	dividend and bonus
C.	profit and investment
D.	none of the above
Answer» A. dividend and capital issue	

22.	_____ can be traded throughout the trading day at market prices
A.	Mmmf
B.	debt fund
C.	Etf
D.	equity fund
Answer» C. etf	

23.	Intrinsic value of a bond is _____ value of the all future cash flows
A.	Past
B.	Present
C.	estimated
D.	Future
Answer» B. present	

24.	_____ means the basic criteria for the extension of credit to customers
A.	credit standards
B.	financial position
C.	cash standards
D.	living standards
Answer» A. credit standards	

25.	The Presence of Taxes in capital budgeting analysis will cause _____
A.	the arr to remain same
B.	the npv to increase
C.	the irr to decrease
D.	all of the above
Answer» C. the irr to decrease	

26.	_____ refers to the price at which an asset can be traded in the market
A.	past value
B.	face value
C.	market value
D.	future value
Answer» C. market value	

27.	_____ is a blending of two or more existing undertaking into one undertaking
A.	partnership
B.	joint stock company
C.	joint venture
D.	Amalgamation
Answer» D. amalgamation	

28.	_____ means the action of an organization or government selling or liquidating an asset or subsidiary
A.	sale out
B.	Disinvestment
C.	lock out
D.	wind up
Answer» B. disinvestment	

29.	_____ The lessee and the owner of the equipment are two different entities
A.	direct lease
B.	financial lease
C.	operating lease
D.	net lease
Answer» A. direct lease	

30.	_____ is the primary institutional source of working capital finance in India
A.	Debtors
B.	loan from friend
C.	bank credit
D.	creditors
Answer» C. bank credit	

31.	_____ means reputation of a firm which is in existence for a number of year in market
A.	goodwill
B.	bad debts
C.	copy rights
D.	royalties
Answer» A. goodwill	

32.	_____ involves mergers and acquisition of firm belonging to different countries of the world.
A.	credit merger
B.	group merger
C.	cross border merger
D.	synergy merger
Answer» C. cross border merger	

33.	_____ is a entity formed by two or more companies to undertake financial activity together.
A.	partnership firm
B.	acquisition
C.	joint venture
D.	Merger
Answer» C. joint venture	

34.	In a _____ transaction the goods are let on hire the purchase price is to be paid in installment and hirer is allowed an option to purchase the goods by paying all the installment
A.	hire purchase
B.	credit purchase
C.	lease purchase
D.	installment purchase
Answer» A. hire purchase	

34.	In a _____ transaction the goods are let on hire the purchase price is to be paid in installment and hirer is allowed an option to purchase the goods by paying all the installment

35.	The arrangement in which entire amount of borrowing is credited to the current account of the borrower or realized in cash is called as _____
A.	letter of credit
B.	bank overdraft
C.	Loan
D.	bill discounting
Answer» C. loan	

36.	Book value (Net assets) = Total Assets - _____
A.	total liability
B.	current asset
C.	long term debt
D.	current liability
Answer» C. long term debt	

37.	_____ synergy refers to increase in the value of the firm that occurs to the combined firm from financial factors.
A.	Group
B.	Vertical
C.	Financial
D.	operating
Answer» C. financial	

38.	The kind of takeover which is done through negotiations between two groups is called _____
A.	horizontal merger
B.	hostile take over

38.	The kind of takeover which is done through negotiations between two groups is called _____
C.	friendly take over
D.	vertical synergy
Answer» C. friendly take over	

39.	From the point of view lessee, a lease is a _____
A.	financing decision
B.	buy or make decision
C.	working capital decision
D.	investment decision
Answer» A. financing decision	

40.	_____ indirect form of working capital financing and bank assume only the risk the credit being provided by the supplier himself
A.	mortgage loan
B.	letter of credit
C.	bank overdraft
D.	cash credit
Answer» B. letter of credit	

41.	EVA= _____ - (Equity capital x % of cost of equity capital
A.	earning after tax
B.	net operating profit after tax
C.	Npat
D.	Npbt
Answer» B. net operating profit after tax	

42.	_____ is the ratio of the number of shares of the acquiring firm and the selling firm's share
A.	dividend payout ratio
B.	debt- equity ratio
C.	exchange ratio
D.	current ratio
Answer» C. exchange ratio	

43.	Which of the following is not a usual method of calculation of share swap ratio?
A.	sales turnover
B.	economic value added
C.	dividend after tax
D.	tax benefit
Answer» B. economic value added	

44.	Sale and lease back and _____ are types of finance lease
A.	operating lease
B.	finance lease
C.	leverage lease
D.	net lease
Answer» C. leverage lease	

45.	_____ are taken as an additional security for working capital credit by banks
A.	hypothecations
B.	Pledge
C.	mortgage
D.	cash credit
Answer» C. mortgage	

46.	_____ value is used when an investor wants true or real value on basis of analysis of fundamentals without considering the prevailing price in the market
A.	Intrinsic
B.	Social
C.	Current
D.	Average
Answer» A. intrinsic	

47.	EPS = _____ / Total number of shares
A.	profit after tax
B.	net profit after interest and tax
C.	Npbt
D.	Ebt
Answer» B. net profit after interest and tax	

48.	_____ classifies merger as vertical and horizontal
A.	as14
B.	as20
C.	as 9
D.	as 12
Answer» A. as14	

49.	Treatment of _____ in AS 19 is almost same as required by tax laws in India
A.	operating lease
B.	net lease
C.	financial lease
D.	hire purchase
Answer» A. operating lease	

50.	_____ has suggested three methods of working out of the maximum amount that unit may expect from the bank (MPBF)
A.	tondon committee
B.	chore committee
C.	walters committee
D.	gordon\s committee
Answer» A. tondon committee	

51.	The appropriate objective of an enterprise is;
A.	Maximization of sale
B.	Maximization of owner's wealth.
C.	Maximization of profits.
D.	None of these.
Answer» B. Maximization of owner's wealth.	

52.	The job of a finance manager is confined to
A.	Raising funds
B.	Management of cash
C.	Raising of funds and their effective utilization.
D.	None of these.
Answer» C. Raising of funds and their effective utilization.	

53.	Financial decision involve;
A.	Investment ,financing and dividend decision
B.	Investment ,financing and sales decision
C.	Financing , dividend and cash decision
D.	None of these.
Answer» A. Investment ,financing and dividend decision	

54.	Net Profit Ratio Signifies:
A.	Operational Profitability
B.	Liquidity Position
C.	Solvency
D.	Profit
Answer» A. Operational Profitability	

55.	Working Capital Turnover measures the relationship of Working Capital with:
A.	Fixed Assets
B.	Sales
C.	Purchases
D.	Stock.
Answer» A. Fixed Assets	

56.	Dividend Payout Ratio is:
A.	PAT Capital
B.	$DPS \div EPS$
C.	$Pref. Dividend \div PAT$
D.	$Pref. Dividend \div Equity Dividend$
Answer» B. $DPS \div EPS$	

57.	Inventory Turnover measures the relationship of inventory with:
A.	Average Sales
B.	Cost of Goods Sold
C.	Total Purchases
D.	Total Assets
Answer» B. Cost of Goods Sold	

58.	The term 'EVA' is used for:
A.	Extra Value Analysis
B.	Economic Value Added
C.	Expected Value Analysis
D.	Engineering Value Analysis
Answer» B. Economic Value Added	

59.	Return on Investment may be improved by:
A.	Increasing Turnover
B.	Reducing Expenses
C.	Increasing Capital Utilization
D.	All of the above
Answer» D. All of the above	

60.	In Current Ratio, Current Assets are compared with:
A.	Current Profit
B.	Current Liabilities
C.	Fixed Assets
D.	Equity Share Capital
Answer» B. Current Liabilities	

61.	There is deterioration in the management of working capital of XYZ Ltd. What does it refer to?
A.	That the Capital Employed has reduced,
B.	That the Profitability has gone up,
C.	That debtors collection period has increased,
D.	That Sales has decreased.
Answer» C. That debtors collection period has increased,	

62.	Debt to Total Assets Ratio can be improved by:
A.	Borrowing More
B.	Issue of Debentures
C.	Issue of Equity Shares
D.	Redemption of Debt.
Answer» D. Redemption of Debt.	

63.	Ratio of Net Income to Number of Equity Shares known as:
A.	Price Earnings Ratio
B.	Net Profit Ratio,
C.	Earnings per Share
D.	Dividend per Share.
Answer» C. Earnings per Share	

64.	A Current Ratio of Less than One means:
A.	Current Liabilities < Current Assets
B.	Fixed Assets > Current Assets
C.	Current Assets < Current Liabilities
D.	Share Capital > Current Assets
Answer» C. Current Assets < Current Liabilities	

65.	A firm has Capital of 10,00,000; Sales of 5,00,000; Gross Profit of . 2,00,000 and Expenses of . 1,00,000. What is the Net Profit Ratio?
A.	20%
B.	50%
C.	10%
D.	40%
Answer» A. 20%	

66.	Suppliers and Creditors of a firm are interested in
A.	Profitability Position
B.	Liquidity Position
C.	Market Share Position
D.	Debt Position
Answer» B. Liquidity Position	

67.	Which of the following is a measure of Debt Service capacity of a firm?
A.	Current Ratio
B.	Acid Test Ratio
C.	Interest Coverage Ratio
D.	Debtors Turnover
Answer» C. Interest Coverage Ratio	

68.	Gross Profit Ratio for a firm remains same but the Net Profit Ratio is decreasing. The reason for such behavior could be:
A.	Increase in Costs of Goods Sold
B.	If Increase in Expense
C.	Increase in Dividend
D.	Decrease in Sales.
Answer» B. If Increase in Expense	

69.	Which of the following statements is correct?
A.	A Higher Receivable Turnover is not desirable,
B.	Interest Coverage Ratio depends upon Tax Rate,
C.	Increase in Net Profit Ratio means increase in Sales,
D.	Lower Debt-Equity Ratio means lower Financial Risk.
Answer» D. Lower Debt-Equity Ratio means lower Financial Risk.	

70.	Debt to Total Assets of a firm is .2. The Debt to Equity would be:
A.	0.80
B.	0.25
C.	1.00
D.	0.75
Answer» B. 0.25	

71.	Which of the following helps analyzing return to equity Shareholders?
A.	Return on Assets
B.	Earnings Per Share
C.	Net Profit Ratio
D.	Return on Investment.
Answer» B. Earnings Per Share	

72.	In Inventory Turnover calculation, what is taken in the numerator?
A.	Sales
B.	Cost of Goods Sold,
C.	Opening Stock
D.	Closing Stock.
Answer» B. Cost of Goods Sold,	

73.	Financial Planning deals with:
A.	Preparation of Financial Statements
B.	Planning for a Capital Issue
C.	Preparing Budgets
D.	All of the above
Answer» C. Preparing Budgets	

74.	Financial planning starts with the preparation of:
A.	Master Budget
B.	Cash Budget
C.	Balance Sheet
D.	None of the above.
Answer» D. None of the above.	

75.	Process of Financial Planning ends with:
A.	Preparation of Projected Statements
B.	Preparation of Actual Statements
C.	Comparison of Actual with Projected
D.	Ordering the employees that projected figures m come true.
Answer» C. Comparison of Actual with Projected	

76.	Capital Budgeting is a part of:
A.	Investment Decision
B.	Working Capital Management
C.	Marketing Management
D.	Capital Structure
Answer» A. Investment Decision	

77.	Capital Budgeting deals with:
A.	Long-term Decisions
B.	Short-term Decisions
C.	Both (a) and (b)
D.	Neither (a) nor (b)
Answer» A. Long-term Decisions	

78.	Which of the following is not used in Capital Budgeting?
A.	Time Value of Money
B.	Sensitivity Analysis
C.	Net Assets Method
D.	Cash Flows.
Answer» C. Net Assets Method	

79.	Capital Budgeting Decisions are:
A.	Reversible
B.	Irreversible
C.	Unimportant
D.	All of the above
Answer» B. Irreversible	

80.	Which of the following is not incorporated in Capital Budgeting?
A.	Tax-Effect
B.	Time Value of Money
C.	Required Rate of Return
D.	Rate of Cash Discount
Answer» D. Rate of Cash Discount	

81.	Which of the following is not a capital budgeting decision?
A.	Expansion Programme
B.	Merger
C.	Replacement of an Asset
D.	Inventory Level
Answer» D. Inventory Level	

82.	A sound Capital Budgeting technique is based on:
A.	Cash Flows
B.	Accounting Profit
C.	Interest Rate on Borrowings
D.	Last Dividend Paid
Answer» B. Accounting Profit	

83.	Which of the following is not a relevant cost in Capital Budgeting?
A.	Sunk Cost
B.	Opportunity Cost
C.	Allocated Overheads
D.	Both (a) and (c) above.
Answer» D. Both (a) and (c) above.	

84.	Capital Budgeting Decisions are based on:
A.	Incremental Profit
B.	Incremental Cash Flows
C.	Incremental Assets
D.	Incremental Capital
Answer» B. Incremental Cash Flows	

85.	Which of the following does not affect cash flows proposal?
A.	Salvage Value
B.	Depreciation Amount
C.	Tax Rate Change
D.	Method of Project Financing
Answer» D. Method of Project Financing	

86.	Cash Inflows from a project include:
A.	Tax Shield of Depreciation
B.	After-tax Operating Profits
C.	Raising of Funds
D.	Both (a) and (b)
Answer» D. Both (a) and (b)	

87.	Which of the following is not true with reference capital budgeting?
A.	Capital budgeting is related to asset replacement decisions,
B.	Cost of capital is equal to minimum required return,
C.	Existing investment in a project is not treated as sunk cost,
D.	Timing of cash flows is relevant.
Answer» C. Existing investment in a project is not treated as sunk cost,	

88.	Which of the following is not followed in capital budgeting?
A.	Cash flows Principle
B.	Interest Exclusion Principle
C.	Accrual Principle
D.	Post-tax Principle
Answer» C. Accrual Principle	

89.	Depreciation is incorporated in cash flows because it:
A.	Is unavoidable cost
B.	Is a cash flow
C.	Reduces Tax liability
D.	Involves an outflow
Answer» C. Reduces Tax liability	

90.	Which of the following is not true for capital budgeting?
A.	Sunk costs are ignored,
B.	Opportunity costs are excluded,
C.	Incremental cash flows are considered,
D.	Relevant cash flows are considered
Answer» B. Opportunity costs are excluded,	

91.	Which of the following is not applied in capital budgeting?
A.	Cash flows be calculated in incremental terms
B.	All costs and benefits are measured on cash basis,
C.	All accrued costs and revenues be incorporated,
D.	All benefits are measured on after-tax basis.
Answer» C. All accrued costs and revenues be incorporated,	

92.	Evaluation of Capital Budgeting Proposals is based on Cash Flows because:
A.	Cash Flows are easy to calculate
B.	Cash Flows are suggested by SEBI
C.	Cash is more important than profit
D.	None of the above
Answer» C. Cash is more important than profit	

93.	Which of the following is not included in incremental A flows?
A.	Opportunity Costs
B.	Sunk Costs
C.	Change in Working Capital
D.	Inflation effect
Answer» B. Sunk Costs	

94.	A proposal is not a Capital Budgeting proposal if it:
A.	is related to Fixed Assets
B.	brings long-term benefits
C.	brings short-term benefits only
D.	has very large investment.
Answer» C. brings short-term benefits only	

95.	In Capital Budgeting, Sunk cost is excluded because it is:
A.	of small amount
B.	not incremental
C.	not reversible
D.	All of the above
Answer» B. not incremental	

96.	Savings in respect of a cost is treated in capital budgeting as:
A.	An Inflow
B.	An Outflow
C.	Nil
D.	None of the above.
Answer» A. An Inflow	

97.	In capital budgeting, the term Capital Rationing implies:
A.	That no retained earnings available
B.	That limited funds are available for investment
C.	That no external funds can be raised,
D.	That no fresh investment is required in current year
Answer» B. That limited funds are available for investment	

98.	Feasibility Set Approach to Capital Rationing can be applied in:
A.	Accept-Reject Situations
B.	Divisible Projects
C.	Mutually Exclusive Projects
D.	None of the above
Answer» A. Accept-Reject Situations	

99.	In case of divisible projects, which of the following can be used to attain maximum NPV?
A.	Feasibility Set Approach
B.	Internal Rate of Return
C.	Profitability Index Approach
D.	Any of the above
Answer» C. Profitability Index Approach	

100.	In case of the indivisible projects, which of the following may not give the optimum result?
A.	Internal Rate of Return
B.	Profitability Index
C.	Feasibility Set Approach
D.	All of the above

101.	Profitability Index, when applied to Divisible Projects, impliedly assumes that:
A.	Project cannot be taken in parts
B.	NPV is linearly proportionate to part of the project taken up
C.	NPV is additive in nature
D.	Both (b) and (c)
Answer» D. Both (b) and (c)	

102.	If there is no inflation during a period, then the Money Cash flow would be equal to:
A.	Present Value

102.	If there is no inflation during a period, then the Money Cash flow would be equal to:
B.	Real Cash flow
C.	Real Cash flow + Present Value
D.	Real Cash flow - Present Value
Answer» B. Real Cash flow	

103.	The Real Cash flows must be discounted to get the present value at a rate equal to:
A.	Money Discount Rate
B.	Inflation Rate
C.	Real Discount Rate
D.	Risk free rate of interest
Answer» C. Real Discount Rate	

104.	Real rate of return is equal to:
A.	Nominal Rate $\times$ Inflation Rate
B.	Nominal Rate $\div$ Inflation Rate
C.	Nominal Rate - Inflation Rate
D.	Nominal Rate + Inflation Rate
Answer» B. Nominal Rate $\div$ Inflation Rate	

105.	If the Real rate of return is 10% and Inflation s Money Discount Rate is:
A.	14.4%
B.	2.5%
C.	25%
D.	14%
Answer» A. 14.4%	

106.	If the Money Discount Rate is 19% and Inflation Rate is 12%, then the Real Discount Rate is:
A.	7%
B.	5%
C.	5.70%
D.	6.25%
Answer» D. 6.25%	

107.	Money Discount Rate if equal to:
A.	$(1 + \text{Inflation Rate}) (1 + \text{Real Rate}) - 1$
B.	$(1 + \text{Inflation Rate}) - (1 + \text{Real Rate}) - 1$
C.	$(1 + \text{Real Rate}) - (1 + \text{Inflation Rate}) - 1$
D.	$(1 + \text{Real Rate}) + (1 + \text{Inflation Rate}) - 1$
Answer» A. $(1 + \text{Inflation Rate}) (1 + \text{Real Rate}) - 1$	

108.	Real Discount Rate is equal to:
A.	$(1 + \text{Inf. Rate}) (1 + \text{Money D Rate}) - 1$
B.	$(1 + \text{Money D Rate}) + (1 + \text{Inf. Rate}) - 1$
C.	$(1 + \text{Money D Rate}) - (1 + \text{Inf. Rate}) - 1$
D.	$(1 + \text{Money D Rate}) - (1 + \text{Inf. Rate}) - 1$
Answer» C. $(1 + \text{Money D Rate}) - (1 + \text{Inf. Rate}) - 1$	

109.	Two mutually exclusive projects with different economic lives can be compared on the basis of
A.	Internal Rate of Return
B.	Profitability Index
C.	Net Present Value
D.	Equivalent Annuity Value
Answer» D. Equivalent Annuity Value	

110.	Risk in Capital budgeting implies that the decision-maker knows _____ of the cash flows.
A.	Variability
B.	Probability
C.	Certainty
D.	None of the above
Answer» B. Probability	

111.	In Certainty-equivalent approach, adjusted cash flows are discounted at:
A.	Accounting Rate of Return
B.	Internal Rate of Return
C.	Hurdle Rate
D.	Risk-free Rate
Answer» D. Risk-free Rate	

112.	Risk in Capital budgeting is same as:
A.	Uncertainty of Cash flows
B.	Probability of Cash flows
C.	Certainty of Cash flows
D.	Variability of Cash flows
Answer» D. Variability of Cash flows	

113.	Which of the following is a risk factor in capital budgeting?
A.	Industry specific risk factors
B.	Competition risk factors
C.	Project specific risk factors
D.	All of the above
Answer» D. All of the above	

113.	Which of the following is a risk factor in capital budgeting?

114.	In Risk-Adjusted Discount Rate method, the normal rate of discount is:
A.	Increased
B.	Decreased
C.	Unchanged
D.	None of the above
Answer» A. Increased	

115.	In Risk-Adjusted Discount Rate method, which one is adjusted?
A.	Cash flows
B.	Life of the proposal
C.	Rate of discount
D.	Salvage value
Answer» C. Rate of discount	

116.	NPV of a proposal, as calculated by RADR real CE Approach will be:
A.	Same
B.	Unequal
C.	Both (a) and (b)
D.	None of (a) and (b)
Answer» B. Unequal	

117.	Risk of a Capital budgeting can be incorporated
A.	Adjusting the Cash flows
B.	Adjusting the Discount Rate
C.	Adjusting the life

117.	Risk of a Capital budgeting can be incorporated
D.	All of the above
Answer» D. All of the above	

118.	Which element of the basic NPV equation is adjusted by the RADR?
A.	Denominator
B.	Numerator
C.	Both
D.	None
Answer» A. Denominator	

119.	Cost of Capital refers to:
A.	Flotation Cost
B.	Dividend
C.	Required Rate of Return
D.	None of the above.
Answer» B. Dividend	

120.	Which of the following sources of funds has an Implicit Cost of Capital?
A.	Equity Share Capital
B.	Preference Share Capital
C.	Debentures
D.	Retained earnings
Answer» D. Retained earnings	

121.	Which of the following has the highest cost of capital?
A.	Equity shares

121.	Which of the following has the highest cost of capital?
B.	Loans
C.	Bonds
D.	Preference shares
Answer» A. Equity shares	

122.	Cost of Capital for Government securities is also known as:
A.	Risk-free Rate of Interest
B.	Maximum Rate of Return
C.	Rate of Interest on Fixed Deposits
D.	None of the above
Answer» A. Risk-free Rate of Interest	

123.	Cost of Capital for Bonds and Debentures is calculated on:
A.	Before Tax basis
B.	After Tax basis
C.	Risk-free Rate of Interest basis
D.	None of the above.
Answer» B. After Tax basis	

124.	Weighted Average Cost of Capital is generally denoted by:
A.	k_A
B.	K_w
C.	k_0
D.	K_c
Answer» C. k_0	

125.	Which of the following cost of capital require tax adjustment?
A.	Cost of Equity Shares
B.	Cost of Preference Shares
C.	Cost of Debentures
D.	Cost of Retained Earnings.
Answer» C. Cost of Debentures	

126.	Which is the most expensive source of funds?
A.	New Equity Shares
B.	New Preference Shares
C.	New Debts
D.	Retained Earnings
Answer» A. New Equity Shares	

127.	Marginal cost of capital is the cost of:
A.	Additional Sales
B.	Additional Funds
C.	Additional Interests
D.	None of the above.
Answer» B. Additional Funds	

128.	In case the firm is all-equity financed, WACC would be equal to
A.	Cost of Debt
B.	Cost of Equity
C.	Neither (a) nor (b)
D.	Both (a) and (b)
Answer» B. Cost of Equity	

129.	In case of partially debt-financed firm, k_0 is less
A.	K_d
B.	K_e
C.	Both (a) and (b)
D.	None of the above
Answer» B. K_e	

130.	In order to calculate Weighted Average Cost of weights may be based on:
A.	Market Values
B.	Target Values
C.	Book Values
D.	All of the above
Answer» D. All of the above	

131.	Firm's Cost of Capital is the average cost of:
A.	All sources
B.	All borrowings
C.	Share capital
D.	Share Bonds & Debentures
Answer» A. All sources	

132.	An implicit cost of increasing proportion of debt is:
A.	Tax should would not be available on new debt
B.	P.E. Ratio would increase
C.	Equity shareholders would demand higher return
D.	Rate of Return of the company would decrease
Answer» C. Equity shareholders would demand higher return	

133.	Cost of Redeemable Preference Share Capital is:
A.	Rate of Dividend
B.	After Tax Rate of Dividend
C.	Discount Rate that equates PV of inflows and out-flows relating to capital
D.	None of the above
Answer» C. Discount Rate that equates PV of inflows and out-flows relating to capital	

134.	Which of the following is true?
A.	Retained earnings are cost free
B.	External Equity is cheaper than Internal Equity
C.	Retained Earnings are cheaper than External Equity
D.	Retained Earnings are costlier than External Equity
Answer» C. Retained Earnings are cheaper than External Equity	

135.	Cost of capital may be defined as:
A.	Weighted Average cost of all debts
B.	Rate of Return expected by Equity Shareholders
C.	Average IRR of the Projects of the firm
D.	Minimum Rate of Return that the firm should earn
Answer» D. Minimum Rate of Return that the firm should earn	

136.	Minimum Rate of Return that a firm must earn in order to satisfy its investors, is also known as:
A.	Average Return on Investment
B.	Weighted Average Cost of Capital
C.	Net Profit Ratio
D.	Average Cost of borrowing
Answer» B. Weighted Average Cost of Capital	

137.	Cost Capital for Equity Share Capital does not imply that:
A.	Market Price is equal to Book Value of share,
B.	Shareholders are ready to subscribe to right issue,
C.	.Market Price is more than Issue Price,
D.	AC of the three above.
Answer» D. AC of the three above.	

138.	In order to calculate the proportion of equity financing used by the company, the following should be used:
A.	Authorized Share Capital,
B.	Equity Share Capital plus Reserves and Surplus,
C.	Equity Share Capital plus Preference Share Capital,
D.	Equity Share Capital plus Long-term Debt.
Answer» B. Equity Share Capital plus Reserves and Surplus,	

139.	The term capital structure denotes:
A.	Total of Liability side of Balance Sheet,
B.	Equity Funds, Preference Capital and Long term Debt
C.	Total Shareholders Equity,
D.	Types of Capital Issued by a Company.
Answer» B. Equity Funds, Preference Capital and Long term Debt	

140.	Debt Financing is a cheaper source of finance because of:
A.	Time Value of Money
B.	Rate of Interest,
C.	Tax-deductibility of Interest
D.	Dividends not Payable to lenders.
Answer» C. Tax-deductibility of Interest	

141.	In order to find out cost of equity capital under CAPM, which of the following is not required:
A.	Beta Factor
B.	Market Rate of Return,
C.	Market Price of Equity Share
D.	Risk-free Rate of Interest.
Answer» C. Market Price of Equity Share	

142.	Tax-rate is relevant and important for calculation of specific cost of capital of:
A.	Equity Share Capital
B.	Preference Share Capital
C.	Debentures
D.	(a) and (b) above.
Answer» C. Debentures	

143.	Advantage of Debt financing is
A.	Interest is tax-deductible
B.	It reduces WACC
C.	Does not dilute owners control
D.	All of the above.
Answer» D. All of the above.	

144.	Cost of issuing new shares to the public is known as:
A.	Cost of Equity
B.	Cost of Capital
C.	Flotation Cost
D.	Marginal Cost of Capital.
Answer» C. Flotation Cost	

145.	Cost of Equity Share Capital is more than cost of debt because:
A.	Face value of debentures is more than face value of shares,
B.	Equity shares have higher risk than debt,
C.	Equity shares are easily saleable
D.	All of the three above.
Answer» B. Equity shares have higher risk than debt,	

146.	Which of the following is not a generally accepted approach for Calculation of Cost of Equity?
A.	CAPM
B.	Dividend Discount Model
C.	Rate of Pref. Dividend Plus Risk
D.	Price-Earnings Ratio
Answer» C. Rate of Pref. Dividend Plus Risk	

147.	Operating leverage helps in analysis of:
A.	Business Risk
B.	Financing Risk
C.	Production Risk
D.	Credit Risk
Answer» A. Business Risk	

148.	Which of the following is studied with the help of financial leverage?
A.	Marketing Risk
B.	Interest Rate Risk
C.	Foreign Exchange Risk
D.	Financing risk
Answer» D. Financing risk	

149.	Combined Leverage is obtained from OL and FL by their:
A.	Addition
B.	Subtraction
C.	Multiplication
D.	Any of these
Answer» C. Multiplication	

150.	High degree of financial leverage means:
A.	High debt proportion
B.	Lower debt proportion
C.	Equal debt and equity
D.	No debt
Answer» A. High debt proportion	

151.	Operating leverage arises because of:
A.	Fixed Cost of Production
B.	Fixed Interest Cost
C.	Variable Cost
D.	None of the above
Answer» A. Fixed Cost of Production	

152.	Financial Leverage arises because of:
A.	Fixed cost of production
B.	Variable Cost
C.	Interest Cost
D.	None of the above
Answer» C. Interest Cost	

153.	Operating Leverage is calculated as:
A.	Contribution ÷ EBIT
B.	EBIT÷PBT
C.	EBIT ÷Interest
D.	EBIT ÷Tax
Answer» A. Contribution ÷ EBIT	

154.	Financial Leverage is calculated as:
A.	EBIT÷ Contribution
B.	EBIT÷ PBT
C.	EBIT÷ Sales
D.	EBIT ÷ Variable Cost
Answer» B. EBIT÷ PBT	

155.	Which combination is generally good for firms
A.	High OL, High FL
B.	Low OL, Low FL
C.	High OL, Low FL
D.	None of these
Answer» C. High OL, Low FL	

156.	Combined leverage can be used to measure the relationship between:
A.	EBIT and EPS
B.	PAT and EPS,
C.	Sales and EPS,
D.	Sales and EBIT
Answer» C. Sales and EPS,	

157.	FL is zero if:
A.	EBIT = Interest
B.	EBIT = Zero,
C.	EBIT = Fixed Cost,
D.	EBIT = Pref. Dividend
Answer» B. EBIT = Zero,	

158.	Business risk can be measured by:
A.	Financial leverage
B.	Operating leverage
C.	Combined leverage
D.	None of the above
Answer» B. Operating leverage	

159.	Financial Leverage measures relationship between
A.	EBIT and PBT
B.	EBIT and EPS
C.	Sales and PBT
D.	Sales and EPS
Answer» B. EBIT and EPS	

160.	Use of Preference Share Capital in Capital structure
A.	Increases OL
B.	Increases FL
C.	Decreases OL
D.	Decreases FL
Answer» B. Increases FL	

161.	Relationship between change in sales and change m is measured by:
A.	Financial leverage
B.	Combined leverage
C.	Operating leverage
D.	None of the above
Answer» B. Combined leverage	

162.	Operating leverage works when:
A.	Sales Increases
B.	Sales Decreases
C.	Both (a) and (b)
D.	None of (a) and (b)
Answer» C. Both (a) and (b)	

163.	Which of the following is correct?
A.	$CL = OL + FL$
B.	$CL = OL - FL$
C.	$OL = OL \times FL$
D.	$OL = OL \div FL$
Answer» C. $OL = OL \times FL$	

164.	If the fixed cost of production is zero, which one of the following is correct?
A.	OL is zero
B.	FL is zero
C.	CL is zero
D.	None of the above
Answer» D. None of the above	

165.	If a firm has no debt, which one is correct?
A.	OL is one
B.	FL is one
C.	OL is zero
D.	FL is zero
Answer» B. FL is one	

166.	If a company issues new share capital to redeem debentures, then:
A.	OL will increase
B.	FL will increase
C.	OL will decrease
D.	FL will decrease
Answer» D. FL will decrease	

167.	If a firm has a DOL of 2.8, it means:
A.	If sales increase by 2.8%, the EBIT will increase by 1%,
B.	If EBIT increase by 2.896, the EPS will increase by 1 %,
C.	If sales rise by 1%, EBIT will rise by 2.8%,
D.	None of the above
Answer» C. If sales rise by 1%, EBIT will rise by 2.8%,	

168.	Higher OL is related to the use of higher:
A.	Debt
B.	Equity
C.	Fixed Cost
D.	Variable Cost
Answer» C. Fixed Cost	

169.	Higher FL is related the use of:
A.	Higher Equity
B.	Higher Debt
C.	Lower Debt
D.	None of the above
Answer» B. Higher Debt	

170.	In order to calculate EPS, Profit after Tax and Preference Dividend is divided by:
A.	MP of Equity Shares
B.	Number of Equity Shares
C.	Face Value of Equity Shares
D.	None of the above.
Answer» B. Number of Equity Shares	

171.	Trading on Equity is
A.	Always beneficial
B.	May be beneficial
C.	Never beneficial
D.	None of the above.
Answer» B. May be beneficial	

172.	Benefit of 'Trading on Equity' is available only if:
A.	Rate of Interest < Rate of Return
B.	Rate of Interest > Rate of Return
C.	Both (a) and (b)
D.	None of the above
Answer» A. Rate of Interest < Rate of Return	

173.	Indifference Level of EBIT is one at which:
A.	EPS is zero
B.	EPS is Minimum
C.	EPS is highest
D.	None of these
Answer» D. None of these	

174.	Financial Break-even level of EBIT is one at which:
A.	EPS is one
B.	EPS is zero
C.	EPS is Infinite
D.	EPS is Negative
Answer» B. EPS is zero	

175.	Relationship between change in Sales and d Operating Profit is known as:
A.	Financial Leverage
B.	Operating Leverage
C.	Net Profit Ratio
D.	Gross Profit Ratio
Answer» B. Operating Leverage	

176.	If a firm has no Preference share capital, Financial Break-even level is defined as equal to -
A.	EBIT
B.	Interest liability
C.	Equity Dividend
D.	Tax Liability
Answer» B. Interest liability	

177.	At Indifference level of EBIT, different capital have
A.	Same EBIT
B.	Same EPS
C.	Same PAT
D.	Same PBT
Answer» B. Same EPS	

178.	Which of the following is not a relevant factor m EPS Analysis of capital structure?
A.	Rate of Interest on Debt
B.	Tax Rate
C.	Amount of Preference Share Capital
D.	Dividend paid last year
Answer» D. Dividend paid last year	

179.	For a constant EBIT, if the debt level is further increased then
A.	EPS will always increase
B.	EPS may increase
C.	EPS will never increase
D.	None of the above
Answer» B. EPS may increase	

180.	Between two capital plans, if expected EBIT is more than indifference level of EBIT, then
A.	Both plans be rejected
B.	Both plans are good
C.	One is better than other
D.	None of the above
Answer» C. One is better than other	

181.	Financial break-even level of EBIT is:
A.	Intercept at Y-axis,
B.	Intercept at X-axis
C.	Slope of EBIT-EPS line
D.	None of the above.
Answer» B. Intercept at X-axis	

182.	In case of Net Income Approach, the Cost of equity is:
A.	Constant
B.	Increasing
C.	Decreasing
D.	None of the above
Answer» A. Constant	

183.	In case of Net Income Approach, when the debt proportion is increased, the cost of debt:
A.	Increases
B.	Decreases
C.	Constant
D.	None of the above
Answer» C. Constant	

184.	Which of the following is true of Net Income Approach?
A.	$V_F = V_E + V_D$
B.	$V_E = V_F + V_D$
C.	$V_D = V_F + V_E$
D.	$V_F = V_E - V_E$
Answer» A. $V_F = V_E + V_D$	

185.	Net Operating Income Approach, which one of the following is constant?
A.	Cost of Equity
B.	Cost of Debt
C.	WACC & k_d
D.	K_e and K_d
Answer» C. WACC & k_d	

186.	NOI Approach advocates that the degree of debt financing is:
A.	Relevant
B.	May be relevant
C.	Irrelevant
D.	May be irrelevant
Answer» C. Irrelevant	

187.	'Judicious use of leverage' is suggested by:
A.	Net Income Approach
B.	Net Operating Income Approach
C.	Traditional Approach
D.	All of the above
Answer» C. Traditional Approach	

188.	Which one is true for Net Operating Income Approach?
A.	$VD = VF - VE$
B.	$VE = VF + VD$
C.	$VE = VF - VD$
D.	$VD = VF + VE$
Answer» C. $VE = VF - VD$	

189.	In the Traditional Approach, which one of the following remains constant?
A.	Cost of Equity
B.	Cost of Debt
C.	WACC
D.	None of the above
Answer» D. None of the above	

190.	In MM-Model, irrelevance of capital structure is based on:
A.	Cost of Debt and Equity
B.	Arbitrage Process
C.	Decreasing k_0
D.	All of the above
Answer» B. Arbitrage Process	

191.	'That there is no corporate tax' is assumed by:
A.	Net Income Approach
B.	Net Operating Income Approach,
C.	Traditional Approach
D.	All of these
Answer» D. All of these	

192.	'That personal leverage can replace corporate leverage' is assumed by:
A.	Traditional Approach
B.	MM Model
C.	Net Income Approach
D.	Net Operating Income Approach.
Answer» B. MM Model	

193.	Which of the following argues that the value of levered firm is higher than that of the unlevered firm?
A.	Net Income Approach
B.	Net Operating Income Approach
C.	MM Model with taxes
D.	Both (a) and (c)
Answer» D. Both (a) and (c)	

194.	In Traditional Approach, which one is correct?
A.	k_e rises constantly
B.	k_d decreases constantly
C.	k_0 decreases constantly
D.	None of the above
Answer» D. None of the above	

195.	Which of the following assumes constant k_d and k_e?
A.	Net Income Approach
B.	Net Operating Income Approach
C.	Traditional Approach
D.	MM Model.
Answer» A. Net Income Approach	

196.	Which of the following is true?
A.	Under Traditional Approach, overall cost of capital remains same,
B.	Under NI Approach, overall cost of capital remains same,
C.	Under NOI Approach, overall cost of capital remains same,
D.	None of the above.
Answer» C. Under NOI Approach, overall cost of capital remains same,	

197.	The Traditional Approach to Value of the firm m that:
A.	There is no optimal capital structure,
B.	Value can be increased by judicious use of leverage
C.	Cost of Capital and Capital structure are m dent,
D.	Risk of the firm is independent of capital structure
Answer» B. Value can be increased by judicious use of leverage	

198.	A firm has EBIT of . 50,000. Market value of debt is . 80,000 and overall capitalization rate is 20%. Market value of firm under NOI Approach is:
A.	2,50,000
B.	1,70,000
C.	30,000
D.	1,30,000.
Answer» B. 1,70,000	

199.	Which of the following is incorrect for NOI?
A.	k_0 is constant
B.	k_d is constant
C.	k_e is constant
D.	k_d & k_0 are constant
Answer» C. k_e is constant	

200.	Which of the following is incorrect for value of the firm?
A.	In the initial preposition, MM Model argues that value is independent of the financing mix.
B.	Total value of levered and unlevered firms is otherwise arbitrage will take place.
C.	Total value incorporates borrowings by firm but excludes personal borrowing.
D.	Total value does not change because underlying does not change with financing mix.
Answer» D. Total value does not change because underlying does not change with financing mix.	

200.	Which of the following is incorrect for value of the firm?
FINANCIAL MARKETS AND INSTITUTIONS	
1.	Every financial market has the following characteristic:
A.	It determines the level of interest rates.
B.	It allows common stock to be traded.
C.	It allows loans to be made.
D.	It channels funds from lenders-savers to borrowers spenders.
Answer» D. It channels funds from lenders-savers to borrowers spenders.	

2.	Financial markets have the basic function of
A.	bringing together people with funds to lend and people who want to borrow funds.
B.	assuring that the swings in the business cycle are less pronounced. assuring that governments need never resort to printing money.
C.	both (A) and (B) of the above.
D.	both (B) and (C) of the above.
Answer» A. bringing together people with funds to lend and people who want to borrow funds.	

3.	Which of the following can be described as involving direct finance?
A.	A corporation's stock is traded in an over-the-counter market.
B.	People buy shares in a mutual fund.
C.	A pension fund manager buys commercial paper in the secondary market.
D.	None of the above.
Answer» D. None of the above.	

4.	Which of the following can be described as involving direct finance?
A.	A corporation's stock is traded in an over-the-counter market.

4.	Which of the following can be described as involving direct finance?
B.	A corporation buys commercial paper issued by another corporation.
C.	A pension fund manager buys commercial paper from the issuing corporation.
D.	Both (B) and (C) of the above.
Answer» D. Both (B) and (C) of the above.	

5.	Which of the following can be described as involving indirect finance?
A.	A corporation takes out loans from a bank.
B.	People buy shares in a mutual fund.
C.	A corporation buys commercial paper in a secondary market.
D.	All of the above.
Answer» D. All of the above.	

6.	Which of the following can be described as involving indirect finance?
A.	A bank buys a U.S. Treasury bill from one of its depositors.
B.	A corporation buys commercial paper issued by another corporation.
C.	A pension fund manager buys commercial paper in the primary market.
D.	Both (B) and (C) of the above.
Answer» A. A bank buys a U.S. Treasury bill from one of its depositors.	

7.	Financial markets improve economic welfare because
A.	they allow funds to move from those without productive investment opportunities to those who have such opportunities.
B.	they allow consumers to time their purchases better.
C.	they weed out inefficient firms.
D.	they do (A) and (B) of the above.
Answer» D. they do (A) and (B) of the above.	

8.	Which of the following are securities?
A.	A certificate of deposit
B.	A share of Texaco common stock
C.	A Treasury bill
D.	All of the above
Answer» D. All of the above	

9.	Which of the following statements about the characteristics of debt and equity are true?
A.	They can both be long-term financial instruments.
B.	They both involve a claim on the issuer's income.
C.	They both enable a corporation to raise funds.
D.	All of the above
Answer» D. All of the above	

10.	Which of the following are long-term financial instruments?
A.	A negotiable certificate of deposit
B.	A banker's acceptance
C.	A U.S. Treasury bond
D.	A U.S. Treasury bill
Answer» C. A U.S. Treasury bond	

11.	Which of the following are short-term financial instruments?
A.	A negotiable certificate of deposit
B.	A banker's acceptance
C.	A U.S. Treasury bond
D.	Both (A) and (B) of the above
Answer» D. Both (A) and (B) of the above	

12.	Which of the following are short-term financial instruments?
A.	A banker's acceptance
B.	A share of Walt Disney Corporation stock
C.	A Treasury note with a maturity of 4 years
D.	All of the above
Answer» A. A banker's acceptance	

13.	Which of the following are primary markets?
A.	The New York Stock Exchange
B.	The U.S. government bond market
C.	The over-the-counter stock market
D.	None of the above
Answer» D. None of the above	

14.	Which of the following are secondary markets?
A.	The New York Stock Exchange
B.	The U.S. government bond market
C.	The over-the-counter stock markets
D.	All of the above
Answer» D. All of the above	

15.	A corporation acquires new funds only when its securities are sold
A.	in the secondary market by an investment bank.
B.	in the primary market by an investment bank.
C.	in the secondary market by a stock exchange broker.
D.	in the secondary market by a commercial bank.
Answer» B. in the primary market by an investment bank.	

16.	Intermediaries who are agents of investors and match buyers with sellers of securities are called
A.	investment bankers.
B.	traders
C.	brokers
D.	dealers.
Answer» D. dealers.	

17.	Intermediaries who link buyers and sellers by buying and selling securities at stated prices are called
A.	investment bankers.
B.	traders
C.	brokers
D.	dealers
Answer» D. dealers	

18.	An important financial institution that assists in the initial sale of securities in the primary market is the
A.	investment bank
B.	commercial bank.
C.	stock exchange.
D.	brokerage house
Answer» A. investment bank	

19.	Which of the following statements about financial markets and securities are true?
A.	Most common stocks are traded over-the-counter, although the largest corporations have their shares traded at organized stock exchanges such as the
B.	New York Stock Exchange.
C.	A corporation acquires new funds only when its securities are sold in the primary market.
D.	Money market securities are usually more widely traded than longer-term securities and so tend to be more liquid.

19.	Which of the following statements about financial markets and securities are true?
Answer» D. Money market securities are usually more widely traded than longer-term securities and so tend to be more liquid.	

20.	The lending ability of commercial bank increases when
A.	Reserve ratio is increased
B.	RBI credit is reduced
C.	RBI sells government securities
D.	None of the above
Answer» D. None of the above	

21.	RBI issues currency noted under
A.	Minimum reserve system
B.	Proportional reserve system
C.	Maximum issue system
D.	None of the above
Answer» A. Minimum reserve system	

22.	Which of the following markets is sometimes organized as an over-the-counter market?
A.	The stock markets
B.	The bond markets
C.	The foreign exchange markets
D.	all of the above
Answer» D. all of the above	

23.	Which of the following instruments is not traded in a money market?
A.	Banker's acceptances
B.	U.S. Treasury Bills

23.	Which of the following instruments is not traded in a money market?
C.	Eurodollars
D.	None of the above
Answer» D. None of the above	

24.	Which of the following instruments is not traded in a money market?
A.	Banker's acceptances
B.	U.S. Treasury Bills
C.	Eurodollars
D.	Residential mortgages
Answer» D. Residential mortgages	

25.	Which of the following instruments are traded in a capital market?
A.	U.S. government agency securities
B.	Negotiable bank CDs
C.	Repurchase agreements
D.	Eurodollars
Answer» A. U.S. government agency securities	

26.	Which of the following instruments are traded in a capital market?
A.	Corporate bonds
B.	U.S. Treasury bills
C.	Banker's acceptances
D.	Repurchase agreements
Answer» A. Corporate bonds	

27.	Bonds that are sold in a foreign country and are denominated in that country's currency are known as
A.	Foreign bonds.
B.	Eurobonds.

27.	Bonds that are sold in a foreign country and are denominated in that country's currency are known as
C.	Eurocurrencies.
D.	Eurodollars.
Answer» A. Foreign bonds.	

28.	Bonds that are sold in a foreign country and are denominated in a currency other than that of the country in which they are sold are known as
A.	foreign bonds.
B.	Eurobonds.
C.	Euro-currencies.
D.	Eurodollars.
Answer» B. Eurobonds.	

29.	Financial intermediaries
A.	exist because there are substantial information and transaction costs in the economy.
B.	improve the lot of the small saver.
C.	are involved in the process of indirect finance.
D.	do all of the above.
Answer» D. do all of the above.	

30.	The main sources of financing for businesses, in order of importance, are
A.	financial intermediaries, issuing bonds, issuing stocks.
B.	issuing bonds, issuing stocks, financial intermediaries.
C.	issuing stocks, issuing bonds, financial intermediaries.
D.	issuing stocks, financial intermediaries, issuing bonds.
Answer» A. financial intermediaries, issuing bonds, issuing stocks.	

31.	In primary markets, the first time issued shares to be publicly traded in stock markets is considered as
A.	traded offering
B.	public markets
C.	issuance offering
D.	initial public offering
Answer» D. initial public offering	

32.	The transaction cost of trading of financial instruments in centralized market is classified as
A.	flexible costs
B.	low transaction costs
C.	high transaction costs
D.	constant costs
Answer» B. low transaction costs	

33.	The stocks or shares that are sold to investors without transacting through financial institutions are classified as
A.	direct transfer
B.	indirect transfer
C.	global transfer
D.	pension transfer
Answer» A. direct transfer	

34.	The type of financial security which have linked payoff to another issued security is classified as.
A.	linked security
B.	derivative security
C.	payable security
D.	non- issuing security
Answer» B. derivative security	

35.	In primary markets, the property of shares which made it easy to sell newly issued security is considered as
A.	increased liquidity
B.	decreased liquidity
C.	money flow
D.	large funds
Answer» A. increased liquidity	

36.	The depository institutions such as thrifts includes
A.	savings associations
B.	savings banks
C.	credit unions
D.	all of above
Answer» D. all of above	

37.	The money market where debt and stocks are traded and maturity period is more than a year is classified as
A.	shorter term markets
B.	capital markets
C.	counter markets
D.	Long-term markets
Answer» B. capital markets	

38.	The example of derivative securities includes
A.	swap contract
B.	option contract
C.	futures contract
D.	all of above

38.	The example of derivative securities includes
Answer» D. all of above	

39.	In foreign financial markets, the growth is represented by the factors such as
A.	savings in foreign countries
B.	investment opportunities
C.	accessible information
D.	all of above
Answer» D. all of above	

40.	The authority which intervenes directly or indirectly in foreign exchange markets by altering the interest rates is considered as
A.	centralized instruments
B.	centralized stocks
C.	central government
D.	central corporations
Answer» C. central government	

41.	Which of the following are functions of a financial system? 1. The operation of a payments system. 2. Providing the means of portfolio adjustment. 3. Helping to reduce unemployment. 4. Channelling funds between lenders and borrowers. 5. Helping speculators to bet on price movements.
A.	1 and 5
B.	2, 3 and 5
C.	1, 2 and 4
D.	2 to 5
Answer» C. 1, 2 and 4	

42.	The regulation of the banking industry is of particular importance in modern economies because:
A.	banks are large and very profitable.

42.	The regulation of the banking industry is of particular importance in modern economies because:
B.	everyone in the economy has a bank account.
C.	banks employ many people.
D.	banks provide the principal means of payment for the economy.
Answer» D. banks provide the principal means of payment for the economy.	

43.	Statutory regulation is likely to create larger compliance costs than self-regulation because:
A.	self-regulation does not involve lawyers and the courts.
B.	consumers are better able to assess risk under self-regulation.
C.	statutory regulators are often over-cautious.
D.	statutory regulation is controlled by consumers.
Answer» C. statutory regulators are often over-cautious.	

44.	Moral hazard caused by regulation can only be removed from financial transactions if:
A.	regulations are regularly revised to keep pace with the changing circumstances of the market.
B.	the regulations prevent agency capture.
C.	all regulation is self-regulation.
D.	participants in the finance industry do not feel protected by the regulations.
Answer» D. participants in the finance industry do not feel protected by the regulations.	

45.	The public debt of a country is not necessarily a burden on the economy to the extent that:
A.	it grows less rapidly than GDP.
B.	people receive good public services.
C.	people are happy to hold government bonds.
D.	it can be financed without adding to inflation.
Answer» A. it grows less rapidly than GDP.	

46.	If the public debt can be financed without adding to inflation or causing interest rates to rise, it is said to be:
A.	only a burden on future generations.
B.	following the golden rule of the public finances.
C.	in primary balance.
D.	sustainable
Answer» D. sustainable	

47.	Interest rate expectations have been thought to be an important influence on bond sales because:
A.	government bond-holders are, by and large, are income risk averse.
B.	interest rates have always been very unstable.
C.	the bond market is dominated by people interested mainly in capital gains.
D.	government bond-holders hold extrapolative expectations.
Answer» C. the bond market is dominated by people interested mainly in capital gains.	

48.	The sale of government bonds overseas:
A.	causes a fall in the domestic money supply.
B.	causes a deficit in the balance of payments.
C.	causes a smaller increase in interest rates than the sale of bonds to the domestic banking sector.
D.	causes a smaller increase in interest rates than the sale of bonds to the domestic private sector.
Answer» D. causes a smaller increase in interest rates than the sale of bonds to the domestic private sector.	

49.	In indirect finance:
A.	lenders loan to borrowers.
B.	an institution borrows from the lender and provides funds to the borrower.
C.	occurs between a borrower and lender, with or without an intermediary.
D.	the borrower is required to have collateral.

49.	In indirect finance:
Answer» B. an institution borrows from the lender and provides funds to the borrower.	

50.	A loan:
A.	is an asset for both the lender and the borrower.
B.	is an asset for the lender and a liability for the borrower.
C.	is a liability for the lender and an asset for the borrower
D.	is a liability for both the lender and the borrower.
Answer» B. is an asset for the lender and a liability for the borrower.	

Chapter: Unit 2

1.	The liquidity status of certificate of deposit which is more negotiable is considered as
A.	certified liquidity
B.	term liquidity
C.	more liquid
D.	less liquid
Answer» A. certified liquidity	

2.	Which of the following statements about financial markets and securities are true?
A.	A bond is a long-term security that promises to make periodic payments called dividends to the firm's residual claimants.
B.	A debt instrument is intermediate term if its maturity is less than one year.
C.	A debt instrument is long term if its maturity is ten years or longer.
D.	The maturity of a debt instrument is the time (term) to that instrument's expiration date.
Answer» C. A debt instrument is long term if its maturity is ten years or longer.	

3.	Which of the following statements about financial markets and securities are true?
A.	Few common stocks are traded over-the-counter, although the over-the-counter markets have

3.	Which of the following statements about financial markets and securities are true?
	grown in recent years.
B.	A corporation acquires new funds only when its securities are sold in the primary market.
C.	Capital market securities are usually more widely traded than longer term securities and so tend to be more liqu
Answer» A. Few common stocks are traded over-the-counter, although the over-the-counter markets have grown in recent years.	

6.	Exchange banks specialize in:
A.	Financing foreign trade
B.	Promoting foreign investment
C.	Financing domestic trade
D.	All the above
Answer» A. Financing foreign trade	

8.	The declining profits made banks to undertake the business of:
A.	Merchant banking
B.	Mutual funds
C.	Venture capital
D.	all of the above
Answer» D. all of the above	

9.	Retail banking means granting loans for:
A.	Construction of houses
B.	Purchases of consumer durables
C.	Educational purposes
D.	All of these
Answer» D. All of these	

10.	Investment banking was developed by
A.	Japan
B.	England
C.	USA
D.	None of the above
Answer» B. England	

11.	The presence of transaction costs in financial markets explains, in part, why
A.	financial intermediaries and indirect finance play such an important role in financial markets.
B.	equity and bond financing play such an important role in financial markets.
C.	corporations get more funds through equity financing than they get from financial intermediaries.
D.	direct financing is more important than indirect financing as a source of funds.
Answer» A. financial intermediaries and indirect finance play such an important role in financial markets.	

12.	Financial intermediaries can substantially reduce transaction costs per dollar of transactions because their large size allows them to take advantage of
A.	poorly informed consumers.
B.	standardization.
C.	economies of scale.
D.	their market power.
Answer» C. economies of scale.	

13.	The presence of in financial markets leads to adverse selection and moral hazard problems that interfere with the efficient functioning of financial markets.
A.	Non-collateralized risk
B.	free-riding
C.	asymmetric information
D.	costly state verification

14.	When the lender and the borrower have different amounts of information regarding a transaction, _____
A.	asymmetric information
B.	adverse selection
C.	moral hazard
D.	fraud
Answer» A. asymmetric information	

15.	When the potential borrowers who are the most likely to default are the ones most actively seeking a loan, _ is said to exist.
A.	asymmetric information
B.	adverse selection
C.	moral hazard
D.	fraud
Answer» B. adverse selection	

16.	When the borrower engages in activities that make it less likely that the loan will be repaid, is said to exist.
A.	asymmetric information
B.	adverse selection
C.	moral hazard
D.	fraud
Answer» C. moral hazard	

17.	The concept of adverse selection helps to explain
A.	which firms are more likely to obtain funds from banks and other financial intermediaries, rather than from the securities markets.
B.	why indirect finance is more important than direct finance as a source of business finance.
C.	why direct finance is more important than indirect finance as a source of business finance.
D.	only (A) and (B) of the above.

17.	The concept of adverse selection helps to explain
Answer» D. only (A) and (B) of the above.	

18.	Adverse selection is a problem associated with equity and debt contracts arising from
A.	the lender's relative lack of information about the borrower's potential returns and risks of his investment activities.
B.	the lender's inability to legally require sufficient collateral to cover a 100 percent loss if the borrower defaults.
C.	the borrower's lack of incentive to seek a loan for highly risky investments.
D.	none of the above.
Answer» A. the lender's relative lack of information about the borrower's potential returns and risks of his investment activities.	

19.	When the least desirable credit risks are the ones most likely to seek loans, lenders are subject to the
A.	moral hazard problem.
B.	adverse selection problem.
C.	shirking problem.
D.	free-rider problem.
Answer» B. adverse selection problem.	

20.	Financial institutions expect that
A.	moral hazard will occur, as the least desirable credit risks will be the ones most likely to seek out loans.
B.	opportunistic behavior will occur, as the least desirable credit risks will be the ones most likely to seek out loans.
C.	borrowers will commit moral hazard by taking on too much risk, and this is what drives financial institutions to take steps to limit moral haza
Answer» B. opportunistic behavior will occur, as the least desirable credit risks will be the ones most likely to seek out loans.	

21.	Successful financial intermediaries have higher earnings on their investments because they are better equipped than individuals to screen out good from bad risks, thereby reducing losses due to
A.	moral hazard.
B.	adverse selection.
C.	bad luck.
D.	financial panics.
Answer» B. adverse selection.	

22.	In financial markets, lenders typically have inferior information about potential returns and risks associated with any investment project. This difference in information is called
A.	comparative informational disadvantage.
B.	asymmetric information
C.	variant information.
D.	Caveat venditor.
Answer» B. asymmetric information	

23.	The largest depository institution at the end of 2001 was
A.	life insurance companies.
B.	pension funds.
C.	state retirement funds.
D.	none of the above.
Answer» D. none of the above.	

24.	The value of assets held by commercial banks in 2001 was \$6.7 trillion dollars, making commercial banks the
A.	second most important sector of financial intermediaries after mutual funds.
B.	second most important sector of financial intermediaries after lifeinsurance companies.
C.	second most important sector of financial intermediaries after privatepension funds.
D.	largest sector of financial intermediaries.
Answer» D. largest sector of financial intermediaries.	

24.	The value of assets held by commercial banks in 2001 was \$6.7 trillion dollars, making commercial banks the

25.	Which of the following financial intermediaries are depository institutions?
A.	A savings and loan association
B.	A commercial bank
C.	A credit union
D.	All of the above
Answer» D. All of the above	

26.	Which of the following is a contractual savings institution?
A.	A life insurance company
B.	A credit union
C.	A savings and loan association
D.	A mutual fund
Answer» A. A life insurance company	

27.	Which of the following are not investment intermediaries?
A.	A life insurance company
B.	A pension fund
C.	A mutual fund
D.	Only (A) and (B) of the above
Answer» D. Only (A) and (B) of the above	

28.	The government regulates financial markets for three main reasons:
A.	to ensure soundness of the financial system, to improve control of monetary policy, and to increase the information available to investors.
B.	to improve control of monetary policy, to ensure that financial intermediaries earn a normal rate of return, and to increase the information available to investors.

28.	The government regulates financial markets for three main reasons:
C.	to ensure that financial intermediaries do not earn more than the normal rate of return, to ensure soundness of the financial system, and to improve control of monetary policy.
D.	to ensure soundness of financial intermediaries, to increase the information available to investors, and to prevent financial intermediaries from earning less than the normal rate of return.
Answer» A. to ensure soundness of the financial system, to improve control of monetary policy, and to increase the information available to investors.	

29.	Asymmetric information can lead to widespread collapse of financial intermediaries, referred to as a
A.	bank holiday.
B.	financial panic.
C.	financial disintermediation.
D.	financial collapse.
Answer» B. financial panic.	

30.	The market value size of outstanding instruments of capital markets depends on factors
A.	primary cash flows
B.	number of issued securities
C.	market prices of securities
D.	both b and c
Answer» D. both b and c	

31.	When maturities of liabilities and assets are mismatched and risk incurred by financial intermediaries then this risk is classified as
A.	interest rate risk
B.	channel rate risk
C.	economic risk
D.	issuance risk
Answer» A. interest rate risk	

32.	The depository institutions includes
A.	mutual funds
B.	commercial banks and thrifts
C.	savings banks
D.	credit unions
Answer» B. commercial banks and thrifts	

33.	The major liabilities of the commercial banks are
A.	junk bonds
B.	deposits
C.	loans
D.	swap bonds
Answer» B. deposits	

34.	The money market where securities are issued by governments to obtain funds for short term is classified as
A.	money market instruments
B.	capital market instruments
C.	counter instruments
D.	long term instruments
Answer» A. money market instruments	

35.	The federal funds, bankers acceptance, commercial paper and repurchase agreements are classified as
A.	counter instruments
B.	long term instruments
C.	money market instruments
D.	capital market instruments

35.	The federal funds, bankers acceptance, commercial paper and repurchase agreements are classified as
Answer» C. money market instruments	

36.	In financial transactions, the risk that there will be no profit in selling of this asset is classified as
A.	price risk
B.	profit risk
C.	selling risk
D.	financial risk
Answer» A. price risk	

37.	The type of risk in which the value of liabilities and assets is affected by the exchange rate is classified a
A.	economic rates
B.	foreign exchange risk
C.	selling rate
D.	buying rates
Answer» B. foreign exchange risk	

38.	In commercial banks, the subordinate debentures and subordinate notes are considered as
A.	stated rates
B.	banks debentures
C.	banks liabilities
D.	banks deposits
Answer» C. banks liabilities	

39.	The type of financial security having payoffs which are connected to some securities Issued some time back is classified as
A.	linked security
B.	previous security

39.	The type of financial security having payoffs which are connected to some securities Issued some time back is classified as
C.	payoff security
D.	derivative security
Answer» D. derivative security	

40.	A bond whose coupon rate is below the current market rate of interest will have a price:
A.	more than its maturity value of Rs.100.
B.	less than its maturity value.
C.	equal to its maturity value
D.	none
Answer» C. equal to its maturity value	

41.	A widening of the difference between the return on corporate bonds and on government bonds might suggest which of the following?
A.	The economy is on the brink of recession.
B.	Interest rates are going to rise in future.
C.	Government bonds are becoming more risky compared to corporate bonds.
D.	Investors should avoid government bonds.
Answer» A. The economy is on the brink of recession.	

42.	In a situation where share prices are generally depressed because long-term interest rates are expected to rise in future, a large firm looking for long-term finance would normally consider:
A.	issuing long-dated bonds.
B.	making a new share issue.
C.	borrowing from its bank on overdraft.
D.	borrowing in the interbank market.
Answer» A. issuing long-dated bonds.	

43.	Using a supply and demand framework, what is likely to happen to share prices in general if the central bank unexpectedly raises interest rates?
A.	The demand curve shifts to the left.
B.	The supply curve shifts to the left.
C.	Both curves shift outward
Answer» A. The demand curve shifts to the left.	

44.	Using a supply and demand framework, what is likely to happen to share prices in general if the central bank raises interest rates in response to a fall in the exchange rate?
A.	The supply curve shifts to the left.
B.	No changes.
C.	Both curves shift inwards
Answer» B. No changes.	

45.	Which of the following actions might you expect lenders to take during periods of variable and unpredictable inflation?
A.	Reduce the amount of lending they are prepared to do.
B.	Increase the average length of loans they are willing to make.
C.	Increase the amount of lending they are prepared to do.
D.	Reduce the average length of loans they are willing to make.
Answer» D. Reduce the average length of loans they are willing to make.	

46.	In the 'walking stick' hypothesis, the yield curve slopes:
A.	down and then up
B.	down
C.	up
D.	up and then down
Answer» D. up and then down	

47.	Secondary markets
A.	engage in buying and selling that is out of the public view.
B.	are where governments go to finance ongoing operations.
C.	include centralized exchanges, over-the-counter markets, and electronic communication networks.
D.	include all of the above.
Answer» C. include centralized exchanges, over-the-counter markets, and electronic communication networks.	

48.	Financial institutions:
A.	provide access to the financial markets.
B.	are also known as financial intermediaries.
C.	include banks, insurance companies, securities firms, and pension funds.
D.	include all of the above.
Answer» B. are also known as financial intermediaries.	

49.	Debt markets:
A.	are markets for money.
B.	are markets for bonds, loans, and mortgages.
C.	are markets for stocks.
D.	are markets for either stocks or bonds.
Answer» B. are markets for bonds, loans, and mortgages.	

50.	Centralized exchanges:
A.	are electronic systems that bring buyers and sellers together for electronic execution.
B.	are markets where claims based on an underlying asset are traded for payment at a later date.
C.	are markets where financial claims are bought and sold for immediate cash payment.
D.	are secondary markets where buyers and sellers meet in the same location.
Answer» D. are secondary markets where buyers and sellers meet in the same location.	

50.	Centralized exchanges:

Chapter/Unit 3

1.	In primary markets, first time issued shares to be publicly traded in stock markets is considered as
A.	traded offering
B.	public markets
C.	issuance offering
D.	initial public offering
Answer» D. initial public offering	

2.	Transaction cost of trading of financial instruments in centralized market is classified as
A.	flexible costs
B.	low transaction costs
C.	high transaction costs
D.	constant costs
Answer» B. low transaction costs	

3.	Stocks or shares that are sold to investors without transacting through financial institutions are classified as
A.	direct transfer
B.	indirect transfer
C.	global transfer
D.	pension transfer
Answer» A. direct transfer	

4.	Type of financial security which have linked payoff to another issued security is classified as
A.	linked security
B.	derivative security

4.	Type of financial security which have linked payoff to another issued security is classified as
C.	payable security
D.	non-issuing security
Answer» B. derivative security	

5.	In primary markets, property of shares which made it easy to sell newly issued security is considered as
A.	increased liquidity
B.	decreased liquidity
C.	money flow
D.	large funds
Answer» A. increased liquidity	

6.	Liquidity status of certificate of deposit which is more negotiable is considered as
A.	certified liquidity
B.	term liquidity
C.	more liquid
D.	less liquid
Answer» C. more liquid	

7.	Commercial paper issued with low interest rate thus commercial paper are categorized as
A.	payables rating
B.	commercial rating
C.	poor credit rating
D.	better credit rating
Answer» D. better credit rating	

8.	Maximum maturity days of holding commercial paper are
A.	170 days
B.	270 days
C.	120 days
D.	5 days
Answer» B. 270 days	

9.	In borrowing and lending of federal funds, federal funds rate is result of function between
A.	assets and liability
B.	cost and marketing
C.	supply and demand
D.	income and expense
Answer» C. supply and demand	

10.	A "hybrid" fund is one that:
A.	invests in both bonds and stocks
B.	started as a closed-end investment company, but changed to a mutual fund
C.	has different "loads" for different classes of investors in the fund
D.	can serve as an investment vehicle, but also provides check-writing privileges.
Answer» C. has different "loads" for different classes of investors in the fund	

11.	The first mutual fund was established in the:
A.	1890s
B.	1920s
C.	1940s
D.	1960s
Answer» D. 1960s	

12.	A mutual fund that invests solely in stocks would be categorized as a/an:
A.	bond fund
B.	fixed income fund
C.	money market fund
D.	equity fund
Answer» B. fixed income fund	

13.	A large number (about 25%) of long-term mutual funds are _____ funds, buying securities in proportions similar to those of a major stock index.
A.	small cap
B.	large cap
C.	fixed income
D.	Index
Answer» D. index	

14.	The bulk of the nation's money supply is created within the private banking system and is sometimes called:
A.	inside money
B.	net money
C.	base money
D.	outside money
Answer» B. net money	

15.	A type of bank account designed to compete with money market mutual funds, and having limited check-writing services, is known as:
A.	wholesale CDs
B.	demand deposit
C.	repurchase agreement
D.	NOW account
Answer» A. wholesale CDs	

16.	_____ would encompass fees received by the bank, but not revenues coming from interest charges on loans.
A.	Net interest margin
B.	Spread
C.	Non interest income
D.	Non interest expense
Answer» B. Spread	

17.	Another name used for a bank income statement is:
A.	report of income
B.	statement of retained earnings
C.	overhead efficiency report
D.	report of condition
Answer» D. report of condition	

18.	Which of the following is an advantage to investors of an open-end mutual fund?
A.	Once all the shares have been sold, the investor does not have to put in more money.
B.	The investors can sell their shares in the over-the-counter market with low transaction fees.
C.	The fund agrees to redeem shares at any time.
D.	The market value of the fund's shares may be higher than the value of the assets held by the fund.
Answer» C. The fund agrees to redeem shares at any time.	

19.	In ----- Securities share bond debentures are offered to the public for subscription for raising capital or fund.
A.	Prime Securities
B.	Public Securities
C.	Preferred Securities
D.	Primary Securities

19.	In ----- Securities share bond debentures are offered to the public for subscription for raising capital or fund.
Answer» A. Prime Securities	

20.	ADR Stands for:
A.	Asset Depository Receipt
B.	Asian Depository Receipt
C.	American Depository Receipt
D.	Adjustable Depository Receipt
Answer» C. American Depository Receipt	

Chapter/ Unit 4

1.	The largest industry group receiving venture capital funding is
A.	computer software.
B.	medical/health.
C.	computer hardware.
D.	none of the above.
Answer» D. none of the above.	

2.	The source of venture capital funding has
A.	shifted from wealthy individuals to pension funds and corporations.
B.	shifted from pension funds and corporations to wealthy individuals.
C.	decreased since 1990.
D.	none of the above.
Answer» A. shifted from wealthy individuals to pension funds and corporations.	

3.	A typical venture capital firm has a _____ number of investors who each contribute a _____ amount of money to the fund.
A.	large; small
B.	small; large

3.	A typical venture capital firm has a _____ number of investors who each contribute a _____ amount of money to the fund.
C.	large; large
D.	small; small
Answer» B. small; large	

4.	Most automobile financing is provided by
A.	commercial banks.
B.	thrifts.
C.	finance companies owned by automobile companies.
D.	finance companies owned by real estate brokers.
Answer» C. finance companies owned by automobile companies.	

5.	Business finance companies provide specialized forms of credit to businesses by making loans and purchasing accounts receivable at a discount; this provision of credit is called
A.	discounting.
B.	factoring.
C.	Refinancing
D.	sparkling.
Answer» B. factoring.	

6.	Which one of the following is regarded as classic venture capital?
A.	MBO finance
B.	Early stage
C.	Institutional
D.	Corporate
Answer» B. Early stage	

7.	Markets in which derivatives are traded are classified as
A.	assets backed market

7.	Markets in which derivatives are traded are classified as
B.	cash flow backed markets
C.	mortgage backed markets
D.	derivative securities markets
Answer» D. derivative securities markets	

8.	Consider buying of put option, probability that a buyer would have negative payoff increases with the
A.	increase in stock price
B.	decrease in stock price
C.	increase in maturity duration
D.	decrease in maturity duration
Answer» A. increase in stock price	

9.	Price of an option is subtracted form time value of option to calculate
A.	book value index
B.	market index
C.	intrinsic value
D.	extrinsic value
Answer» C. intrinsic value	

10.	If intrinsic value of an option is \$450 and price of an option is \$560 then time value of an option is
A.	\$110
B.	\$1,010
C.	\$450.00
D.	\$560
Answer» A. \$110	

11.	Type of swaps in which fixed payments of interest are exchanged by two counterparties for floating payments of interest are called
A.	float-fixed swaps
B.	interest rate swaps
C.	indexed swaps
D.	counter party swaps
Answer» B. interest rate swaps	

12.	Type of bonds that pay coupon interest are classified as
A.	forward bond
B.	payment bonds
C.	coupon bond
D.	interest bonds
Answer» C. coupon bond	

13.	For given change in interest rates, percentage change in present value of bond is classified as
A.	price sensitivity
B.	yield sensitivity
C.	maturity sensitivity
D.	premium sensitivity
Answer» A. price sensitivity	

14.	Type of bond whose present value is lesser than that of its face value is classified as
A.	discount bond
B.	premium bond
C.	coupon bond
D.	interest bonds
Answer» A. discount bond	

15.	For an investment, weighted average time to maturity is considered as
A.	premium time
B.	standard time
C.	mean time
D.	Duration
Answer» D. duration	

16.	Bonds that does not pay any interest rate are considered as
A.	interest free bond
B.	zero coupon bond
C.	price less coupon bond
D.	useless price bonds
Answer» B. zero coupon bond	

17.	Which of the following is not a characteristic feature of venture capital firms?
A.	Funding just one or a small number of firms.
B.	Holding equity in the firms that are funded.
C.	Having a long-term investment horizon.
D.	Providing advice and assistance to the firms that are funded.
Answer» A. Funding just one or a small number of firms.	

18.	Which of the following is a characteristic feature of venture capital firms?
A.	Developing a portfolio of companies.
B.	Holding debt in the firms that are funded.
C.	Allowing firms to use the funds as they see fit.
D.	Having a short-term investment horizon.
Answer» A. Developing a portfolio of companies.	

AUDITING PRINCIPLES AND PRACTICES

1.	Goods purchased but not recorded in the purchase register is _____
A.	an error of omission
B.	to reduce profits
C.	an error of commission
D.	affect on agreement of trial balance
Answer» A. an error of omission	

2.	Working papers are the property of the _____
A.	client and auditor
B.	auditor
C.	client
D.	equity shareholders
Answer» B. auditor	

3.	Which of the following documents is not relevant for vouching of sales _____
A.	daily cash sales summary
B.	credit memos
C.	delivery challans
D.	sales department attendance record
Answer» D. sales department attendance record	

4.	The main object of an Audit is _____
A.	to ensure that final accounts are prepared
B.	expression of an opinion on true and fair view of accounts
C.	to ensure the future viability of the enterprise
D.	detection and prevention of frauds and errors

4.	The main object of an Audit is _____
Answer» B. expression of an opinion on true and fair view of accounts	

5.	An Audit Programme must be prepared _____
A.	before commencement of an audit
B.	after completion of an audit
C.	after submission of an audit report
D.	during the conduct of an audit
Answer» A. before commencement of an audit	

6.	Analytical Review is _____
A.	an audit technique
B.	audit in depth
C.	a compliance procedure
D.	reporting requirement
Answer» A. an audit technique	

7.	Audit in Depth means _____
A.	none of the above
B.	detailed examination of all transactions
C.	investigation of all transactions
D.	detailed examination of selected transactions
Answer» D. detailed examination of selected transactions	

8.	Audit programme should be _____
A.	flexible
B.	rigid
C.	oral and flexible

8.	Audit programme should be _____
D.	oral
Answer» A. flexible	

9.	_____ incorporates both Accounting and Administrative Controls.
A.	internal control
B.	internal check
C.	statutory audit
D.	internal audit
Answer» A. internal control	

10.	Debtors are valued at _____
A.	realizable value
B.	as per articles of association
C.	book value
D.	decided by the customer
Answer» C. book value	

11.	The main objective of Window Dressing is _____
A.	increase liability
B.	to mislead investors
C.	to reduce tax liability
D.	to understate profits
Answer» B. to mislead investors	

12.	_____ document is not relevant for vouching cash purchases
A.	purchase order

12.	_____ document is not relevant for vouching cash purchases
B.	goods inward register
C.	purchase invoice
D.	attendance record of cashier
Answer» D. attendance record of cashier	

13.	To select a sample for Audit, the auditor should consider _____
A.	all the above
B.	the size of the sample
C.	the volume of transactions
D.	adequacy of internal control system
Answer» A. all the above	

14.	Secret reserves are shown on _____
A.	assets side of balance sheet
B.	none of the above
C.	liabilities side of balance sheet
D.	credit side of trading account
Answer» B. none of the above	

15.	Stock of goods on consignment should be valued at _____
A.	none of the above
B.	invoice price
C.	cost of realizable value whichever is lower
D.	cost price
Answer» C. cost of realizable value whichever is lower	

16.	_____ is not an error of Commission
A.	mathematical error
B.	compensating error
C.	posting error
D.	none of the above
Answer» B. compensating error	

17.	Telephone charges should be examine on the basis of _____
A.	cash memo
B.	telephone bill
C.	all the above
D.	agreement with telephone department
Answer» B. telephone bill	

18.	The Auditor examines Bill of Lading in order to vouch _____
A.	sales within the state
B.	all the above
C.	sales outside the state
D.	sales outside the country
Answer» D. sales outside the country	

19.	_____ Asset, which is not subject to physical verification
A.	stock
B.	cash
C.	furniture
D.	debtors
Answer» D. debtors	

20.	Goods sold but not recorded in Sales Register is _____
A.	compensating error
B.	an error of commission
C.	an error of omission
D.	none of the above
Answer» B. an error of commission	

21.	Audit plan should be best on knowledge of the _____
A.	client's reputation
B.	client's family
C.	client's share capital
D.	client's business
Answer» D. client's business	

22.	Confirmation is _____
A.	a compliance procedure
B.	an audit technique
C.	a principle of audit
D.	none of the above
Answer» B. an audit technique	

23.	_____ should be checked by the Auditor in verification of Machinery
A.	all the above
B.	charge/line
C.	the possession
D.	ownership
Answer» A. all the above	

24.	Closing stock with the consignee is to be shown as the Asset of _____
A.	consignee
B.	customer
C.	all the above
D.	consignor
Answer» D. consignor	

26.	An auditor is like a
A.	Blood haunt
B.	Watch dog
C.	May both according to situation
D.	None of these
Answer» B. Watch dog	

27.	The term ‘Audit’ is derived from a Latin word “audire” which means;
A.	To inspect
B.	To examine
C.	To hear
D.	To investigate
Answer» C. To hear	

28.	Process of verifying the documentary evidences of transactions are known as:
A.	Auditing
B.	Testing
C.	Vouching
D.	Verification
Answer» C. Vouching	

29.	Auditing is compulsory for
A.	Small scale business
B.	Partnership firms
C.	Joint stock Companies
D.	Proprietary Concerns
Answer» C. Joint stock Companies	

30.	The main object of an audit is ____
A.	Expression of expert opinion
B.	Detection and Prevention of fraud and error
C.	Both (a) and (b)
D.	Depends on the type of audit.
Answer» D. Depends on the type of audit.	

31.	Concealment of shortage by delaying the recording of cash receipts is known as
A.	Embezzlement
B.	Misappropriation
C.	Lapping
D.	None of these
Answer» C. Lapping	

33.	Lapping is also known as:
A.	Teeming and lading
B.	Embezzlement
C.	Looping
D.	Hacking

33.	Lapping is also known as:
Answer» A. Teeming and lading	

34.	Which of the following is not true about opinion on financial statements?
A.	The auditor should express an opinion on financial statements.
B.	His opinion is no guarantee to future viability of business
C.	He is responsible for detection and prevention of frauds and errors in financial statements
D.	He should examine whether recognised accounting principle have been consistently
Answer» C. He is responsible for detection and prevention of frauds and errors in financial statements	

35.	A sale of Rs. 25,000 to A was entered as a sale to B. This is an example of _
A.	Error of omission
B.	Error of commission
C.	Compensating error
D.	Error of principle
Answer» B. Error of commission	

36.	'Goods sent on approval basis' have been recorded as 'Credit sales'. This is an example of _
A.	Error of principle
B.	Error of commission
C.	Error of omission
D.	Error of duplication
Answer» A. Error of principle	

37.	Which of the following statements is not true?
A.	Management fraud is more difficult to detect than employee fraud
B.	Internal control system reduces the possibility of occurrence of employee fraud and

37.	Which of the following statements is not true?
	management fraud
C.	The auditor's responsibility for detection and prevention of errors and frauds is similar.
D.	All statements are correct.
Answer» B. Internal control system reduces the possibility of occurrence of employee fraud and management fraud	

38.	As per AAS4, if auditor detects an error then –
A.	He should inform the management.
B.	He should communicate it to the management if it is material
C.	The auditor should ensure financial statements are adjusted for detected errors.
D.	Both (b) and (c)
Answer» D. Both (b) and (c)	

39.	Which of the following is not a limitation of audit as per AAS4?
A.	Objectivity of auditor's judgment
B.	Selective testing
C.	Persuasiveness of evidence
D.	Limitations of internal control system.
Answer» A. Objectivity of auditor's judgment	

40.	Internal audit is undertaken
A.	By independent auditor
B.	Statutorily appointed auditor
C.	By a person appointed by the management
D.	By a government auditor
Answer» C. By a person appointed by the management	

41.	The scope of internal audit is decided by the :
A.	Shareholders
B.	Management
C.	Government
D.	Law
Answer» B. Management	

42.	Audit of banks is an example of –
A.	Statutory audit
B.	Balance sheet audit
C.	Concurrent audit
D.	All of the above
Answer» D. All of the above	

43.	Concurrent audit is a part of
A.	Internal check system
B.	Continuous audit
C.	Internal audit system
D.	None
Answer» C. Internal audit system	

45.	Audit in depth is synonymous for
A.	Complete audit
B.	Completed audit
C.	Final audit
D.	Detailed audit
Answer» D. Detailed audit	

47.	Which of the following statements is not true about continuous audit?
A.	It is conducted at regular interval
B.	It may be carried out on daily basis
C.	It is needed when the organization has a good internal control system
D.	It is expensive
Answer» C. It is needed when the organization has a good internal control system	

48.	Internal check is carried on by
A.	Staff specially appointed for the purpose
B.	Internal auditor
C.	Supervisor of the staff
D.	Members of the staff
Answer» D. Members of the staff	

49.	Errors of Omission are
A.	Technical errors
B.	Errors of principle
C.	Compensating errors
D.	None of the above
Answer» A. Technical errors	

50.	Window dressing implies:
A.	Curtailement of expenses
B.	Checking of Wastages
C.	Under valuation of assets
D.	Over Valuation of assets
Answer» D. Over Valuation of assets	

50.	Window dressing implies:
51.	Test Checking refers to
A.	Testing of accounts and records
B.	Checking of selected number of transactions
C.	Examination of adjusting and closing entries
D.	Checking of all transactions recorded
Answer» B. Checking of selected number of transactions	

52.	Which of the following statements is not correct about materiality?
A.	Materiality is a relative concept
B.	Materiality judgments involve both quantitative and qualitative judgments
C.	Auditor's consideration of materiality is influenced by the auditor's perception of the needs of an informed decision maker who will rely on the financial statements
D.	At the planning state, the auditor considers materiality at the financial statement level only
Answer» D. At the planning state, the auditor considers materiality at the financial statement level only	

53.	the audit risks... the materiality andthe audit effort
A.	Lower, Higher, Lower
B.	Lower, Lower, Higher
C.	Higher, Lower, Lower
D.	Lower, Higher, Higher
Answer» A. Lower, Higher, Lower	

54.	When issuing unqualified opinion, the auditor who evaluates the audit findings should be satisfied that the
A.	Amount of known misstatement is documented in working papers
B.	Estimates of the total likely misstatement is less than materiality level
C.	Estimate of the total likely misstatement is more than materially level

54.	When issuing unqualified opinion, the auditor who evaluates the audit findings should be satisfied that the
D.	Estimates of the total likely misstatement cannot be made
Answer» C. Estimate of the total likely misstatement is more than materially level	

55.	In determining the level of materiality for an audit, what should not be considered?
A.	Prior year's errors
B.	The auditor's remuneration
C.	Adjusted interim financial statements
D.	Prior year's financial statements
Answer» B. The auditor's remuneration	

56.	Analytical procedures issued in the planning stage of an audit, generally
A.	Helps to determine the nature, timing and extent of other audit procedures
B.	Directs attention to potential risk areas
C.	Indicates important aspects of business
D.	All of the above
Answer» D. All of the above	

57.	Which of the following statements is most closely associated with analytical procedure applied at substantive stage?
A.	It helps to study relationship among balance sheet accounts
B.	It helps to discover material misstatements in the financial statements
C.	It helps to identify possible oversights
D.	It helps to accumulate evidence supporting the validity of a specific account balance
Answer» D. It helps to accumulate evidence supporting the validity of a specific account balance	

58.	For all audits of financial statements made in accordance with AAS14, the use of analytical procedures is at the discretion of the auditor in which stage?
A.	Substantive testing

58.	For all audits of financial statements made in accordance with AAS14, the use of analytical procedures is at the discretion of the auditor in which stage?
B.	Planning stage
C.	Overall review stage
D.	All of the above
Answer» A. Substantive testing	

59.	Verification refers to:
A.	Examining the physical existence and valuation of assets.
B.	Examining the journal and ledger
C.	Examination of vouchers related to assets.
D.	None of the above.
Answer» A. Examining the physical existence and valuation of assets.	

60.	Stock should be valued at
A.	Cost
B.	Market price
C.	Cost or Market price whichever is lower.
D.	Cost less depreciation.
Answer» C. Cost or Market price whichever is lower.	

61.	‘Auditor is not a valuer’, was stated in
A.	Kingston Cotton Mills case
B.	London Oil Storage Co. Case
C.	London and General Bank case
D.	None of the above
Answer» A. Kingston Cotton Mills case	

62.	Floating assets are valued at
A.	Cost
B.	Market price
C.	Cost or market price whichever is lower
D.	Cost less depreciation
Answer» C. Cost or market price whichever is lower	

63.	Goods sold on the basis of ‘sales or return’ should
A.	Be included in the stock
B.	Not be included in the stock
C.	Not be checked by auditor
D.	None of the above
Answer» A. Be included in the stock	

64.	Of the following, which is the least persuasive type of audit evidence?
A.	Bank statements obtained from the client
B.	Documents obtained by auditor from third parties directly.
C.	Carbon copies of sales invoices inspected by the auditor
D.	Computations made by the auditor
Answer» C. Carbon copies of sales invoices inspected by the auditor	

65.	Which of the following statements is, generally, correct about the reliability of audit evidence?
A.	To be reliable, evidence should conclusive rather than persuasive
B.	Effective internal control system provides reliable audit evidence
C.	Evidence obtained from outside sources routed through the client
D.	All are correct.
Answer» B. Effective internal control system provides reliable audit evidence	

66.	In an audit of financial statements, substantive tests are audit procedures that ____
A.	May be eliminated for an account balance under certain conditions
B.	Are designed to discover significant subsequent events
C.	Will increase proportionately when the auditor decreases the assessed level of control risk
D.	May be test of transactions, test of balance and analytical procedures
Answer» D. May be test of transactions, test of balance and analytical procedures	

67.	The nature, timing and extent of substantive procedures is related to assessed level of control risk
A.	Randomly
B.	Disproportionately
C.	Directly
D.	Inversely
Answer» C. Directly	

68.	Which of the following factors is most important in determining the appropriations of audit evidence?
A.	The reliability of audit evidence and its relevance in meeting the audit objective
B.	The objectivity and integrity of the auditor
C.	The quantity of audit evidence
D.	The independence of the source of evidence
Answer» A. The reliability of audit evidence and its relevance in meeting the audit objective	

69.	When is evidential matter, generally, considered sufficient?
A.	When it constitutes entire population
B.	When it is enough to provide a basis for giving reasonable assurance regarding truthfulness
C.	When it is objective and relevant
D.	When auditor collects and evaluates it independently
Answer» B. When it is enough to provide a basis for giving reasonable assurance regarding	

69.	When is evidential matter, generally, considered sufficient?
	truthfulness

70.	Which of the following is not corroborative evidence?
A.	Minutes of meetings
B.	Confirmations from debtors
C.	Information gathered by auditor through observation
D.	Worksheet supporting consolidated financial statements
Answer» D. Worksheet supporting consolidated financial statements	

71.	Which of the following statements is not true with respect to management representations obtained as per AAS11?
A.	Authenticated copy of relevant minutes of meetings may be regarded as management representation
B.	It should always be in working
C.	It may be dated prior to the report date
D.	It should be addressed to the auditor
Answer» B. It should always be in working	

72.	What would most appropriately describe the risk of incorrect rejection in terms of substantive testing?
A.	The auditor concludes balance is materially correct when in actual fact it is not
B.	The auditor concludes that the balance is materially misstated when in actual fact it not
C.	The auditor has rejected an item for sample which was material
D.	None of the above
Answer» B. The auditor concludes that the balance is materially misstated when in actual fact it not	

73.	Which of the following affects audit effectiveness?
A.	Risk of over reliance
B.	Risk of incorrect rejection

73.	Which of the following affects audit effectiveness?
C.	Risk of incorrect acceptance
D.	Both (a) and (c)
Answer» D. Both (a) and (c)	

74.	What would most effectively describe the risk of incorrect acceptance in terms of substantive audit testing?
A.	The auditor has ascertained that the balance is materially correct when in actual fact it is not
B.	The auditor concludes the balance is materially misstated when in actual fact is not
C.	The auditor has rejected an item from sample which was not supported by documentary evidence
D.	He applies random sampling on data which is inaccurate and inconsistent
Answer» A. The auditor has ascertained that the balance is materially correct when in actual fact it is not	

75.	Which of the following Auditing Assurance Standard deals with Audit Planning?
A.	AAS7
B.	AAS8
C.	AAS9
D.	AAS3
Answer» B. AAS8	

76.	Audit programme is prepared by
A.	The auditor
B.	The client
C.	The audit assistants
D.	The auditor and his audit assistants
Answer» D. The auditor and his audit assistants	

77.	The working papers which auditor prepares for financial statements audit are: _
A.	Evidence for audit conclusions

77.	The working papers which auditor prepares for financial statements audit are: _
B.	Owned by the client
C.	Owned by the auditor
D.	Retained in auditor's office until a change in auditors
Answer» C. Owned by the auditor	

78.	The quantity of audit working papers compiled on engagement would most be affected by
A.	Management's integrity
B.	Auditor's experience and professional judgment
C.	Auditor's qualification
D.	Control risk
Answer» B. Auditor's experience and professional judgment	

79.	Which of the following best describes the primary purpose of audit programme preparation?
A.	To detect errors or fraud.
B.	To comply with GAAP
C.	To gather sufficient appropriate evidence
D.	To assess audit risk
Answer» C. To gather sufficient appropriate evidence	

80.	Which of the following is not an advantage of the preparation of working paper?
A.	To provide a basis for review of audit work
B.	To provide a basis for subsequent audits
C.	To ensure audit work is being carried out as per programme
D.	To provide a guide for advising another client on similar issues
Answer» D. To provide a guide for advising another client on similar issues	

81.	The auditor's permanent working paper file should not normally, include
A.	Extracts from client's bank statements
B.	Past year's financial statements
C.	Attorney's letters
D.	Debt agreements
Answer» A. Extracts from client's bank statements	

82.	For what minimum period should audit working papers be retained by audit firm?
A.	For the time period the entity remains a client of the audit firm.
B.	For a period of ten years
C.	For a period auditor opines them to be useful in servicing the client
D.	For the period the audit firm is in existence.
Answer» C. For a period auditor opines them to be useful in servicing the client	

83.	Which of the following factors would least likely affect the quantity and content of an auditor's working papers
A.	The assessed level of control risk
B.	The possibility of peer review
C.	The nature of auditor's report
D.	The content of management representation letter
Answer» D. The content of management representation letter	

84.	Which of the following statement is true regarding an auditor's working papers?
A.	They document the level of independence maintained by the auditor
B.	They should be considered as the principle support for the auditor's report
C.	They should not contain details regarding weaknesses in the internal control system
D.	They help the auditor to monitor the effectiveness of the audit firm's quality control
Answer» B. They should be considered as the principle support for the auditor's report	

84.	Which of the following statement is true regarding an auditor's working papers?

85.	Which of the following statement best describes the understanding with respect to ownership and custody of working papers prepared by an auditor?
A.	The working papers may be obtained by third parties when they appear to be relevant to issues raised in litigation
B.	The safe custody of working papers is the responsibility of client, if kept at his premises
C.	The working papers must be retained by an audit firm for a period of 10 years
D.	Successor auditors may have access to working papers of the predecessor auditors. The approval of client is not required.

Answer» A. The working papers may be obtained by third parties when they appear to be relevant to issues raised in litigation

86.	The current file of the auditor's working papers, generally, should include
A.	A flowchart of the internal controls
B.	Organisation charts
C.	A copy of financial statements
D.	Copies of bond and debentures

Answer» C. A copy of financial statements

87.	Knowledge of the entity's business does not help the auditor to
A.	Reduce inherent risk
B.	Identify problem areas
C.	Evaluate reasonableness of estimates
D.	Evaluate appropriates of GAAP.

Answer» A. Reduce inherent risk

88.	Payment for wage should be vouched with the help of
A.	Piece Work Statement.

88.	Payment for wage should be vouched with the help of
B.	Wage sheets
C.	Minutes book
D.	Bank pass book.
Answer» B. Wage sheets	

89.	Payment for building purchased should be vouched with the help of
A.	Title Deed
B.	Correspondence with the brokers
C.	Building Account
D.	Cash book
Answer» A. Title Deed	

90.	Purchase returns should be vouched with the help of
A.	Bought notes
B.	Credit notes
C.	Goods inward book
D.	Cash book
Answer» B. Credit notes	

91.	Receipts from sale of investments should be vouched with the help of
A.	Brokers bought notes
B.	Brokers Sold notes
C.	Minutes book
D.	Inventory of investment
Answer» B. Brokers Sold notes	

92.	Which of the following expenses should not be treated as capital expenditure?
A.	Expenses paid on installation of a plant.
B.	Cost of dismantling a building in case a new building is to be constructed on the land
C.	Legal expenses incurred to defend a suit related to title of patent. The suit has been lost
D.	The fees paid to engineer who constructed the plant.
Answer» C. Legal expenses incurred to defend a suit related to title of patent. The suit has been lost	

93.	Which of the following is not a revenue expense?
A.	Cost of raising a loan
B.	Cost of accessories of motor vehicles spent at the time of purchase
C.	Expenses incurred for laying of sewers on land purchased
D.	Insurance premium paid at the time of registration of the ship
Answer» B. Cost of accessories of motor vehicles spent at the time of purchase	

94.	Depreciation does not arise form _____
A.	Effluxion of time
B.	Use
C.	Obsolescence through technology be market changes
D.	Remarket expectation
Answer» D. Remarket expectation	

95.	Which of the following Schedule of the Companies Act, 1956 deals with depreciations?
A.	Schedule XIV
B.	Schedule V
C.	Schedule XIII
D.	Schedule X
Answer» A. Schedule XIV	

96.	Schedule XIV has prescribed rates of depreciation for double shift and triple shift working for which one of the following assets?
A.	Building
B.	Plant and Machinery
C.	Furniture and fittings
D.	Ships
Answer» B. Plant and Machinery	

97.	A company has bought patents. Which of the following methods is most suitable for providing depreciation on them?
A.	SLM
B.	WDV
C.	Sum of year digits
D.	Any of the above
Answer» A. SLM	

98.	Which of the following is a revenue reserve?
A.	Capital redemption reserve
B.	Security premium account
C.	Debenture redemption reserve
D.	Capital reserve
Answer» C. Debenture redemption reserve	

99.	Which of the following will not lead to creation of secret reserve?
A.	Undervaluation of closing stock
B.	Charging capital expenditure to revenue
C.	Goods sent on consignment being shown as actual sales
D.	Charging higher rates of depreciation on fixed assets than actually required
Answer» C. Goods sent on consignment being shown as actual sales	

100.	Who is responsible for the appointment of statutory auditor of a limited company?
A.	Directors of the company
B.	Members of the company
C.	The Central Government
D.	All of the above
Answer» B. Members of the company	